

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549
Form 10-Q

(Mark One)

☒ **QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the quarterly period ended September 30, 2021

OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the transition period from _____ to _____

Commission File Number 001-38735



ALPHA METALLURGICAL RESOURCES, INC.

(Exact name of registrant as specified in its charter)

Delaware

(State or other jurisdiction of incorporation or organization)

81-3015061

(I.R.S. Employer Identification Number)

340 Martin Luther King Jr. Blvd.

Bristol, Tennessee 37620

(Address of principal executive offices, zip code)

(423) 573-0300

(Registrant's telephone number, including area code)

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. ☒ Yes ☐ No

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (Sec.232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit and post such files). ☒ Yes ☐ No

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer ☐
Non-accelerated filer ☒

Accelerated filer ☐
Smaller reporting company ☒
Emerging growth company ☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act) ☐ Yes ☒ No

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common Stock	AMR	New York Stock Exchange

Number of shares of the registrant's Common Stock, \$0.01 par value, outstanding as of October 31, 2021: 18,400,443

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CAUTIONARY NOTE REGARDING FORWARD LOOKING STATEMENTS

This report includes statements of our expectations, intentions, plans and beliefs that constitute “forward-looking statements.” These statements, which involve risks and uncertainties, relate to analyses and other information that are based on forecasts of future results and estimates of amounts not yet determinable and may also relate to our future prospects, developments and business strategies. We have used the words “anticipate,” “believe,” “could,” “estimate,” “expect,” “intend,” “may,” “plan,” “predict,” “project,” “should” and similar terms and phrases, including references to assumptions, in this report to identify forward-looking statements but these terms and phrases are not the exclusive means of identifying such statements. These forward-looking statements are made based on expectations and beliefs concerning future events affecting us and are subject to uncertainties and factors relating to our operations and business environment, all of which are difficult to predict and many of which are beyond our control, that could cause our actual results to differ materially from those matters expressed in or implied by these forward-looking statements.

The following factors are among those that may cause actual results to differ materially from our forward-looking statements:

- the effects of the COVID-19 pandemic on our operations and the world economy;
- the financial performance of the company;
- our liquidity, results of operations and financial condition;
- our ability to generate sufficient cash or obtain financing to fund our business operations;
- depressed levels or declines in coal prices;
- worldwide market demand for coal, steel, and electricity, including demand for U.S. coal exports, and competition in coal markets;
- changes in domestic or international environmental laws and regulations, and court decisions, including those directly affecting our coal mining and production, and those affecting our customers’ coal usage, including potential climate change initiatives;
- our ability to obtain financing and other services, and the form and degree of these services available to us, which may be significantly limited by the lending, investment and similar policies of financial institutions and insurance companies regarding carbon energy producers and the environmental impacts of coal combustion;
- our ability to obtain or renew surety bonds on acceptable terms or maintain our current bonding status;
- our ability to meet collateral requirements;
- the imposition or continuation of barriers to trade, such as tariffs;
- reductions or increases in customer coal inventories and the timing of those changes;
- our production capabilities and costs;
- inherent risks of coal mining beyond our control;
- changes in the ownership of our equity may significantly further reduce the annual amount of the net operating loss and other carryforwards available to be utilized;
- changes in, interpretations of, or implementations of domestic or international tax or other laws and regulations, including the Tax Cuts and Jobs Act and its related regulations;
- our ability to self-insure certain of our black lung obligations without a significant increase in required collateral;
- our relationships with, and other conditions affecting, our customers, including the inability to collect payments from our customers if their creditworthiness declines;
- changes in, renewal or acquisition of, terms of and performance of customers under coal supply arrangements and the refusal by our customers to receive coal under agreed-upon contract terms;
- our ability to obtain, maintain or renew any necessary permits or rights, and our ability to mine properties due to defects in title on leasehold interests;
- attracting and retaining key personnel and other employee workforce factors, such as labor relations;
- funding for and changes in employee benefit obligations;
- cybersecurity attacks or failures, threats to physical security, extreme weather conditions or other natural disasters;
- reclamation and mine closure obligations;
- utilities switching to alternative energy sources such as natural gas, renewables and coal from basins where we do not operate;
- our assumptions concerning economically recoverable coal reserve estimates;
- disruptions in delivery or changes in pricing from third-party vendors of key equipment and materials that are necessary for our operations, such as diesel fuel, steel products, explosives, tires and purchased coal;
- failures in performance, or non-performance, of services by third-party contractors, including contract mining and reclamation contractors;
- inflationary pressures on supplies and labor and significant or rapid increases in commodity prices;
- railroad, barge, truck and other transportation availability, performance and costs;

- disruption in third-party coal supplies;
- the consummation of financing or refinancing transactions, acquisitions or dispositions and the related effects on our business and financial position;
- our indebtedness and potential future indebtedness; and
- other factors, including the other factors discussed in the “Management’s Discussion and Analysis of Financial Condition and Results of Operations” and “Risk Factors” sections of this Report and the “Management’s Discussion and Analysis of Financial Condition and Results of Operations” and “Risk Factors” sections of our Annual Report on Form 10-K for the year ended December 31, 2020.

The factors identified above are not exhaustive. We caution readers not to place undue reliance on any forward-looking statements, which are based only on information currently available to us and speak only as of the dates on which they are made. When considering these forward-looking statements, you should keep in mind the cautionary statements in this report. We do not undertake any responsibility to publicly revise these forward-looking statements to take into account events or circumstances that occur after the date of this report. Additionally, we do not undertake any responsibility to update you on the occurrence of any unanticipated events, which may cause actual results to differ from those expressed or implied by the forward-looking statements contained in this report.

Part I – Financial Information

Item 1. Financial Statements

ALPHA METALLURGICAL RESOURCES, INC. AND SUBSIDIARIES **CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS (Unaudited)** (Amounts in thousands, except share and per share data)

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
Revenues:				
Coal revenues	\$ 647,129	\$ 335,189	\$ 1,426,039	\$ 1,089,764
Other revenues	1,712	403	4,330	2,572
Total revenues	648,841	335,592	1,430,369	1,092,336
Costs and expenses:				
Cost of coal sales (exclusive of items shown separately below)	488,169	309,693	1,182,360	979,180
Depreciation, depletion and amortization	24,519	49,236	80,261	143,921
Accretion on asset retirement obligations	6,674	6,737	19,970	19,945
Amortization of acquired intangibles, net	2,980	2,074	9,402	4,466
Asset impairment and restructuring	—	(226)	(561)	53,981
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	15,264	14,501	44,891	42,010
Total other operating loss (income):				
Mark-to-market adjustment for acquisition-related obligations	11,676	3,624	18,009	(13,425)
Other income	(457)	(1,310)	(5,290)	(2,023)
Total costs and expenses	548,825	384,329	1,349,042	1,228,055
Income (loss) from operations	100,016	(48,737)	81,327	(135,719)
Other (expense) income:				
Interest expense	(17,338)	(18,746)	(53,290)	(56,238)
Interest income	54	376	322	6,874
Equity loss in affiliates	(643)	(1,295)	(1,161)	(3,085)
Miscellaneous income (loss), net	1,812	(131)	5,425	(452)
Total other expense, net	(16,115)	(19,796)	(48,704)	(52,901)
Income (loss) from continuing operations before income taxes	83,901	(68,533)	32,623	(188,620)
Income tax (expense) benefit	(208)	45	(211)	2,200
Net income (loss) from continuing operations	83,693	(68,488)	32,412	(186,420)
Discontinued operations:				
Loss from discontinued operations before income taxes	(429)	(149)	(1,067)	(160,326)
Loss from discontinued operations	(429)	(149)	(1,067)	(160,326)
Net income (loss)	\$ 83,264	\$ (68,637)	\$ 31,345	\$ (346,746)
Basic income (loss) per common share:				
Income (loss) from continuing operations	\$ 4.54	\$ (3.74)	\$ 1.76	\$ (10.19)
Loss from discontinued operations	(0.03)	(0.01)	(0.06)	(8.77)
Net income (loss)	\$ 4.51	\$ (3.75)	\$ 1.70	\$ (18.96)

Diluted income (loss) per common share:

Income (loss) from continuing operations	\$	4.43	\$	(3.74)	\$	1.73	\$	(10.19)
Loss from discontinued operations		(0.03)		(0.01)		(0.06)		(8.77)
Net income (loss)	\$	4.40	\$	(3.75)	\$	1.67	\$	(18.96)

Weighted average shares – basic	18,445,709	18,319,947	18,426,639	18,290,346
Weighted average shares – diluted	18,913,352	18,319,947	18,783,643	18,290,346

Refer to accompanying Notes to Condensed Consolidated Financial Statements.

ALPHA METALLURGICAL RESOURCES, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (LOSS) (Unaudited)
(Amounts in thousands)

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
Net income (loss)	\$ 83,264	\$ (68,637)	\$ 31,345	\$ (346,711)
Other comprehensive income (loss), net of tax:				
Employee benefit plans:				
Amortization of and adjustments to employee benefit costs	\$ 1,413	\$ 1,133	\$ 13,077	\$ (9,500)
Income tax expense	—	—	—	—
Total other comprehensive income (loss), net of tax	\$ 1,413	\$ 1,133	\$ 13,077	\$ (9,500)
Total comprehensive income (loss)	<u>\$ 84,677</u>	<u>\$ (67,504)</u>	<u>\$ 44,422</u>	<u>\$ (356,211)</u>

Refer to accompanying Notes to Condensed Consolidated Financial Statements.

ALPHA METALLURGICAL RESOURCES, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED BALANCE SHEETS (Unaudited)
(Amounts in thousands, except share and per share data)

	September 30, 2021	December 31, 2020
Assets		
Current assets:		
Cash and cash equivalents	\$ 78,283	\$ 139,227
Trade accounts receivable, net of allowance for doubtful accounts of \$325 and \$293 as of September 30, 2021 and December 31, 2020	335,287	145,670
Inventories, net	124,534	108,051
Prepaid expenses and other current assets	31,723	106,252
Current assets - discontinued operations	1,391	10,935
Total current assets	571,218	510,135
Property, plant, and equipment, net of accumulated depreciation and amortization of \$436,205 and \$382,423 as of September 30, 2021 and December 31, 2020	356,305	363,620
Owned and leased mineral rights, net of accumulated depletion and amortization of \$48,968 and \$35,143 as of September 30, 2021 and December 31, 2020	449,901	463,250
Other acquired intangibles, net of accumulated amortization of \$31,349 and \$25,700 as of September 30, 2021 and December 31, 2020	78,547	88,196
Long-term restricted cash	84,001	96,033
Other non-current assets	126,502	149,382
Non-current assets - discontinued operations	9,477	9,473
Total assets	\$ 1,675,951	\$ 1,680,089
Liabilities and Stockholders' Equity		
Current liabilities:		
Current portion of long-term debt	\$ 7,976	\$ 28,830
Trade accounts payable	90,335	58,413
Acquisition-related obligations – current	26,266	19,099
Accrued expenses and other current liabilities	160,732	140,406
Current liabilities - discontinued operations	7,095	12,306
Total current liabilities	292,404	259,054
Long-term debt	497,191	553,697
Acquisition-related obligations - long-term	18,966	20,768
Workers' compensation and black lung obligations	228,858	230,081
Pension obligations	191,888	218,671
Asset retirement obligations	141,925	140,074
Deferred income taxes	479	480
Other non-current liabilities	29,403	28,072
Non-current liabilities - discontinued operations	26,740	29,090
Total liabilities	1,427,854	1,479,987
Commitments and Contingencies (Note 16)		
Stockholders' Equity		
Preferred stock - par value \$0.01, 5.0 million shares authorized, none issued	—	—
Common stock - par value \$0.01, 50.0 million shares authorized, 20.8 million issued and 18.4 million outstanding at September 30, 2021 and 20.6 million issued and 18.3 million outstanding at December 31, 2020	208	206
Additional paid-in capital	783,781	779,424
Accumulated other comprehensive loss	(98,908)	(111,985)
Treasury stock, at cost: 2.4 million shares at September 30, 2021 and 2.3 million shares at December 31, 2020	(107,800)	(107,014)

Accumulated deficit	(329,184)	(360,529)
Total stockholders' equity	248,097	200,102
Total liabilities and stockholders' equity	\$ 1,675,951	\$ 1,680,089

Refer to accompanying Notes to Condensed Consolidated Financial Statements.

ALPHA METALLURGICAL RESOURCES, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS (Unaudited)
(Amounts in thousands)

	Nine Months Ended September 30,	
	2021	2020
Operating activities:		
Net income (loss)	\$ 31,345	\$ (346,746)
Adjustments to reconcile net income (loss) to net cash provided by operating activities:		
Depreciation, depletion and amortization	80,261	154,466
Amortization of acquired intangibles, net	9,402	5,180
Accretion of acquisition-related obligations discount	1,004	2,882
Amortization of debt issuance costs and accretion of debt discount	9,351	11,087
Mark-to-market adjustment for acquisition-related obligations	18,009	(13,425)
Gain on disposal of assets	(5,342)	(2,179)
Asset impairment and restructuring	(561)	221,453
Accretion on asset retirement obligations	19,970	23,806
Employee benefit plans, net	6,685	15,135
Deferred income taxes	(1)	33,011
Stock-based compensation	4,351	4,200
Equity loss in affiliates	1,161	3,085
Other, net	(4,381)	(5,356)
Changes in operating assets and liabilities	(100,681)	(33,566)
Net cash provided by operating activities	70,573	73,033
Investing activities:		
Capital expenditures	(60,386)	(118,896)
Proceeds on disposal of assets	7,471	3,131
Purchases of investment securities	(15,474)	(18,618)
Maturity of investment securities	10,508	12,678
Capital contributions to equity affiliates	(4,473)	(3,196)
Other, net	52	68
Net cash used in investing activities	(62,302)	(124,833)
Financing activities:		
Proceeds from borrowings on long-term debt	—	57,500
Repurchases of long-term debt	(18,415)	—
Principal repayments of long-term debt	(61,869)	(58,315)
Principal repayments of financing lease obligations	(1,527)	(2,291)
Debt issuance costs	(319)	—
Common stock repurchases and related expenses	(786)	(171)
Net cash used in financing activities	(82,916)	(3,277)
Net decrease in cash and cash equivalents and restricted cash	(74,645)	(55,077)
Cash and cash equivalents and restricted cash at beginning of period	244,571	347,680
Cash and cash equivalents and restricted cash at end of period	\$ 169,926	\$ 292,603

The following table provides a reconciliation of cash and cash equivalents and restricted cash reported within the Condensed Consolidated Balance Sheets that sum to the total of the same such amounts shown in the Condensed Consolidated Statements of Cash Flows.

	As of September 30,	
	2021	2020
Cash and cash equivalents	\$ 78,283	\$ 161,434
Short-term restricted cash (included in prepaid expenses and other current assets)	7,642	7,104
Long-term restricted cash	84,001	124,065
Total cash and cash equivalents and restricted cash shown in the Condensed Consolidated Statements of Cash Flows	\$ 169,926	\$ 292,603

Refer to accompanying Notes to Condensed Consolidated Financial Statements.

ALPHA METALLURGICAL RESOURCES, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY (Unaudited)
(Amounts in thousands)

	Common Stock	Additional Paid- in Capital	Accumulated Other Comprehensive Loss	Treasury Stock at Cost	Retained Earnings (Deficit)	Total Stockholders' Equity
Balances, December 31, 2019	\$ 205	\$ 775,707	\$ (58,616)	\$ (107,984)	\$ 86,810	\$ 696,122
Net loss	—	—	—	—	(39,808)	(39,808)
Credit losses cumulative- effect adjustment	—	—	—	—	(440)	(440)
Other comprehensive loss, net	—	—	(4,010)	—	—	(4,010)
Stock-based compensation and net issuance of common stock for share vesting	—	900	—	—	—	900
Common stock reissuances, repurchases and related expenses	—	—	—	1,071	—	1,071
Balances, March 31, 2020	\$ 205	\$ 776,607	\$ (62,626)	\$ (106,913)	\$ 46,562	\$ 653,835
Net loss	—	—	—	—	(238,301)	(238,301)
Other comprehensive loss, net	—	—	(7,121)	—	—	(7,121)
Stock-based compensation and net issuance of common stock for share vesting	1	1,043	—	—	—	1,044
Common stock repurchases and related expenses	—	—	—	(42)	—	(42)
Balances, June 30, 2020	\$ 206	\$ 777,650	\$ (69,747)	\$ (106,955)	\$ (191,739)	\$ 409,415
Net loss	—	—	—	—	(68,637)	(68,637)
Other comprehensive income, net	—	—	1,133	—	—	1,133
Stock-based compensation and net issuance of common stock for share vesting	—	1,078	—	—	—	1,078
Common stock repurchases and related expenses	—	—	—	(21)	—	(21)
Balances, September 30, 2020	\$ 206	\$ 778,728	\$ (68,614)	\$ (106,976)	\$ (260,376)	\$ 342,968
Balances, December 31, 2020	\$ 206	\$ 779,424	\$ (111,985)	\$ (107,014)	\$ (360,529)	\$ 200,102
Net loss	—	—	—	—	(32,928)	(32,928)
Other comprehensive income, net	—	—	1,484	—	—	1,484
Stock-based compensation and net issuance of common stock for share vesting	1	2,182	—	—	—	2,183
Common stock repurchases and related expenses	—	—	—	(680)	—	(680)
Balances, March 31, 2021	\$ 207	\$ 781,606	\$ (110,501)	\$ (107,694)	\$ (393,457)	\$ 170,161
Net loss	—	—	—	—	(18,991)	(18,991)
Other comprehensive income, net	—	—	10,180	—	—	10,180
Stock-based compensation and net issuance of common stock for share vesting	1	980	—	—	—	981
Balances, June 30, 2021	\$ 208	\$ 782,586	\$ (100,321)	\$ (107,694)	\$ (412,448)	\$ 162,331
Net income	—	—	—	—	83,264	83,264
Other comprehensive income, net	—	—	1,413	—	—	1,413
Stock-based compensation and net issuance of common stock for share vesting	—	1,189	—	—	—	1,189

Common stock repurchases and related expenses	—	—	—	(106)	—	(106)
Warrant exercises	—	6	—	—	—	6
Balances, September 30, 2021	<u>\$ 208</u>	<u>\$ 783,781</u>	<u>\$ (98,908)</u>	<u>\$ (107,800)</u>	<u>\$ (329,184)</u>	<u>\$ 248,097</u>

Refer to accompanying Notes to Condensed Consolidated Financial Statements.

ALPHA METALLURGICAL RESOURCES, INC. AND SUBSIDIARIES
Notes to Condensed Consolidated Financial Statements
(Unaudited, amounts in thousands except share and per share data)

(1) Business and Basis of Presentation

Business

Alpha Metallurgical Resources, Inc. (“Alpha” or the “Company”) is a Tennessee-based mining company with operations across Virginia and West Virginia. With customers across the globe, high-quality reserves and significant port capacity, Alpha is a leading U.S. supplier of metallurgical products for the steel industry.

Basis of Presentation

Together, the condensed consolidated statements of operations, comprehensive loss, balance sheets, cash flows and stockholders’ equity for the Company are referred to as the “Condensed Consolidated Financial Statements.” The Condensed Consolidated Financial Statements are also referenced across periods as “Condensed Consolidated Statements of Operations,” “Condensed Consolidated Statements of Comprehensive Loss,” “Condensed Consolidated Balance Sheets,” “Condensed Consolidated Statements of Cash Flows,” and “Condensed Consolidated Statements of Stockholders’ Equity.” The Company’s former Northern Appalachia (“NAPP”) operations results of operations and financial position are reported as discontinued operations in the Condensed Consolidated Financial Statements. The historical information in the accompanying Notes to the Condensed Consolidated Financial Statements has been restated to reflect the effects of the Company’s former NAPP operations being reported as discontinued operations in the Condensed Consolidated Financial Statements. Refer to Note 2 for further information on discontinued operations.

The Condensed Consolidated Financial Statements include all wholly-owned subsidiaries’ results of operations for the three and nine months ended September 30, 2021 and 2020. All significant intercompany transactions have been eliminated in consolidation.

The accompanying interim Condensed Consolidated Financial Statements are unaudited and have been prepared in accordance with accounting principles generally accepted in the United States (“U.S. GAAP”) and in accordance with the rules and regulations of the United States Securities and Exchange Commission (“SEC”) for Form 10-Q. Such rules and regulations allow the omission of certain information and footnote disclosures normally included in the financial statements prepared in accordance with U.S. GAAP as long as the financial statements are not misleading. In the opinion of management, these interim Condensed Consolidated Financial Statements reflect all normal and recurring adjustments necessary for a fair presentation of the results for the periods presented. Results of operations for the three and nine months ended September 30, 2021 are not necessarily indicative of the results to be expected for the year ending December 31, 2021 or any other period. These interim Condensed Consolidated Financial Statements should be read in conjunction with the Company’s Consolidated Financial Statements and related notes included in the Company’s Annual Report on Form 10-K for the year ended December 31, 2020.

Reclassifications

Certain amounts in the prior year Condensed Consolidated Statements of Cash Flows have been reclassified to conform to the current year presentation.

Liquidity Risks and Uncertainties

The Company believes it will have sufficient liquidity to meet its working capital requirements, anticipated capital expenditures, debt service requirements, acquisition-related obligations, and reclamation obligations for the 12 months subsequent to the issuance of these financial statements. However, the Company may need to raise additional funds if market conditions deteriorate and may not be able to do so in a timely fashion, or at all. The Company relies on a number of assumptions in budgeting for future activities. These include the costs for mine development to sustain capacity of its operating mines, cash flows from operations, effects of regulation and taxes by governmental agencies, mining technology improvements and reclamation costs. These assumptions are inherently subject to significant business, political, economic, regulatory, environmental and competitive uncertainties, pending and existing climate-related initiatives, contingencies and risks, all of which are difficult to predict and many of which are beyond the Company’s control. Therefore, the Company’s cash on hand and from future operations will be subject to any significant changes in these assumptions.

COVID-19 Pandemic

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In the first quarter of 2020, the COVID-19 virus was declared a pandemic by the World Health Organization. The COVID-19 pandemic has had negative impacts on the Company's business, results of operations, financial condition and cash flows. The full extent of the impact of the COVID-19 pandemic on the Company's operational and financial performance will depend on certain developments, including the duration and spread of the outbreak, its impact on its customers and suppliers and the range of governmental and community reactions to the pandemic, which are still uncertain and still cannot be fully predicted.

Recently Adopted Accounting Guidance

Presentation of Financial Statements: In August 2021, the FASB issued ASU 2021-06, *Presentation of Financial Statements (Topic 205), Financial Services—Depository and Lending (Topic 942), and Financial Services—Investment Companies (Topic 946)* ("ASU 2021-06"). This update amends certain SEC paragraphs from the Codification in response to the issuance of SEC Final Rule Nos. 33-10786, Amendments to Financial Disclosures About Acquired and Disposed Businesses, and 33-10835, Update of Statistical Disclosures for Bank and Savings and Loan Registrants. For all entities, the update is effective immediately. The Company adopted ASU 2021-06 during the third quarter of 2021. The adoption of this ASU did not have a material impact on the Company's Condensed Consolidated Financial Statements and related disclosures.

Leases: In July 2021, the FASB issued ASU 2021-05, *Leases (Topic 842) Lessors—Certain Leases with Variable Lease Payments* ("ASU 2021-05"). The amendments in this update affect lessors with lease contracts that (1) have variable lease payments that do not depend on a reference index or a rate ("variable payments") and (2) would have resulted in the recognition of a selling loss at lease commencement if classified as sales-type or direct financing. The amendments in this update address stakeholders' concerns by amending the lease classification requirements for lessors to align them with practice under Topic 840 by requiring a lessor to classify a lease with variable payments as an operating lease on the commencement date of the lease if specified criteria are met. The amendments are effective for fiscal years beginning after December 15, 2021, for all entities, and interim periods within those fiscal years for public business entities with early application permitted. The Company adopted ASU 2021-05 during the third quarter of 2021. The adoption of this ASU did not have a material impact on the Company's Condensed Consolidated Financial Statements and related disclosures.

Certain Modifications or Exchanges of Freestanding Equity-Classified Written Call Options: In May 2021, the FASB issued ASU 2021-04, *Earnings Per Share (Topic 260), Debt—Modifications and Extinguishments (Subtopic 470-50), Compensation—Stock Compensation (Topic 718), and Derivatives and Hedging—Contracts in Entity's Own Equity (Subtopic 815-40)* ("ASU 2021-04"). The amendments in this update provide final guidance that requires issuers to account for modifications or exchanges of freestanding equity-classified written call options, such as the Company's outstanding Series A warrants, that remain equity classified after the modification or exchange based on the economic substance of the modification or exchange. This ASU addresses the diversity in practice in issuers' accounting by providing a principles-based framework to determine whether an issuer should recognize the modification or exchange as 1) an adjustment to equity and, if so, the related earnings per share effects, if any, or 2) an expense and, if so, the manner and pattern of recognition. For all entities, the standard is effective for fiscal years beginning after December 15, 2021, with early adoption permitted. The Company adopted ASU 2021-04 during the second quarter of 2021. The adoption of this ASU did not have a material impact on the Company's Condensed Consolidated Financial Statements and related disclosures.

Reference Rate Reform: In January 2021, the FASB issued ASU 2021-01, *Reference Rate Reform (Topic 848)* ("ASU 2021-01"). The amendments in this update clarify that certain optional expedients and exceptions in Topic 848 for contract modifications and hedge accounting apply to derivatives that are affected by the discounting transition. For all entities, the standard is effective immediately. The Company adopted ASU 2021-01 during the first quarter of 2021. The adoption of this ASU did not have a material impact on the Company's Condensed Consolidated Financial Statements and related disclosures.

Convertible Debt and Contracts in Entity's Own Equity: In August 2020, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2020-06, *Debt—Debt with Conversion and Other Options (Subtopic 470-20) and Derivatives and Hedging—Contracts in Entity's Own Equity (Subtopic 815-40)* ("ASU 2020-06"). The amendments in this update simplify the accounting for certain financial instruments with characteristics of liabilities and equity, including convertible instruments and contracts in an entity's own equity, such as the Company's outstanding Series A warrants. For public business entities, the standard is effective for fiscal years beginning after December 15, 2021, with early adoption permitted. The Company adopted ASU 2020-06 during the first quarter of 2021. The adoption of this ASU did not have a material impact on the Company's Condensed Consolidated Financial Statements and related disclosures.

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(2) Discontinued Operations

Discontinued operations consist of activity related to the Company's former NAPP operations.

On December 10, 2020, the Company closed on a transaction to sell its thermal coal mining operations located in Pennsylvania consisting primarily of its Cumberland mining complex and related property to a third party purchaser, Iron Senegy Holdings, LLC ("Iron Senegy"). The mining permits associated with the Cumberland operations were obtained by Iron Senegy at closing. During the second quarter of 2021, nearly all of the Company's remaining surety bonds were released and Iron Senegy's replacement bonds were accepted through the administrative process with only \$30 remaining as of September 30, 2021, which are expected to be released in the short-term.

Major Financial Statement Components of Discontinued Operations

The loss from discontinued operations before income taxes for the three and nine months ended September 30, 2021 was \$429 and \$1,067, respectively. The major components of loss from discontinued operations before income taxes in the Condensed Consolidated Statements of Operations for the three and nine months ended September 30, 2020 are as follows:

	Three Months Ended September 30, 2020	Nine Months Ended September 30, 2020 ⁽¹⁾
Revenues:		
Total revenues	\$ 65,100	\$ 190,654
Costs and expenses:		
Cost of coal sales (exclusive of items shown separately below)	57,398	167,663
Depreciation, depletion and amortization	1,503	10,545
Accretion on asset retirement obligations	2,390	3,861
Selling, general and administrative expenses ⁽²⁾	186	1,573
Asset impairment and restructuring ⁽³⁾	3,797	167,472
Other non-major income items, net	(25)	(134)
Loss from discontinued operations before income taxes	\$ (149)	\$ (160,326)

⁽¹⁾ Includes minor residual activity related to the Company's former Powder River Basin ("PRB") operations.

⁽²⁾ Represents professional and legal fees.

⁽³⁾ Refer to Note 7 for additional information on asset impairment and restructuring during the periods.

Refer to the Condensed Consolidated Statements of Operations and Note 5 for loss per share information related to discontinued operations.

The major components of assets and liabilities that are classified as discontinued operations in the Condensed Consolidated Balance Sheets are as follows:

	September 30, 2021	December 31, 2020
Assets:		
Trade accounts receivable, net of allowance for doubtful accounts	\$ —	\$ 7,504
Prepaid expenses and other current assets	\$ 1,391	\$ 3,431
Other non-current assets ⁽¹⁾	\$ 9,477	\$ 9,473
Liabilities:		
Trade accounts payable, accrued expenses and other current liabilities	\$ 7,095	\$ 12,306
Workers' compensation and black lung obligations, non-current	\$ 25,449	\$ 27,799
Other non-current liabilities	\$ 1,291	\$ 1,291

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⁽¹⁾ Primarily comprised of workers' compensation insurance receivable and long-term restricted investments collateralizing workers' compensation obligations.

The major components of cash flows related to discontinued operations are as follows:

	Nine Months Ended September 30, 2020
Depreciation, depletion and amortization	\$ 10,545
Capital expenditures	\$ 28,468
Other significant operating non-cash items related to discontinued operations:	
Accretion on asset retirement obligations	\$ 3,861
Asset impairment and restructuring	\$ 167,472

(3) Revenue

Disaggregation of Revenue from Contracts with Customers

The Company earns revenues primarily through the sale of coal produced at Company operations and coal purchased from third parties. The Company extracts, processes and markets met and thermal coal from deep and surface mines for sale to steel and coke producers, industrial customers, and electric utilities.

The Company has disaggregated revenue between met coal and thermal coal and export and domestic revenues which depicts the pricing and contract differences between the two. Export revenue generally is derived by spot or short term contracts with pricing determined at the time of shipment or based on a market index; whereas domestic revenue is characterized by contracts that typically have a term of one year or longer and typically the pricing is fixed. The following tables disaggregate the Company's coal revenues by product category and by market to depict how the nature, amount, timing, and uncertainty of the Company's coal revenues and cash flows are affected by economic factors:

	Three Months Ended September 30, 2021		
	Met Coal	Thermal Coal	Total
Export coal revenues	\$ 503,566	\$ 13,311	\$ 516,877
Domestic coal revenues	92,115	38,137	130,252
Total coal revenues	\$ 595,681	\$ 51,448	\$ 647,129

	Three Months Ended September 30, 2020		
	Met Coal	Thermal Coal	Total
Export coal revenues	\$ 198,869	\$ 6,707	\$ 205,576
Domestic coal revenues	84,675	44,938	129,613
Total coal revenues	\$ 283,544	\$ 51,645	\$ 335,189

	Nine Months Ended September 30, 2021		
	Met	Thermal	Total
Export coal revenues	\$ 996,642	\$ 20,035	\$ 1,016,677
Domestic coal revenues	297,592	111,770	409,362
Total coal revenues	\$ 1,294,234	\$ 131,805	\$ 1,426,039

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	Nine Months Ended September 30, 2020		
	Met	Thermal	Total
Export coal revenues	\$ 673,233	\$ 24,459	\$ 697,692
Domestic coal revenues	282,266	109,806	392,072
Total coal revenues	\$ 955,499	\$ 134,265	\$ 1,089,764

Performance Obligations

The following table includes estimated revenue expected to be recognized in the future related to performance obligations that are unsatisfied as of September 30, 2021:

	Remainder of 2021	2022	2023	2024	2025	Total
Estimated coal revenues	\$ 35,932	\$ 53,500	\$ 10,413	\$ —	\$ —	\$ 99,845

(4) Accumulated Other Comprehensive Loss

The following tables summarize the changes to accumulated other comprehensive loss during the nine months ended September 30, 2021 and 2020:

	Balance January 1, 2021	Other comprehensive income before reclassifications	Amounts reclassified from accumulated other comprehensive loss	Balance September 30, 2021
Employee benefit costs	\$ (111,985)	\$ 8,838	\$ 4,239	\$ (98,908)

	Balance January 1, 2020	Other comprehensive loss before reclassifications	Amounts reclassified from accumulated other comprehensive loss	Balance September 30, 2020
Employee benefit costs	\$ (58,616)	\$ (14,154)	\$ 4,156	\$ (68,614)

The following table summarizes the amounts reclassified from accumulated other comprehensive loss and the Condensed Consolidated Statements of Operations line items affected by the reclassification during the three and nine months ended September 30, 2021 and 2020:

Details about accumulated other comprehensive loss components	Amounts reclassified from accumulated other comprehensive loss				Affected line item in Condensed Consolidate Statements of Operation				
	Three Months Ended September 30,		Nine Months Ended September 30,						
	2021	2020	2021	2020					
Employee benefit costs:									
Amortization of net actuarial loss ⁽¹⁾	\$	1,413	\$	1,101	\$	4,239	\$	2,829	Miscellaneous income (loss), net
Settlement ⁽¹⁾		—		32		—		1,327	Miscellaneous income (loss), net
Total before income tax	\$	1,413	\$	1,133	\$	4,239	\$	4,156	
Income tax		—		—		—		—	Income tax (expense) benefit
Total, net of income tax	\$	1,413	\$	1,133	\$	4,239	\$	4,156	

⁽¹⁾ These accumulated other comprehensive loss components are included in the computation of net periodic benefit costs for certain employee benefit plans. Refer to Note 14.

(5) Net Income (Loss) Per Share

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The number of shares used to calculate basic net income (loss) per common share is based on the weighted average number of the Company's outstanding common shares during the respective period. The number of shares used to calculate diluted net income (loss) per common share is based on the number of common shares used to calculate basic net income (loss) per common share plus the dilutive effect of stock options and other stock-based instruments held by the Company's employees and directors during the period, and the Company's outstanding Series A warrants. The dilutive effect of outstanding stock-based instruments is determined by application of the treasury stock method. The warrants become dilutive for diluted net income (loss) per common share calculations when the market price of the Company's common stock exceeds the exercise price. As discussed below, dilutive securities are not included in the computation of diluted net loss per common share for the three and nine months ended September 30, 2020 as the impact would be anti-dilutive.

For the three months ended September 30, 2021 and 2020, 942,408 and 1,243,866 warrants, stock options, and other stock-based instruments, respectively, were excluded from the computation of dilutive net income (loss) per common share because they would have been anti-dilutive. For the nine months ended September 30, 2021 and 2020, 948,351 and 1,380,076 warrants, stock options, and other stock-based instruments, respectively, were excluded from the computation of dilutive net income (loss) per common share because they would have been anti-dilutive. When applying the treasury stock method, anti-dilution generally occurs when the exercise prices or unrecognized compensation cost per share are higher than the Company's average stock price during an applicable period.

Anti-dilution also occurs in periods of a net loss, and the dilutive impact of all share-based compensation awards are excluded. For the three months ended September 30, 2020 the weighted average share impact of other stock-based instruments that were excluded from the calculation of diluted shares due to the Company incurring a net loss for the period was 31,665. For the nine months ended September 30, 2020, the weighted average share impact of stock options and other stock-based instruments that were excluded from the calculation of diluted shares due to the Company incurring a net loss for the period was 38,648.

The following table presents the net income (loss) per common share for the three and nine months ended September 30, 2021 and 2020:

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	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
Net income (loss)				
Income (loss) from continuing operations	\$ 83,693	\$ (68,488)	\$ 32,412	\$ (186,420)
Loss from discontinued operations	(429)	(149)	(1,067)	(160,326)
Net income (loss)	<u>\$ 83,264</u>	<u>\$ (68,637)</u>	<u>\$ 31,345</u>	<u>\$ (346,746)</u>
Basic				
Weighted average common shares outstanding - basic	18,445,709	18,319,947	18,426,639	18,290,346
Basic income (loss) per common share:				
Income (loss) from continuing operations	\$ 4.54	\$ (3.74)	\$ 1.76	\$ (10.19)
Loss from discontinued operations	(0.03)	(0.01)	(0.06)	(8.77)
Net income (loss)	<u>\$ 4.51</u>	<u>\$ (3.75)</u>	<u>\$ 1.70</u>	<u>\$ (18.96)</u>
Diluted				
Weighted average common shares outstanding - basic	18,445,709	18,319,947	18,426,639	18,290,346
Diluted effect of stock options	1,938	—	1,654	—
Diluted effect of other stock-based instruments	465,705	—	355,350	—
Weighted average common shares outstanding - diluted	<u>18,913,352</u>	<u>18,319,947</u>	<u>18,783,643</u>	<u>18,290,346</u>
Diluted income (loss) per common share:				
Income (loss) from continuing operations	\$ 4.43	\$ (3.74)	\$ 1.73	\$ (10.19)
Loss from discontinued operations	(0.03)	(0.01)	(0.06)	(8.77)
Net income (loss)	<u>\$ 4.40</u>	<u>\$ (3.75)</u>	<u>\$ 1.67</u>	<u>\$ (18.96)</u>

(6) Inventories, net

Inventories, net consisted of the following:

	September 30, 2021	December 31, 2020
Raw coal	\$ 21,025	\$ 15,084
Saleable coal	74,948	69,262
Materials, supplies and other, net	28,561	23,705
Total inventories, net	<u>\$ 124,534</u>	<u>\$ 108,051</u>

(7) Asset Impairment and Restructuring

Long-lived Asset Impairment

During the nine months ended September 30, 2021, long-lived asset impairment of \$60 was recorded in the All Other category to reduce the carrying value of property, plant, and equipment, net, due to capital spending during the period at previously impaired locations requiring the impairment of certain additional assets not considered recoverable.

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In connection with the preparation of the Company's financial statements for the quarter ended September 30, 2020, the Company determined forecasted margins at certain locations continued to fall below amounts necessary for full recoverability and therefore indicators of impairment were present for three long-lived asset groups within its Met reporting segment and four long-lived asset groups within its All Other reporting segment. The Company therefore performed impairment testing on these assets and determined that, as of August 31, 2020, the carrying amounts of the asset groups exceeded both their undiscounted cash flows and their estimated fair values. The Company estimated the fair value of these asset groups generally using a discounted cash flow analysis utilizing market-participant assumptions.

During the second quarter of 2020, as a result of the weakening coal market conditions due in part to the impact of the global COVID-19 pandemic, the Company announced that it would take certain strategic actions with respect to two of its thermal coal mining complexes in an effort to strengthen its financial performance and improve forecasted liquidity. The Company announced that an underground mine and preparation plant located in West Virginia would be idled during the third quarter of 2020. In addition, the Company decided not to move forward with the construction of a new refuse impoundment at its Cumberland mine in Pennsylvania and would therefore no longer spend the significant capital required in connection with the project. As a result, the Cumberland mine was expected to cease production by the end of 2022. On December 10, 2020, the Company sold its Cumberland mining operations. Refer to Note 2 for further details.

In connection with the preparation of the Company's financial statements for the quarter ended June 30, 2020, the Company determined that the strategic actions taken by the Company during the three months ended June 30, 2020, discussed above, shortened the lives of two mining complexes, and that continued weakening in metallurgical and thermal coal pricing had resulted in forecasted margins at certain locations falling below amounts necessary for full recoverability. As a result of these determinations, the Company assessed that indicators of impairment were present for three long-lived asset groups within its Met reporting segment and four long-lived asset groups within its All Other category. The Company therefore performed impairment testing on these assets and determined that, as of May 31, 2020, the carrying amounts of the asset groups exceeded both their undiscounted cash flows and their estimated fair values. The Company estimated the fair value of these asset groups generally using a discounted cash flow analysis utilizing market-participant assumptions.

During the first quarter of 2020, due to declines in metallurgical and thermal coal pricing which reduced forecasted margins at certain locations to amounts below those required for full recoverability, the Company determined that indicators of impairment were present for four long-lived asset groups within its Met reporting segment and three long-lived asset groups within its All Other category and performed impairment testing as of February 29, 2020. At February 29, 2020, the Company determined that the carrying amounts of the asset groups exceeded both their undiscounted cash flows and their estimated fair values. The Company estimated the fair value of these asset groups generally using a discounted cash flow analysis utilizing market-participant assumptions.

The following tables present the details of the long-lived asset impairment during the three and nine months ended September 30, 2020:

	Three Months Ended September 30, 2020	Nine Months Ended September 30, 2020
Continuing operations:		
Met	\$ —	\$ 32,951
All Other	219	18,367
Total from continuing operations	\$ 219	\$ 51,318
Discontinued operations:	\$ 3,297	\$ 147,645
Total long-lived asset impairment:	\$ 3,516	\$ 198,963

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	Three Months Ended September 30, 2020	Nine Months Ended September 30, 2020
Continuing operations:		
Mineral rights, net	\$ —	\$ 24,066
Property, plant, and equipment, net	219	12,781
Acquired mine permits, net	—	14,471
Total from continuing operations	<u>\$ 219</u>	<u>\$ 51,318</u>
Discontinued operations:		
Mineral rights, net	\$ —	\$ 16,364
Property, plant, and equipment, net	3,297	131,281
Total from discontinued operations	<u>\$ 3,297</u>	<u>\$ 147,645</u>
Total long-lived asset impairment:		
Mineral rights, net	\$ —	\$ 40,430
Property, plant, and equipment, net	3,516	144,062
Acquired mine permits, net	—	14,471
Total long-lived asset impairment	<u>\$ 3,516</u>	<u>\$ 198,963</u>

Restructuring

As a result of the strategic actions announced in the second quarter of 2020 and subsequent changes to severance and employee-related benefits, the Company recorded restructuring expense of (\$621) in the All Other category during the nine months ended September 30, 2021.

As a result of the strategic actions discussed above, the Company recorded restructuring expense during the three and nine months ended September 30, 2020 as follows:

	Three Months Ended September 30, 2020		
	Total Restructuring	Continuing Operations ⁽²⁾	Discontinued Operations
Severance and employee-related benefits ⁽¹⁾	\$ 55	\$ (445)	\$ 500
Total restructuring expense	<u>\$ 55</u>	<u>\$ (445)</u>	<u>\$ 500</u>

	Nine Months Ended September 30, 2020		
	Total Restructuring	Continuing Operations ⁽⁴⁾	Discontinued Operations
Severance and employee-related benefits ⁽¹⁾	\$ 20,608	\$ 1,856	\$ 18,752
Other costs ⁽³⁾	1,882	807	1,075
Total restructuring expense	<u>\$ 22,490</u>	<u>\$ 2,663</u>	<u>\$ 19,827</u>

⁽¹⁾ Severance and employee-related benefits were considered probable and estimable based on provisions of contractual agreements and existing employee benefit plans.

⁽²⁾ Total restructuring expense from continuing operations of (\$445) was recorded within the All Other category and affected Accrued expenses and other current liabilities.

⁽³⁾ Includes accelerated amortization of deferred longwall move expenses of \$668, allowance for advanced mining royalties of \$407, and allowance for obsolete materials and supplies inventory of \$807.

⁽⁴⁾ Total restructuring expense from continuing operations of \$2,663 was recorded within the All Other category and affected Accrued expenses and other current liabilities, Other non-current liabilities, and Inventories, net.

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(8) Accrued Expenses and Other Current Liabilities

Accrued expenses and other current liabilities consisted of the following:

	September 30, 2021	December 31, 2020
Wages and benefits	\$ 53,746	\$ 40,330
Workers' compensation	10,355	10,355
Black lung	6,784	6,784
Taxes other than income taxes	24,202	21,540
Current portion of asset retirement obligations	30,735	24,990
Accrued interest and fees	16,102	15,902
Deferred revenue	942	13,197
Freight accrual	13,231	2,610
Other	4,635	4,698
Total accrued expenses and other current liabilities	<u>\$ 160,732</u>	<u>\$ 140,406</u>

(9) Long-Term Debt

Long-term debt consisted of the following:

	September 30, 2021	December 31, 2020
Term Loan Credit Facility - due June 2024	\$ 499,435	\$ 553,373
ABL Facility - due April 2022	—	3,350
LCC Note Payable	2,300	27,500
LCC Water Treatment Obligation	5,625	6,875
Other ⁽¹⁾	6,083	8,475
Debt discount and issuance costs	(8,276)	(17,046)
Total long-term debt	505,167	582,527
Less current portion	(7,976)	(28,830)
Long-term debt, net of current portion	<u>\$ 497,191</u>	<u>\$ 553,697</u>

⁽¹⁾ Includes financing leases.

Term Loan Credit Facility - due June 2024

As of September 30, 2021, the borrowings made under the senior secured term loan facility with a maturity date of June 14, 2024 (the "Term Loan Credit Facility") were comprised of Eurocurrency Rate Loans (as defined therein) with an interest rate of 10.00%, calculated as the Eurocurrency rate during the period plus an applicable rate of 8.00%. As of September 30, 2021, the carrying value of the Term Loan Credit Facility was \$492,092, all of which was classified as long-term within the Condensed Consolidated Balance Sheets. As of December 31, 2020, the carrying value of the Term Loan Credit Facility was \$540,643, with \$5,618 classified as current within the Condensed Consolidated Balance Sheets.

During the three months ending September 30, 2021, the Company repurchased and permanently retired, through privately negotiated transactions, \$18,724 of outstanding principal borrowings under the Term Loan Credit Facility. These borrowings were repurchased at a discount resulting in an aggregate purchase price of \$18,415. As the participating lenders were existing shareholders (related parties) of the Company as of the repurchase date, the Company analyzed various factors regarding each of the transactions and concluded such repurchases were at a reasonable market rate and reflected the terms of an arm's length transaction per the requirements of the Term Loan Credit Facility. Additionally, on September 30, 2021, the Company made a voluntary prepayment of \$31,000 of outstanding principal borrowings under the Term Loan Credit Facility. As a result of the prepayment, no further amortization payments under the Term Loan Credit Facility are required prior to maturity.

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All obligations under the Term Loan Credit Facility are guaranteed by substantially all of Alpha's direct and indirect subsidiaries. Certain obligations under the Term Loan Facility are secured by a senior lien, subject to certain exceptions (including the ABL Priority Collateral described below), by substantially all of Alpha's assets and the assets of Alpha's subsidiary guarantors ("Term Loan Priority Collateral"), in each case subject to exceptions. The obligations under the Term Loan Credit Facility are also secured by a junior lien, again subject to certain exceptions, against the ABL Priority Collateral. The Term Loan Facility contains negative and affirmative covenants including certain financial covenants that are more flexible than the covenants in the Amended and Restated Credit Agreement dated November 9, 2018. The Company was in compliance with all covenants under this agreement as of September 30, 2021.

Amended and Restated Asset-Based Revolving Credit Agreement

The Amended and Restated Asset-Based Revolving Credit Agreement includes a senior secured asset-based revolving credit facility (the "ABL Facility"). Under the ABL Facility, the Company may borrow cash or obtain letters of credit, on a revolving basis with any borrowings having a maturity date of April 3, 2022. As of September 30, 2021, the Company is in the process of refinancing the ABL Facility and expects that process to be completed prior to the maturity date. The Company anticipates a reduction in the size of the ABL Facility with borrowing capacity expected to be approximately \$150,000 for the new facility. The Company expects the new facility to have sufficient availability to support the Company's outstanding letters of credit under the current ABL Facility; however, there can be no assurance that the Company will be able to refinance the ABL Facility in a timely manner, or at all. As of September 30, 2021, there were no outstanding borrowings under the ABL Facility. As of December 31, 2020, the carrying value of the ABL Facility was \$3,350, all of which was classified as long-term within the Condensed Consolidated Balance Sheets. As of September 30, 2021 and December 31, 2020, the Company had \$120,037 and \$123,108 letters of credit outstanding under the ABL Facility, respectively.

The Amended and Restated Asset-Based Revolving Credit Agreement provides that a specified percentage of billed, unbilled and approved foreign receivables and raw and clean inventory meeting certain criteria are eligible to be counted for purposes of collateralizing the amount of financing available, subject to certain terms and conditions. Availability under the ABL Facility is calculated on a monthly basis and fluctuates based on qualifying amounts of coal inventory and trade accounts receivable (the "Borrowing Base") and the facility's covenant limitations related to the Fixed Charge Coverage Ratio (as defined therein). In accordance with terms of the ABL Facility, the Company may be required to collateralize the ABL Facility to the extent outstanding borrowings and letters of credit under the ABL Facility exceed the Borrowing Base after considering covenant limitations.

The ABL Facility is guaranteed by substantially all of Alpha's direct and indirect subsidiaries (together with Alpha, the "Loan Parties") and secured by all or substantially all assets of the Loan Parties, including equity in Alpha's direct domestic subsidiaries and first-tier foreign subsidiaries, as collateral for the obligations under the ABL Facility. The ABL Facility has a first lien on ABL Priority Collateral (as defined therein) and a second lien on Term Loan Priority Collateral. The Amended and Restated Asset-Based Revolving Credit Agreement, as amended, and related documents contain negative and affirmative covenants including certain financial covenants. The Company is in compliance with all covenants under these agreements as of September 30, 2021.

LCC Note Payable

As a result of the Merger, the Company assumed a note payable to Lexington Coal Company ("LCC") in the aggregate amount of \$62,500 (the "LCC Note Payable") and with a maturity date of July 26, 2022. The LCC Note Payable has no stated interest rate and an imputed interest rate of 12.45%. Principal repayments of \$17,500 were due each July during 2019, 2020 and 2021, with the final principal payment of \$10,000 due on the maturity date. On July 26, 2021, the Company prepaid \$7,700 of the final principal payment. As a result of the prepayment, \$13,982 of surety collateral was returned. As of September 30, 2021, the remaining \$2,300 was expected to be paid in July of 2022.

The carrying value of the LCC Note Payable was \$2,066 and \$24,423, with \$2,066 and \$17,500 reported within the current portion of long-term debt as of September 30, 2021 and December 31, 2020, respectively.

(10) Acquisition-Related Obligations

Acquisition-related obligations consisted of the following:

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	September 30, 2021	December 31, 2020
Contingent Revenue Obligation	\$ 35,580	\$ 28,967
Environmental Settlement Obligations	8,139	10,391
UMWA Funds Settlement Liability	2,000	2,000
Discount	(487)	(1,491)
Total acquisition-related obligations	45,232	39,867
Less current portion	(26,266)	(19,099)
Acquisition-related obligations, net of current portion	\$ 18,966	\$ 20,768

Contingent Revenue Obligation

As of September 30, 2021 and December 31, 2020, the carrying value of the Contingent Revenue Obligation was \$35,580 and \$28,967, with \$16,614 and \$11,393 classified as current, respectively, classified as an acquisition-related obligation in the Condensed Consolidated Balance Sheets. Refer to Note 12 for further disclosures related to the fair value assignment and methods used.

During the second quarter of 2021, the Company paid \$11,396 pursuant to the terms of the Contingent Revenue Obligation.

(11) Asset Retirement Obligations

The following table summarizes the changes in asset retirement obligations for the nine months ended September 30, 2021:

Total asset retirement obligations at December 31, 2020	\$ 165,064
Accretion for the period	19,970
Sites added during the period	756
Revisions in estimated cash flows	(500)
Expenditures for the period	(12,630)
Total asset retirement obligations at September 30, 2021	172,660
Less current portion ⁽¹⁾	(30,735)
Long-term portion	\$ 141,925

⁽¹⁾ Included within accrued expenses and other current liabilities on the Company's Condensed Consolidated Balance Sheets. Refer to Note 8.

(12) Fair Value of Financial Instruments and Fair Value Measurements

The estimated fair values of financial instruments are determined based on relevant market information. These estimates involve uncertainty and cannot be determined with precision.

The carrying amounts for cash and cash equivalents, trade accounts receivable, net, prepaid expenses and other current assets, short-term and long-term restricted cash, short-term and long-term deposits, trade accounts payable, and accrued expenses and other current liabilities approximate fair value as of September 30, 2021 and December 31, 2020 due to the short maturity of these instruments.

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The following tables set forth by level, within the fair value hierarchy, the Company's long-term debt at fair value as of September 30, 2021 and December 31, 2020:

September 30, 2021					
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Term Loan Credit Facility - due June 2024	\$ 492,092	\$ 494,753	\$ —	\$ 494,753	\$ —
LCC Note Payable	2,066	2,054	—	—	2,054
LCC Water Treatment Obligation	4,926	4,902	—	—	4,902
Total long-term debt	<u>\$ 499,084</u>	<u>\$ 501,709</u>	<u>\$ —</u>	<u>\$ 494,753</u>	<u>\$ 6,956</u>

December 31, 2020					
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Term Loan Credit Facility - due June 2024	\$ 540,643	\$ 379,614	\$ —	\$ 379,614	\$ —
ABL Facility - due April 2022	3,350	3,057	—	—	3,057
LCC Note Payable	24,423	20,328	—	—	20,328
LCC Water Treatment Obligation	5,636	4,281	—	—	4,281
Total long-term debt	<u>\$ 574,052</u>	<u>\$ 407,280</u>	<u>\$ —</u>	<u>\$ 379,614</u>	<u>\$ 27,666</u>

⁽¹⁾ Net of debt discounts and debt issuance costs.

The following tables set forth by level, within the fair value hierarchy, the Company's acquisition-related obligations at fair value as of September 30, 2021 and December 31, 2020:

September 30, 2021					
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
UMWA Funds Settlement Liability	\$ 1,910	\$ 1,934	\$ —	\$ —	\$ 1,934
Environmental Settlement Obligations	7,742	7,723	—	—	7,723
Total acquisition-related obligations	<u>\$ 9,652</u>	<u>\$ 9,657</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ 9,657</u>

December 31, 2020					
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
UMWA Funds Settlement Liability	\$ 1,662	\$ 1,426	\$ —	\$ —	\$ 1,426
Environmental Settlement Obligations	9,237	7,760	—	—	7,760
Total acquisition-related obligations	<u>\$ 10,899</u>	<u>\$ 9,186</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ 9,186</u>

⁽¹⁾ Net of discounts.

The following table sets forth by level, within the fair value hierarchy, the Company's financial and non-financial assets and liabilities that were accounted for at fair value on a recurring basis as of September 30, 2021 and December 31, 2020. Financial and non-financial assets and liabilities are classified in their entirety based on the lowest level of input that is significant to the fair value measurement. The Company's assessment of the significance of a particular input to the fair value measurement requires judgment, and may affect the determination of fair value for assets and liabilities and their placement

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within the fair value hierarchy levels.

September 30, 2021				
	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Contingent Revenue Obligation	\$ 35,580	\$ —	\$ —	\$ 35,580
Trading securities	\$ 28,695	\$ 27,074	\$ 1,621	\$ —

December 31, 2020				
	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Contingent Revenue Obligation	\$ 28,967	\$ —	\$ —	\$ 28,967
Trading securities	\$ 22,498	\$ 20,092	\$ 2,406	\$ —

The following tables present a reconciliation of the financial and non-financial assets and liabilities that were accounted for at fair value on a recurring basis and that were categorized within Level 3 of the fair value hierarchy:

	December 31, 2020	Payments	Loss (Gain) Recognized in Earnings ⁽¹⁾	Transfer In (Out) of Level 3 Fair Value Hierarchy	September 30, 2021
Contingent Revenue Obligation	\$ 28,967	\$ (11,396)	\$ 18,009	\$ —	\$ 35,580

⁽¹⁾ The loss recognized in earnings resulted primarily from an increase in forecasted future revenue as of September 30, 2021.

	December 31, 2019	Payments	Loss (Gain) Recognized in Earnings ⁽¹⁾	Transfer In (Out) of Level 3 Fair Value Hierarchy	September 30, 2020
Contingent Revenue Obligation	\$ 52,427	\$ (14,710)	\$ (13,425)	\$ —	\$ 24,292

⁽¹⁾ The gain recognized in earnings resulted primarily from a change in the forecasted future revenue associated with this obligation and an increase in annualized volatility as of September 30, 2020.

The following methods and assumptions were used to estimate the fair values of the assets and liabilities in the tables above:

Level 1 Fair Value Measurements

Trading Securities - Includes money market funds and other cash equivalents. The fair value is based on observable market data.

Level 2 Fair Value Measurements

Term Loan Credit Facility - due June 2024 - The fair value is based on the average between bid and ask prices provided by a third-party. As the fair value is based on observable market inputs and due to limited trading volume in the Term Loan Credit Facility, the Company has classified the fair value within Level 2 of the fair value hierarchy.

Trading Securities - Includes certificates of deposit, mutual funds, corporate debt securities and U.S. treasury and agency securities. The fair values of the Company's trading securities are obtained from a third-party pricing service provider. The fair values provided by the pricing service provider are based on observable market inputs including credit spreads and broker-dealer quotes, among other inputs. The Company classifies the prices obtained from the pricing services within Level 2 of the fair value hierarchy because the underlying inputs are directly observable from active markets. However, the pricing models used entail a certain amount of subjectivity and therefore differing judgments in how the underlying inputs are modeled could result in different estimates of fair value.

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Level 3 Fair Value Measurements

ABL Facility - due April 2022 - Observable transactions are not available to aid in determining the fair value of this item. Therefore, the fair value was derived by using the expected present value approach in which estimated cash flows are discounted using a risk-free interest rate adjusted for credit risk (discount rate of approximately 9% as of December 31, 2020).

LCC Note Payable, LCC Water Treatment Obligation, UMW Funds Settlement Liability and Environmental Settlement Obligations - Observable transactions are not available to aid in determining the fair value of these items. Therefore, the fair value was derived by using the expected present value approach in which estimated cash flows are discounted using a risk-free interest rate adjusted for credit risk (discount rates of approximately 14% and 34% as of September 30, 2021 and December 31, 2020, respectively).

Contingent Revenue Obligation - The fair value of the contingent revenue obligation was estimated using a Black-Scholes pricing model and is marked to market at each reporting period with changes in value reflected in earnings. The inputs included in the Black-Scholes pricing model are the Company's forecasted future revenue, the stated royalty rate, the remaining periods in the obligation, annual risk-free interest rate based on the U.S. Constant Maturity Treasury Curve and annualized volatility. The annualized volatility was calculated by observing volatilities for comparable companies with adjustments for the Company's size and leverage. The range of significant unobservable inputs used to value the contingent revenue obligation as of September 30, 2021 and December 31, 2020, are set forth in the following table:

	September 30, 2021	December 31, 2020
Forecasted future revenue	\$1.4 - \$2.0 billion	\$0.9 - \$1.1 billion
Stated royalty rate	1.0% - 1.5%	1.0% - 1.5%
Annualized volatility	19.6% - 37.9% (34.2%)	19.4% - 52.1% (28.0%)

(13) Income Taxes

For the nine months ended September 30, 2021, the Company recorded income tax expense of \$211 on income from continuing operations before income taxes of \$32,623. The income tax expense differs from the expected statutory amount primarily due to the decrease in the valuation allowance and the permanent impact of percentage depletion deductions, partially offset by the impact of state income taxes, net of federal impact. As of September 30, 2021, the Company anticipates that no current federal income tax liability will be generated in 2021. For the nine months ended September 30, 2020, the Company recorded income tax benefit of \$2,200 on a loss from continuing operations before income taxes of \$188,620. The income tax benefit differs from the expected statutory amount primarily due to the increase in valuation allowance, partially offset by the permanent impact of percentage depletion deductions, the impact of state income taxes, net of federal tax impact, and the recording of a discrete tax benefit related to the refundability of previously sequestered AMT Credits.

As a result of generating income before income taxes during the nine months ended September 30, 2021, the Company recorded a decrease of \$12,701 to its deferred tax asset valuation allowance recorded as of September 30, 2021. The decrease in the valuation allowance results from a decrease in deferred tax assets since the prior reporting date of December 31, 2020. The valuation allowance associated with those deferred tax assets was released during the nine months ended September 30, 2021. The Company currently is relying primarily on the reversal of taxable temporary differences, along with consideration of taxable income via carryback to prior years and tax planning strategies, to support the realization of deferred tax assets. For each reporting period, the Company updates its assessment regarding the realizability of its deferred tax assets, including scheduling the reversal of its deferred tax assets and liabilities, to determine the amount of valuation allowance needed. Scheduling the reversal of deferred tax asset and liability balances requires judgment and estimation. The Company believes the deferred tax liabilities relied upon as future taxable income in its assessment will reverse in the same period and jurisdiction and are of the same character as the temporary differences giving rise to the deferred tax assets that will be realized. The valuation allowance recorded represents the portion of deferred tax assets for which the Company is unable to support realization through the methods described above.

During the quarter ended September 30, 2021, the Internal Revenue Service ("IRS") concluded its audit of the Company's 2016 federal income tax return and associated net operating loss ("NOL") carryback claim. The audit conclusion did not result in any material impact to the financial statements or related disclosures. Following the conclusion of the audit, the Company received the \$64,160 carryback claim tax refund and \$5,425 of accrued interest. The tax refund and accrued interest were

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included in prior financial statements as part of “Prepaid expenses and other current assets” balance sheet line item.

(14) Employee Benefit Plans

The components of net periodic (benefit) expense other than the service cost component for the employee benefit plan obligations below are included in the line item miscellaneous income (loss), net in the Condensed Consolidated Statements of Operations.

Pension

The following table details the components of the net periodic benefit for pension obligations:

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
Interest cost	\$ 3,392	\$ 4,670	\$ 10,176	\$ 14,061
Expected return on plan assets	(7,183)	(6,752)	(21,549)	(20,312)
Amortization of net actuarial loss	804	511	2,413	1,501
Settlement	—	—	—	1,230
Net periodic benefit	\$ (2,987)	\$ (1,571)	\$ (8,960)	\$ (3,520)

During the three months ended June 30, 2021, an annual census data actuarial revaluation of pension obligations was performed, which resulted in a decrease in the liability for pension obligations of approximately \$8,838 with the offset to accumulated other comprehensive gain and a slight increase in net periodic benefit to be recognized subsequent to the revaluation date.

As a result of the recent funding relief granted under the American Rescue Plan Act, estimated contributions requirements to the pension plans were reduced relative to the Company’s previous estimates. The Company contributed \$6,571 to the pension plans during the nine months ended September 30, 2021 and is not required to make additional contributions in the remainder of 2021.

Black Lung

The following table details the components of the net periodic expense for black lung obligations:

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
Service cost	\$ 739	\$ 499	\$ 2,217	\$ 1,479
Interest cost	607	678	1,821	2,275
Expected return on plan assets	(14)	(13)	(42)	(40)
Amortization of net actuarial loss	522	426	1,566	927
Net periodic expense	\$ 1,854	\$ 1,590	\$ 5,562	\$ 4,641

Defined Contribution and Profit-Sharing Plans

During the second quarter of 2020, the Company’s matching contributions under the Alpha Metallurgical Resources (formerly Contura Energy) 401(k) Retirement Savings Plan (the “Plan”) were suspended due to weak market conditions at that time. Effective in June 2021, the Company’s matching contributions under the Plan were reinstated.

(15) Related Party Transactions

During the three months ending September 30, 2021, the Company repurchased at a discount certain outstanding principal borrowings made under the Term Loan Credit Facility from existing shareholders through privately negotiated transactions. Refer to Note 9 for additional disclosures on long-term debt.

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There were no other material related party transactions for the nine months ended September 30, 2021 or 2020.

(16) Commitments and Contingencies

(a) General

Estimated losses from loss contingencies are accrued by a charge to income when information available indicates that it is probable that an asset has been impaired or a liability has been incurred and the amount of the loss can be reasonably estimated.

If a loss contingency is not probable or reasonably estimable, disclosure of the loss contingency is made in the Condensed Consolidated Financial Statements when it is at least reasonably possible that a loss may be incurred and that the loss could be material.

(b) Commitments and Contingencies

Commitments

The Company leases coal mining and other equipment under long-term financing and operating leases with varying terms. In addition, the Company leases mineral interests and surface rights from landowners under various terms and royalty rates.

Other Commitments

As of September 30, 2021, the Company has obligations under certain coal transportation agreements that contain minimum quantities to be shipped during contract periods from 2021 through 2022 with estimated obligations based on remaining tons to be shipped totaling \$14,905 in 2022. The Company also has obligations under certain coal purchase agreements that contain minimum quantities to be purchased in the remainder of 2021 totaling an estimated \$22,647, which includes an estimated \$3,016 related to contractually committed fixed priced tons from vendors with historical performance resulting in less than 20% of the committed tonnage being delivered.

Contingencies

Extensive regulation of the impacts of mining on the environment and of maintaining workplace safety has had, and is expected to continue to have, a significant effect on the Company's costs of production and results of operations. Further regulations, legislation or litigation in these areas may also cause the Company's sales or profitability to decline by increasing costs or by hindering the Company's ability to continue mining at existing operations or to permit new operations.

During the normal course of business, contract-related matters arise between the Company and its customers. When a loss related to such matters is considered probable and can reasonably be estimated, the Company records a liability.

As of September 30, 2021, per terms of the Cumberland Back-to-Back Coal Supply Agreements, the Company is required to purchase and sell 722 and 2,581 tons of coal in the remainder of 2021 and 2022 totaling \$28,207 and \$100,619, respectively. For the three and nine months ended September 30, 2021, the Company purchased and sold 514 and 1,974 tons, respectively, totaling \$19,948 and \$76,501, respectively, under the Cumberland Back-to-Back Coal Supply Agreements. Cumberland Back-to-Back Coal Supply Agreements are scheduled to be fully performed by December 31, 2022.

(c) Guarantees and Financial Instruments with Off-Balance Sheet Risk

In the normal course of business, the Company is a party to certain guarantees and financial instruments with off-balance sheet risk, such as bank letters of credit, performance or surety bonds, and other guarantees and indemnities related to the obligations of affiliated entities which are not reflected in the Company's Condensed Consolidated Balance Sheets. However, the underlying liabilities that they secure, such as asset retirement obligations, workers' compensation liabilities, and royalty obligations, are reflected in the Company's Condensed Consolidated Balance Sheets.

The Company is required to provide financial assurance in order to perform the post-mining reclamation required by its mining permits, pay workers' compensation claims under workers' compensation laws in various states, pay federal black lung benefits, and perform certain other obligations. In order to provide the required financial assurance, the Company generally uses

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surety bonds for post-mining reclamation and workers' compensation obligations. The Company can also use bank letters of credit to collateralize certain obligations.

As of September 30, 2021, the Company had \$120,037 letters of credit outstanding under the Amended and Restated Asset-Based Revolving Credit Agreement. Additionally, as of September 30, 2021, the Company had \$613 letters of credit outstanding under the Credit and Security Agreement dated June 30, 2017, and related amendments, between ANR, Inc. and First Tennessee Bank National Association. On March 31, 2021, the Amended and Restated Letter of Credit Agreement dated November 9, 2018 between ANR, Inc. and Citibank, N.A. was terminated.

As of September 30, 2021, the Company had outstanding surety bonds with a total face amount of \$176,909 to secure various obligations and commitments, including \$30 attributable to discontinued operations. To secure the Company's reclamation-related obligations, the Company has \$37,164 of collateral supporting these obligations as of September 30, 2021.

The Company meets frequently with its surety providers and has discussions with certain providers regarding the extent of and the terms of their participation in the program. These discussions may cause the Company to shift surety bonds between providers or to alter the terms of their participation in our program. To the extent that surety bonds become unavailable or the Company's surety bond providers require additional collateral, the Company would seek to secure its obligations with letters of credit, cash deposits or other suitable forms of collateral. The Company's failure to maintain, or inability to acquire, surety bonds or to provide a suitable alternative would have a material adverse effect on its liquidity. These failures could result from a variety of factors including lack of availability, higher cost or unfavorable market terms of new surety bonds, and the exercise by third-party surety bond issuers of their right to refuse to renew the surety.

Amounts included in restricted cash represent cash deposits primarily invested in interest bearing accounts that are restricted as to withdrawal as required by certain agreements entered into by the Company and provide collateral to secure the following obligations which have been written on the Company's behalf:

	September 30, 2021	December 31, 2020
Workers' compensation and black lung obligations	\$ 66,488	\$ 69,725
Reclamation-related obligations	10,580	8,445
Financial payments and other performance obligations	6,933	17,863
Contingent revenue obligation escrow	7,642	9,311
Total restricted cash	91,643	105,344
Less current portion ⁽¹⁾	(7,642)	(9,311)
Restricted cash, net of current portion	\$ 84,001	\$ 96,033

⁽¹⁾ Included within prepaid expenses and other current assets on the Company's Condensed Consolidated Balance Sheets.

Restricted investments consist of Federal Deposit Insurance Company ("FDIC") insured certificates of deposit, mutual funds, and U.S. treasury bills that are restricted as to withdrawal as required by certain agreements entered into by the Company and provide collateral to secure the following obligations which have been written on the Company's behalf:

	September 30, 2021	December 31, 2020
Workers' compensation obligations	\$ 211	\$ 51
Reclamation-related obligations	26,467	22,233
Financial payments and other performance obligations	2,017	1,484
Total restricted investments ^{(1), (2)}	\$ 28,695	\$ 23,768

⁽¹⁾ Included within other non-current assets on the Company's Condensed Consolidated Balance Sheets.

⁽²⁾ As of September 30, 2021 and December 31, 2020, respectively, \$28,695 and \$22,498 are classified as trading securities and \$0 and \$1,270 are classified as held-to-maturity securities.

Deposits represent cash deposits held at third parties as required by certain agreements entered into by the Company to provide cash collateral to secure the following obligations which have been written on the Company's behalf:

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	September 30, 2021	December 31, 2020
Reclamation-related obligations	\$ 117	\$ 25,633
Financial payments and other performance obligations	403	1,596
Other operating agreements	881	1,018
Total deposits ⁽¹⁾	\$ 1,401	\$ 28,247

⁽¹⁾ Included within prepaid expenses and other current assets and other non-current assets on the Company's Condensed Consolidated Balance Sheets.

DCMWC Reauthorization Process

In July 2019, the U.S. Department of Labor (Division of Coal Mine Workers' Compensation or "DCMWC") began implementing a new authorization process for all self-insured coal mine operators. As requested by the DCMWC, the Company filed an application and supporting documentation for reauthorization to self-insure certain of its black lung obligations in October 2019. As a result of this application, the DCMWC notified the Company in a letter dated February 21, 2020 that the Company was reauthorized to self-insure certain of its black lung obligations for a period of one-year from February 21, 2020. The DCMWC reauthorization is contingent, however, upon the Company's providing collateral of \$65,700 to secure certain of its black lung obligations. This proposed collateral requirement is an increase from the approximate \$2,600 in collateral that the Company currently provides to secure these self-insured black lung obligations. The reauthorization process provided the Company with the right to appeal the security determination in writing within 30 days of the date of the notification, which appeal period the DCMWC agreed to extend to May 22, 2020. The Company exercised this right of appeal in connection with the substantial increase in the amount of required collateral. However, there has been no substantive activity under the appeal since its filing. In February 2021, the U.S. Department of Labor withdrew its Federal Register notice seeking comments on its bulletin describing its new method of calculating collateral requirements. The Department removed the bulletin from its website in May 2021. If the Company's appeal is unsuccessful, the Company may be required to provide additional letters of credit to receive the self-insurance reauthorization from the DCMWC or alternatively insure these black lung obligations through a third party provider that would likely also require the Company to provide additional collateral. Either of these outcomes could potentially reduce the Company's liquidity.

(d) Legal Proceedings

The Company is party to legal proceedings from time to time. These proceedings, as well as governmental examinations, could involve various business units and a variety of claims including, but not limited to, contract disputes, personal injury claims, property damage claims (including those resulting from blasting, trucking and flooding), environmental and safety issues, securities-related matters and employment matters. While some legal matters may specify the damages claimed by the plaintiffs, many seek an unquantified amount of damages. Even when the amount of damages claimed against the Company or its subsidiaries is stated, (i) the claimed amount may be exaggerated or unsupported; (ii) the claim may be based on a novel legal theory or involve a large number of parties; (iii) there may be uncertainty as to the likelihood of a class being certified or the ultimate size of the class; (iv) there may be uncertainty as to the outcome of pending appeals or motions; and/or (v) there may be significant factual issues to be resolved. As a result, if such legal matters arise in the future, the Company may be unable to estimate a range of possible loss for matters that have not yet progressed sufficiently through discovery and development of important factual information and legal issues. The Company records accruals based on an estimate of the ultimate outcome of these matters, but these estimates can be difficult to determine and involve significant judgment.

(17) Segment Information

The Company extracts, processes and markets met and thermal coal from deep and surface mines for sale to steel and coke producers, industrial customers, and electric utilities. The Company conducts mining operations only in the United States with mines in Central Appalachia ("CAPP"). The Company has one reportable segment: Met, which consists of five active mines and two preparation plants in Virginia, thirteen active mines and five preparation plants in West Virginia, as well as expenses associated with certain idled/closed mines. Prior to the first quarter of 2021, the Company had two reportable segments: CAPP - Met and CAPP - Thermal. As a result of the Company's continued strategic focus on the production of metallurgical coal and the reduction of thermal mining operations, the Company re-evaluated its previous conclusions with respect to its segment reporting during the first quarter of 2021. To conform to the current period reportable segments presentation, the prior periods have been restated to reflect the change in reportable segments.

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In addition to the one reportable segment, the All Other category includes general corporate overhead and corporate assets and liabilities, the former CAPP - Thermal operations consisting of one active mine and one preparation plant in West Virginia, and the elimination of certain intercompany activity, as well as expenses associated with certain idled/closed mines.

Reportable segment operating results are regularly reviewed by the Chief Operating Decision Maker ("CODM"), who is the Chief Executive Officer of the Company.

Segment operating results and capital expenditures for the three months ended September 30, 2021 and 2020 were as follows:

	Three Months Ended September 30, 2021		
	Met	All Other	Consolidated
Total revenues	\$ 626,103	\$ 22,738	\$ 648,841
Depreciation, depletion, and amortization	\$ 23,181	\$ 1,338	\$ 24,519
Amortization of acquired intangibles, net	\$ 3,063	\$ (83)	\$ 2,980
Adjusted EBITDA	\$ 155,456	\$ (7,234)	\$ 148,222
Capital expenditures	\$ 21,882	\$ 465	\$ 22,347

	Three Months Ended September 30, 2020		
	Met	All Other	Consolidated
Total revenues	\$ 295,381	\$ 40,211	\$ 335,592
Depreciation, depletion, and amortization	\$ 41,178	\$ 8,058	\$ 49,236
Amortization of acquired intangibles, net	\$ 2,535	\$ (461)	\$ 2,074
Adjusted EBITDA	\$ 17,772	\$ (5,412)	\$ 12,360
Capital expenditures	\$ 22,668	\$ 839	\$ 23,507

Segment operating results and capital expenditures for the nine months ended September 30, 2021 and 2020 were as follows:

	Nine Months Ended September 30, 2021		
	Met	All Other	Consolidated
Total revenues	\$ 1,363,918	\$ 66,451	\$ 1,430,369
Depreciation, depletion, and amortization	\$ 75,403	\$ 4,858	\$ 80,261
Amortization of acquired intangibles, net	\$ 9,749	\$ (347)	\$ 9,402
Adjusted EBITDA	\$ 234,824	\$ (17,801)	\$ 217,023
Capital expenditures	\$ 59,408	\$ 978	\$ 60,386

	Nine Months Ended September 30, 2020		
	Met	All Other	Consolidated
Total revenues	\$ 974,674	\$ 117,662	\$ 1,092,336
Depreciation, depletion, and amortization	\$ 121,679	\$ 22,242	\$ 143,921
Amortization of acquired intangibles, net	\$ 7,875	\$ (3,409)	\$ 4,466
Adjusted EBITDA	\$ 104,408	\$ (28,406)	\$ 76,002
Capital expenditures	\$ 83,449	\$ 6,979	\$ 90,428

ALPHA METALLURGICAL RESOURCES, INC. AND SUBSIDIARIES
Notes to Condensed Consolidated Financial Statements
(Unaudited, amounts in thousands except share and per share data)

The following tables present a reconciliation of net income (loss) to Adjusted EBITDA for the three months ended September 30, 2021 and 2020:

	Three Months Ended September 30, 2021		
	Met	All Other	Consolidated
Net income (loss) from continuing operations	\$ 125,750	\$ (42,057)	\$ 83,693
Interest expense	49	17,289	17,338
Interest income	(1)	(53)	(54)
Income tax expense	—	208	208
Depreciation, depletion and amortization	23,181	1,338	24,519
Non-cash stock compensation expense	6	1,182	1,188
Mark-to-market adjustment - acquisition-related obligations	—	11,676	11,676
Accretion on asset retirement obligations	3,408	3,266	6,674
Amortization of acquired intangibles, net	3,063	(83)	2,980
Adjusted EBITDA	<u>\$ 155,456</u>	<u>\$ (7,234)</u>	<u>\$ 148,222</u>

	Three Months Ended September 30, 2020		
	Met	All Other	Consolidated
Net loss from continuing operations	\$ (29,656)	\$ (38,832)	\$ (68,488)
Interest expense	(188)	18,934	18,746
Interest income	(2)	(374)	(376)
Income tax benefit	—	(45)	(45)
Depreciation, depletion and amortization	41,178	8,058	49,236
Non-cash stock compensation expense	105	973	1,078
Mark-to-market adjustment - acquisition-related obligations	—	3,624	3,624
Accretion on asset retirement obligations	3,800	2,937	6,737
Asset impairment and restructuring ⁽¹⁾	—	(226)	(226)
Amortization of acquired intangibles, net	2,535	(461)	2,074
Adjusted EBITDA	<u>\$ 17,772</u>	<u>\$ (5,412)</u>	<u>\$ 12,360</u>

⁽¹⁾ Refer to Note 7 for additional information on asset impairment and restructuring during the period.

The following tables present a reconciliation of net income (loss) to Adjusted EBITDA for the nine months ended September 30, 2021 and 2020:

	Nine Months Ended September 30, 2021		
	Met	All Other	Consolidated
Net income (loss) from continuing operations	\$ 139,354	\$ (106,942)	\$ 32,412
Interest expense	132	53,158	53,290
Interest income	(6)	(316)	(322)
Income tax expense	—	211	211
Depreciation, depletion and amortization	75,403	4,858	80,261
Non-cash stock compensation expense	22	4,329	4,351
Mark-to-market adjustment - acquisition-related obligations	—	18,009	18,009
Accretion on asset retirement obligations	10,170	9,800	19,970
Asset impairment and restructuring ⁽¹⁾	—	(561)	(561)
Amortization of acquired intangibles, net	9,749	(347)	9,402
Adjusted EBITDA	<u>\$ 234,824</u>	<u>\$ (17,801)</u>	<u>\$ 217,023</u>

ALPHA METALLURGICAL RESOURCES, INC. AND SUBSIDIARIES
Notes to Condensed Consolidated Financial Statements
(Unaudited, amounts in thousands except share and per share data)

⁽¹⁾ Refer to Note 7 for additional information on asset impairment and restructuring during the period.

	Nine Months Ended September 30, 2020		
	Met	All Other	Consolidated
Net loss from continuing operations	\$ (68,338)	\$ (118,082)	\$ (186,420)
Interest expense	(1,494)	57,732	56,238
Interest income	(63)	(6,811)	(6,874)
Income tax benefit	—	(2,200)	(2,200)
Depreciation, depletion and amortization	121,679	22,242	143,921
Non-cash stock compensation expense	410	3,790	4,200
Mark-to-market adjustment - acquisition-related obligations	—	(13,425)	(13,425)
Accretion on asset retirement obligations	10,887	9,058	19,945
Asset impairment and restructuring ⁽¹⁾	32,951	21,030	53,981
Management restructuring costs ⁽²⁾	501	439	940
Loss on partial settlement of benefit obligations	—	1,230	1,230
Amortization of acquired intangibles, net	7,875	(3,409)	4,466
Adjusted EBITDA	\$ 104,408	\$ (28,406)	\$ 76,002

⁽¹⁾ Refer to Note 7 for additional information on asset impairment and restructuring during the period.

⁽²⁾ Management restructuring costs are related to severance expense associated with senior management changes in the three months ended March 31, 2020.

No asset information has been disclosed as the CODM does not regularly review asset information by reportable segment.

The Company markets produced, processed and purchased coal to customers in the United States and in international markets, primarily China, India, and Brazil. Revenue is tracked within the Company's accounting records based on the product destination. Export coal revenues were the following:

	Three Months Ended September 30,		Nine Months Ended September 30,	
	2021	2020	2021	2020
Export coal revenues	\$ 647,129	\$ 335,189	\$ 1,426,039	\$ 1,089,764
Domestic coal revenues	\$ 516,877	\$ 205,576	\$ 1,016,677	\$ 697,692
Export coal revenues as % of total coal revenues	80%	6%	71%	6%
Countries with export coal revenue exceeding 10% of total revenue	China, India	India	China, India, Brazil	India, Brazil

GLOSSARY

Alpha. Alpha Metallurgical Resources, Inc. (the “Company”) (previously named Contura Energy, Inc.).

Ash. Impurities consisting of iron, alumina and other incombustible matter that are contained in coal. Since ash increases the weight of coal, it adds to the cost of handling and can affect the burning characteristics of coal.

British Thermal Unit or BTU. A measure of the thermal energy required to raise the temperature of one pound of pure liquid water one degree Fahrenheit at the temperature at which water has its greatest density (39 degrees Fahrenheit).

Central Appalachia or CAPP. Coal producing area in eastern Kentucky, Virginia, southern West Virginia and a portion of eastern Tennessee.

Coal seam. Coal deposits occur in layers. Each layer is called a “seam.”

Coke. A hard, dry carbon substance produced by heating coal to a very high temperature in the absence of air. Coke is used in the manufacture of iron and steel. Its production results in a number of useful byproducts.

Cumberland Back-to-Back Coal Supply Agreement. Certain agreements with Iron Senergy under which Iron Senergy will sell to the Company all of the coal that the Company is obligated to sell to customers under Cumberland coal supply agreements (“Cumberland CSAs”) which existed as of the transaction closing date but did not transfer to Iron Senergy at closing (each, a “Cumberland Back-to-Back Coal Supply Agreement”). Each Cumberland Back-to-Back Coal Supply Agreement has economic terms identical to, but offsetting, the related Cumberland CSA. If a Cumberland customer subsequently consents to assign a Cumberland CSA to Iron Senergy after closing, the related Cumberland CSA will immediately and automatically transfer to Iron Senergy and the related Cumberland Back-to-Back Coal Supply Agreements executed by the parties shall thereupon terminate as set forth therein.

ESG. Environmental, social and governance sustainability criteria.

Merger. Merger with ANR, Inc. and Alpha Natural Resources Holdings, Inc. completed on November 9, 2018.

Metallurgical coal. The various grades of coal suitable for carbonization to make coke for steel manufacture. Also known as “met” coal, its quality depends on four important criteria: volatility, which affects coke yield; the level of impurities including sulfur and ash, which affect coke quality; composition, which affects coke strength; and basic characteristics, which affect coke oven safety. Met coal typically has a particularly high BTU but low ash and sulfur content.

Northern Appalachia or NAPP. Coal producing area in Maryland, Ohio, Pennsylvania and northern West Virginia.

Operating Margin. Coal revenues less cost of coal sales.

Preparation plant. A preparation plant is a facility for crushing, sizing and washing coal to remove impurities and prepare it for use by a particular customer. The washing process has the added benefit of removing some of the coal’s sulfur content. A preparation plant is usually located on a mine site, although one plant may serve several mines.

Probable reserves. Reserves for which quantity and grade and/or quality are computed from information similar to that used for proven reserves, but the sites for inspection, sampling and measurement are farther apart or are otherwise less adequately spaced. The degree of assurance, although lower than that for proven reserves, is high enough to assume continuity between points of observation.

Productivity. As used in this report, refers to clean metric tons of coal produced per underground man hour worked, as published by the MSHA.

Proven reserves. Reserves for which quantity is computed from dimensions revealed in outcrops, trenches, workings or drill holes. Grade and/or quality are computed from the results of detailed sampling, and the sites for inspection, sampling and measurement are spaced so closely and the geologic character is so well defined that size, shape, depth and mineral content of reserves are well-established.

Reclamation. The process of restoring land and the environment to their original state following mining activities. The process commonly includes “recontouring” or reshaping the land to its approximate original appearance, restoring topsoil and

planting native grass and ground covers. Reclamation operations are usually underway before the mining of a particular site is completed. Reclamation is closely regulated by both state and federal law.

Reserve. That part of a mineral deposit that could be economically and legally extracted or produced at the time of the reserve determination.

Roof. The stratum of rock or other mineral above a coal seam; the overhead surface of a coal working place.

Sulfur. One of the elements present in varying quantities in coal that contributes to environmental degradation when coal is burned. Sulfur dioxide is produced as a gaseous by-product of coal combustion.

Surface mine. A mine in which the coal lies near the surface and can be extracted by removing the covering layer of soil.

Thermal coal. Coal used by power plants and industrial steam boilers to produce electricity, steam or both. It generally is lower in BTU heat content and higher in volatile matter than metallurgical coal.

Tons. A “short” or net ton is equal to 2,000 pounds. A “long” or British ton is equal to 2,240 pounds; a “metric” ton (or “tonne”) is approximately 2,205 pounds. Tonnage amounts in this report are stated in short tons, unless otherwise indicated.

UMWA. United Mine Workers of America.

Underground mine. Also known as a “deep” mine. Usually located several hundred feet below the earth’s surface, an underground mine’s coal is removed mechanically and transferred by shuttle car and conveyor to the surface.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

The following discussion and analysis provides a narrative of our results of operations and financial condition for the three and nine months ended September 30, 2021 and 2020. The following discussion and analysis contains forward-looking statements and should be read in conjunction with our Condensed Consolidated Financial Statements and related notes included elsewhere in this Quarterly Report on Form 10-Q and our Consolidated Financial Statements and related notes and risk factors contained in our Annual Report on Form 10-K for the year ended December 31, 2020. See "Cautionary Note Regarding Forward Looking Statements" included elsewhere herein.

COVID-19 Pandemic

The COVID-19 pandemic has had negative impacts on our business, results of operations, financial condition and cash flows. For the 2021 year to date period, approximately 32% of our employees have missed approximately 4.5 working days on average, due to COVID-19 related matters such as precautionary quarantining, waiting on COVID-19 test results, testing positive for COVID-19, or providing care for a family member, which totaled approximately \$0.8 million of paid leave. The full extent of the impact of the COVID-19 pandemic on our operational and financial performance will depend on certain developments, including the continued duration and spread of the outbreak, its impact on our customers and suppliers and the range of governmental and community reactions to the pandemic, which are still uncertain and still cannot be fully predicted. Our current view of the impacts of COVID-19 to our customers and suppliers is discussed below in the Market Overview section. We have not experienced significant supply chain disruptions due to the COVID-19 pandemic. We continue to monitor developments closely.

All of our coal mining operations have been classified as essential in the states in which we operate enabling them to continue operations throughout the COVID-19 pandemic. Health and safety are core values of our company and are the foundation for how we manage every aspect of our business and we have therefore implemented policies, procedures and prevention measures to protect our employees during the COVID-19 pandemic. These policies, procedures and prevention measures include, but are not limited to, employee communications on COVID-19 monitoring and precautionary measures, enhanced cleaning and sterilization practices, and remote work arrangements. We continue to evaluate these policies, procedures and precautionary measures for appropriate modifications as necessary.

Market Overview

The ascent of metallurgical coal market indices continued and intensified throughout the third quarter of 2021, with the U.S. East Coast High Volatile A index starting the quarter on July 1, 2021 at \$193 per metric ton and ending the quarter on September 30, 2021 at \$377 per metric ton. The U.S. East Coast Low Volatile index followed a similar path, moving from \$217 per metric ton at the start of the quarter to \$412 per metric ton at quarter close. During the second quarter, the Australian and Atlantic indices moved toward a more traditional equilibrium and that continued into the third quarter. Despite China's continued ban on Australian coal imports, the Australian Premium Low Volatile index more than doubled in the third quarter, from \$190 per metric ton on July 1, 2021 up to \$401 per metric ton on September 30, 2021. Although market pricing is expected to remain volatile, we anticipate significantly higher average metallurgical coal sales realizations on tons sold under contracts tied to market indices in the fourth quarter relative to average coal sales realizations in the current year-to-date period.

While economic growth indicators have retreated slightly from their mid-year highs, the world manufacturing Purchasing Managers' Index ("PMI") remained steady at 54.1 in both August and September. The United States recorded PMI indices of 61.1 and 60.7 in August and September, respectively. Country-specific PMI data for Alpha's key foreign markets remained above 50.0 in Europe, Brazil, and India in September. China's PMI rose from 49.2 in August to 50.0 in September.

Global crude steel production, as measured by the World Steel Association ("WSA"), was 156.8 million metric tons in August 2021, largely flat as compared to the year-ago period of August 2020. August crude steel production in the European Union and North America increased 27.1% and 24.4%, respectively, year over year. China's production level of 83.2 million metric tons was down 13.2% as compared to August of 2020. In WSA's most recent short-range outlook released in mid-October 2021, the organization predicted a swifter return to pre-pandemic global steel demand levels than previously anticipated in all areas except China, where production levels have retreated in recent months. Assuming continued progress in COVID-19 vaccination efforts across the globe, WSA expects further global steel demand growth of 2.2% in 2022.

Capacity utilization at U.S. steel mills has in recent weeks remained at or near the multi-year high, with the rate at 85.3% for the week ending October 16, 2021. Through mid-October, the year-to-date utilization rate was 81.3%. The prolonged strength in this weekly measure by the American Iron and Steel Institute is an indicator of the robustness in steel demand in North America.

As the economic recovery from the COVID-19 pandemic occurs at varying degrees globally depending on local circumstances, imbalances in the supply chain have resulted in some inflationary pressure on certain materials used in our operations, such as steel utilized in roof support and diesel fuel. Despite the continued unevenness of the economic recovery, demand for metallurgical coal remains robust, especially in Alpha's key markets, and tight supply conditions persist. The early-2021 imbalance between the Atlantic and Australian benchmark indices has subsided, giving way to a more traditional equilibrium. The trade tensions between China and Australia have not yet been resolved and China's ban on Australian coal remains in place, creating opportunities for other producers to fulfill China's need for high quality metallurgical coal. Year to date, Alpha has sold approximately 1.9 million net tons of metallurgical coal into China for the 2021 calendar year. Although there is little certainty about when circumstances may change between China and Australia, we have been pleased to expand our customer base and hope to continue cultivating relationships that could develop into long-term contracts. We are also strategically expanding our marketing efforts to grow Alpha's metallurgical sales opportunities throughout other parts of Asia.

The annual domestic sales negotiation process is largely complete for 2022, with Alpha having contracted over 3.5 million net tons of metallurgical coal to North American customers for next year at a fixed price. While a handful of discussions remain in progress and may result in additional contracts for Alpha, the majority of our 2022 domestic metallurgical business has been secured. In total, Alpha expects to ship 14.5 million net tons of metallurgical coal in 2022, with the majority expected to be sold into the export markets.

The thermal coal market continues to experience tightness, and thermal indices, such as API2, have increased within the third quarter. Alpha continues to ship coal in accordance with existing contracts and is selling some thermal coal into spot markets as opportunities arise. The Slabcamp mine remains on schedule to mine out and cease operation in summer of 2022, at which time Alpha will have no remaining thermal operations.

Business Overview

We are a Tennessee-based mining company with operations across Virginia and West Virginia. With customers across the globe, high-quality reserves and significant port capacity, we are a leading U.S. supplier of metallurgical products for the steel industry. We operate high-quality, cost-competitive coal mines across the CAPP coal basin. As of September 30, 2021, our operations consisted of nineteen active mines and eight coal preparation and load-out facilities, with approximately 3,400 employees. We produce, process, and sell met coal and thermal coal. We also sell coal produced by others, some of which is processed and/or blended with coal produced from our mines prior to resale, with the remainder purchased for resale. As of December 31, 2020, we had 623.5 million tons of reserves, including 445.0 million tons of proven reserves and 178.5 million tons of probable reserves.

For the three months ended September 30, 2021 and 2020, sales of met coal were 3.9 million tons and 3.1 million tons, respectively, and accounted for approximately 82% and 78%, respectively, of our coal sales volume. Sales of thermal coal were 0.8 million tons and 0.9 million tons, respectively, and accounted for approximately 18% and 22%, respectively, of our coal sales volume. For the nine months ended September 30, 2021 and 2020, sales of met coal were 10.6 million tons and 9.4 million tons, respectively, and accounted for approximately 83% and 80%, respectively, of our coal sales volume. Sales of thermal coal were 2.2 million tons and 2.4 million tons, respectively, and accounted for approximately 17% and 20%, respectively, of our coal sales volume.

Our sales of met coal were made primarily to steel companies in the northeastern and midwestern regions of the United States and in several countries in Europe, Asia and the Americas. Our sales of thermal coal were made primarily to large utilities and industrial customers throughout the United States. For the three months ended September 30, 2021 and 2020 approximately 80% and 61%, respectively, of our total coal revenues were derived from coal sales made to customers outside the United States. For the nine months ended September 30, 2021 and 2020 approximately 71% and 64%, respectively, of our total coal revenues were derived from coal sales made to customers outside the United States.

In addition, we generate other revenues from equipment sales, rentals, terminal and processing fees, coal and environmental analysis fees, royalties and the sale of natural gas. We also record freight and handling fulfillment revenue within coal revenues for freight and handling services provided in delivering coal to certain customers, which are a component of the contractual selling price.

As of September 30, 2021, we have one reportable segment: Met. To conform to the current period reportable segment presentation, the prior periods have been restated to reflect the change in reportable segments. Our Met segment operations consist of high-quality met coal mines, including Deep Mine 41, Road Fork 52, Black Eagle, and Lynn Branch. The coal produced by our Met segment operations is predominantly met coal with some amounts of thermal coal being produced as a

byproduct of mining. In addition to the one reportable segment, our All Other category includes general corporate overhead and corporate assets and liabilities, our former CAPP - Thermal operations consisting of one active mine and one preparation plant in West Virginia, and the elimination of certain intercompany activity, as well as expenses associated with certain idled/closed mines. Refer to Note 17 to our Condensed Consolidated Financial Statements for additional disclosures on reportable segments, geographic areas, and export coal revenue information.

The disposition of our former NAPP operations during the fourth quarter of 2020 accelerated our strategic exit from thermal coal production to shift our focus toward met coal production. The former NAPP operations results of operations and financial position are reported as discontinued operations in the Condensed Consolidated Financial Statements. The historical information in the accompanying Notes to the Condensed Consolidated Financial Statements has been restated to reflect the effects of these former operations being reported as discontinued operations in the Condensed Consolidated Financial Statements. Refer to Note 2 for further information on discontinued operations. We are sold out of thermal production for 2021. At our thermal coal operations, we have significantly reduced inventories at all locations and are matching our sales and production to make for an orderly transition to lower thermal coal production.

Factors Affecting Our Results of Operations

Sales Agreements. We manage our commodity price risk for coal sales through the use of coal supply agreements. As of October 29, 2021, we had sales commitments for 2021 as follows:

	Tons	% Priced	Average Realized Price per Ton
Met - Domestic			\$88.55
Met - Export			\$123.02
Met Total	13.5 million	96 %	\$111.28
Thermal	1.6 million	98 %	\$55.76
Met Segment	15.1 million	96 %	\$105.45
All Other	1.5 million	90 %	\$58.33

Due to the significant uncertainty in the worldwide coal markets due to COVID-19, there is risk of reduction in future shipments due to deferrals and utilization of force majeure clauses in customer contracts.

Realized Pricing. Our realized price per ton of coal is influenced by many factors that vary by region, including (i) coal quality, which includes energy (heat content), sulfur, ash, volatile matter and moisture content; (ii) differences in market conventions concerning transportation costs and volume measurement; and (iii) regional supply and demand.

Costs. Our results of operations are dependent upon our ability to maximize productivity and control costs. Our primary expenses are for operating supply costs, repair and maintenance expenditures, cost of purchased coal, royalties, current wages and benefits, freight and handling costs and taxes incurred in selling our coal. Principal goods and services we use in our operations include maintenance and repair parts and services, electricity, fuel, roof control and support items, explosives, tires, conveyance structure, ventilation supplies and lubricants. Our management strives to aggressively control costs and improve operating performance to mitigate external cost pressures. We experience volatility in operating costs related to fuel, explosives, steel, tires, contract services and healthcare, among others, and take measures to mitigate the increases in these costs at all operations. We have a centralized sourcing group for major supplier contract negotiation and administration, for the negotiation and purchase of major capital goods, and to support the business units. We promote competition between suppliers and seek to develop relationships with suppliers that focus on lowering our costs. We seek suppliers who identify and concentrate on implementing continuous improvement opportunities within their area of expertise. To the extent upward pressure on costs exceeds our ability to realize sales increases, or if we experience unanticipated operating or transportation difficulties, our operating margins would be negatively impacted. We may also experience difficult geologic conditions, delays in obtaining permits, labor shortages, unforeseen equipment problems, and unexpected shortages of critical materials such as tires, fuel and explosives that may result in adverse cost increases and limit our ability to produce at forecasted levels.

Results of Operations

Our results of operations for the three and nine months ended September 30, 2021 and 2020 are discussed in these “Results of Operations” presented below.

Three Months Ended September 30, 2021 Compared to the Three Months Ended September 30, 2020

Revenues

The following table summarizes information about our revenues during the three months ended September 30, 2021 and 2020:

(In thousands, except for per ton data)	Three Months Ended September 30,		Increase (Decrease)		
	2021	2020	\$ or Tons	%	
Coal revenues	\$ 647,129	\$ 335,189	\$ 311,940	93.1	%
Other revenues	1,712	403	1,309	324.8	%
Total revenues	\$ 648,841	\$ 335,592	\$ 313,249	93.3	%
Tons sold	4,728	3,965	763	19.2	%

Coal revenues. Coal revenues increased \$311.9 million, or 93.1%, for the three months ended September 30, 2021 compared to the prior year period. The increase was primarily due to an increase in tons sold and higher coal sales realization within our Met segment operations as a result of an improved pricing environment during the current period. Increasing coal demand, resulting from improved economic activity, coupled with a limited supply response contributed to a rise in coal prices. Refer to the “Non-GAAP Coal revenues” section below for further detail on coal revenues for the three months ended September 30, 2021 compared to the prior year period.

Cost and Expenses

The following table summarizes information about our costs and expenses during the three months ended September 30, 2021 and 2020:

(In thousands)	Three Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$	%
Cost of coal sales (exclusive of items shown separately below)	\$ 488,169	309,693	178,476	57.6%
Depreciation, depletion and amortization	24,519	49,236	(24,717)	(50.2)%
Accretion on asset retirement obligations	6,674	6,737	(63)	(0.9)%
Amortization of acquired intangibles, net	2,980	2,074	906	43.7%
Asset impairment and restructuring	—	(226)	226	100.0%
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	15,264	14,501	763	5.3%
Total other operating loss (income):				
Mark-to-market adjustment for acquisition-related obligations	11,676	3,624	8,052	222.2%
Other income	(457)	(1,310)	853	65.1%
Total costs and expenses	\$ 548,825	384,320	164,496	42.8%

Cost of coal sales. Cost of coal sales increased \$178.5 million, or 57.6%, for the three months ended September 30, 2021 compared to the prior year period. The increase was primarily driven by an increase in tons sold in the current period relative to the prior year period and increased supplies and maintenance expense, royalties and taxes, costs of purchased coal, salaries and wages expense, and inventory change during the current period.

Depreciation, depletion and amortization. Depreciation, depletion and amortization decreased \$24.7 million, or 50.2%, for the three months ended September 30, 2021 compared to the prior year period. The decrease in depreciation, depletion and amortization was primarily a result of asset disposals and asset impairments throughout the prior year.

Amortization of acquired intangibles, net. Amortization of acquired intangibles, net increased \$0.9 million, or 43.7%, for the three months ended September 30, 2021 compared to the prior year period. The increase was primarily driven by the lower current period amortization related to below-market acquired coal supply agreements.

Selling, general and administrative. Selling, general and administrative expenses increased \$0.8 million, or 5.3%, for the three months ended September 30, 2021 compared to the prior year period. This increase in expense was primarily related to increases of \$0.6 million in wages and benefits expense and \$0.6 million in stock compensation expense, partially offset by decreases of \$0.5 million in professional fees and \$0.4 million in incentive pay.

Mark-to-market adjustment for acquisition-related obligations. The mark-to-market adjustment for acquisition-related obligations resulted in a decrease to income of \$8.1 million for the three months ended September 30, 2021 compared to the prior year period. This decrease was related to the \$11.7 million Contingent Revenue Obligation mark-to-market adjustment recorded during the three months ended September 30, 2021 due to changes in underlying fair value assumptions during the current period. Refer to Note 12 for Contingent Revenue Obligation fair value input assumptions.

Other income. Other income decreased \$0.9 million, or 65.1%, for the three months ended September 30, 2021 compared to the prior year period, primarily due to a decrease in income on sale of assets in the current period.

Other (Expense) Income

The following table summarizes information about our other (expense) income during the three months ended September 30, 2021 and 2020:

(In thousands)	Three Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$	%
Other (expense) income:				
Interest expense	\$ (17,338)	(18,748)	1,408	7.3%
Interest income	54	376	(322)	(85.0%)
Equity loss in affiliates	(643)	(1,295)	652	50.3%
Miscellaneous income (loss), net	1,812	(131)	1,943	1,483.2%
Other expense, net	\$ (16,115)	(19,796)	3,681	18.6%

Miscellaneous income (loss), net. Miscellaneous income (loss), net increased \$1.9 million, or 1,483.2%, for the three months ended September 30, 2021 compared to the prior year period. The increase was primarily due to the net periodic benefit for pension obligations. Refer to Note 14 for additional information.

Income Tax (Expense) Benefit

The following table summarizes information about our income tax (expense) benefit during the three months ended September 30, 2021 and 2020:

(In thousands)	Three Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$	%
Income tax (expense) benefit	\$ (208)	\$ 4	(253)	(562.2%)

Income taxes. Income tax expense of \$0.2 million was recorded for the three months ended September 30, 2021 on income from continuing operations before income taxes of \$83.9 million. The effective tax rate differs from the federal statutory rate of 21% primarily due to the decrease in the valuation allowance.

Income tax benefit of \$45 thousand was recorded for the three months ended September 30, 2020 on a loss from continuing operations before income taxes of \$68.5 million. The effective tax rate differs from the federal statutory rate of 21% primarily due to the increase in the valuation allowance. Refer to Note 13 for additional information.

Non-GAAP Financial Measures

The discussion below contains “non-GAAP financial measures.” These are financial measures which either exclude or include amounts that are not excluded or included in the most directly comparable measures calculated and presented in accordance with generally accepted accounting principles in the United States (“U.S. GAAP” or “GAAP”). Specifically, we make use of the non-GAAP financial measures “Adjusted EBITDA,” “non-GAAP coal revenues,” “non-GAAP cost of coal sales,” “non-GAAP coal margin,” and “Adjusted cost of produced coal sold.” We use Adjusted EBITDA to measure the

operating performance of our segments and allocate resources to the segments. Adjusted EBITDA does not purport to be an alternative to net income (loss) as a measure of operating performance or any other measure of operating results or liquidity presented in accordance with GAAP. We use non-GAAP coal revenues to present coal revenues generated, excluding freight and handling fulfillment revenues. Non-GAAP coal sales realization per ton for our operations is calculated as non-GAAP coal revenues divided by tons sold. We use non-GAAP cost of coal sales to adjust cost of coal sales to remove freight and handling costs, depreciation, depletion and amortization - production (excluding the depreciation, depletion and amortization related to selling, general and administrative functions), accretion on asset retirement obligations, amortization of acquired intangibles, net, and idled and closed mine costs. Non-GAAP cost of coal sales per ton for our operations is calculated as non-GAAP cost of coal sales divided by tons sold. Non-GAAP coal margin per ton for our coal operations is calculated as non-GAAP coal sales realization per ton for our coal operations less non-GAAP cost of coal sales per ton for our coal operations. We also use Adjusted cost of produced coal sold to distinguish the cost of captive produced coal from the effects of purchased coal. The presentation of these measures should not be considered in isolation, or as a substitute for analysis of our results as reported under GAAP.

Management uses non-GAAP financial measures to supplement GAAP results to provide a more complete understanding of the factors and trends affecting the business than GAAP results alone. The definition of these non-GAAP measures may be changed periodically by management to adjust for significant items important to an understanding of operating trends and to adjust for items that may not reflect the trend of future results by excluding transactions that are not indicative of our core operating performance. Furthermore, analogous measures are used by industry analysts to evaluate the Company's operating performance. Because not all companies use identical calculations, the presentations of these measures may not be comparable to other similarly titled measures of other companies and can differ significantly from company to company depending on long-term strategic decisions regarding capital structure, the tax jurisdictions in which companies operate, and capital investments.

Included below are reconciliations of non-GAAP financial measures to GAAP financial measures.

The following tables summarize certain financial information relating to our coal operations for the three months ended September 30, 2021 and 2020:

	Three Months Ended September 30, 2021		
	Met	All Other	Consolidated
<i>(In thousands, except for per ton data)</i>			
Coal revenues	\$ 625,387	\$ 21,742	\$ 647,129
Less: Freight and handling fulfillment revenues	(128,192)	(18)	(128,210)
Non-GAAP Coal revenues	\$ 497,195	\$ 21,724	\$ 518,919
Tons sold	4,380	348	4,728
Non-GAAP Coal sales realization per ton	\$ 113.51	\$ 62.43	\$ 109.75
Cost of coal sales (exclusive of items shown separately below)	\$ 468,706	\$ 19,463	\$ 488,169
Depreciation, depletion and amortization - production ⁽¹⁾	23,181	1,160	24,341
Accretion on asset retirement obligations	3,408	3,266	6,674
Amortization of acquired intangibles, net	3,063	(83)	2,980
Total Cost of coal sales	\$ 498,358	\$ 23,806	\$ 522,164
Less: Freight and handling costs	(128,192)	(18)	(128,210)
Less: Depreciation, depletion and amortization - production ⁽¹⁾	(23,181)	(1,160)	(24,341)
Less: Accretion on asset retirement obligations	(3,408)	(3,266)	(6,674)
Less: Amortization of acquired intangibles, net	(3,063)	83	(2,980)
Less: Idled and closed mine costs	(4,932)	(2,927)	(7,859)
Non-GAAP Cost of coal sales	\$ 335,582	\$ 16,518	\$ 352,100
Tons sold	4,380	348	4,728
Non-GAAP Cost of coal sales per ton	\$ 76.62	\$ 47.47	\$ 74.47

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

	Three Months Ended September 30, 2021		
	Met	All Other	Consolidated
<i>(In thousands, except for per ton data)</i>			
Coal revenues	\$ 625,387	\$ 21,742	\$ 647,129
Less: Total Cost of coal sales (per table above)	(498,358)	(23,806)	(522,164)
GAAP Coal margin	\$ 127,029	\$ (2,064)	\$ 124,965
Tons sold	4,380	348	4,728
GAAP Coal margin per ton	\$ 29.00	\$ (5.93)	\$ 26.43
GAAP Coal margin	\$ 127,029	\$ (2,064)	\$ 124,965
Add: Depreciation, depletion and amortization - production ⁽¹⁾	23,181	1,160	24,341
Add: Accretion on asset retirement obligations	3,408	3,266	6,674
Add: Amortization of acquired intangibles, net	3,063	(83)	2,980
Add: Idled and closed mine costs	4,932	2,927	7,859
Non-GAAP Coal margin	\$ 161,613	\$ 5,206	\$ 166,819
Tons sold	4,380	348	4,728
Non-GAAP Coal margin per ton	\$ 36.90	\$ 14.96	\$ 35.28

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

	Three Months Ended September 30, 2020		
	Met	All Other	Consolidated
<i>(In thousands, except for per ton data)</i>			
Coal revenues	\$ 295,376	\$ 39,813	\$ 335,189
Less: Freight and handling fulfillment revenues	(49,742)	(3,015)	(52,757)
Non-GAAP Coal revenues	\$ 245,634	\$ 36,798	\$ 282,432
Tons sold	3,329	636	3,965
Non-GAAP Coal sales realization per ton	\$ 73.79	\$ 57.86	\$ 71.23
Cost of coal sales (exclusive of items shown separately below)	\$ 276,248	\$ 33,445	\$ 309,693
Depreciation, depletion and amortization - production ⁽¹⁾	41,178	7,724	48,902
Accretion on asset retirement obligations	3,800	2,937	6,737
Amortization of acquired intangibles, net	2,535	(461)	2,074
Total Cost of coal sales	\$ 323,761	\$ 43,645	\$ 367,406
Less: Freight and handling costs	(49,742)	(3,015)	(52,757)
Less: Depreciation, depletion and amortization - production ⁽¹⁾	(41,178)	(7,724)	(48,902)
Less: Accretion on asset retirement obligations	(3,800)	(2,937)	(6,737)
Less: Amortization of acquired intangibles, net	(2,535)	461	(2,074)
Less: Idled and closed mine costs	(5,091)	(1,196)	(6,287)
Non-GAAP Cost of coal sales	\$ 221,415	\$ 29,234	\$ 250,649
Tons sold	3,329	636	3,965
Non-GAAP Cost of coal sales per ton	\$ 66.51	\$ 45.97	\$ 63.22

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

	Three Months Ended September 30, 2020		
	Met	All Other	Consolidated
<i>(In thousands, except for per ton data)</i>			
Coal revenues	\$ 295,376	\$ 39,813	\$ 335,189
Less: Total Cost of coal sales (per table above)	(323,761)	(43,645)	(367,406)
GAAP Coal margin	\$ (28,385)	\$ (3,832)	\$ (32,217)
Tons sold	3,329	636	3,965
GAAP Coal margin per ton	\$ (8.53)	\$ (6.03)	\$ (8.13)
GAAP Coal margin	\$ (28,385)	\$ (3,832)	\$ (32,217)
Add: Depreciation, depletion and amortization - production ⁽¹⁾	41,178	7,724	48,902
Add: Accretion on asset retirement obligations	3,800	2,937	6,737
Add: Amortization of acquired intangibles, net	2,535	(461)	2,074
Add: Idled and closed mine costs	5,091	1,196	6,287
Non-GAAP Coal margin	\$ 24,219	\$ 7,564	\$ 31,783
Tons sold	3,329	636	3,965
Non-GAAP Coal margin per ton	\$ 7.28	\$ 11.89	\$ 8.02

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

	Three Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$ or Tons	%
<i>(In thousands, except for per ton data)</i>				
Met segment operations:				
Tons sold	4,380	3,329	1,051	31.6%
Non-GAAP Coal revenues	\$ 497,195	\$ 245,634	\$ 251,561	102.4%
Non-GAAP Coal sales realization per ton	\$ 113.51	\$ 73.79	\$ 39.72	53.8%
All Other category:				
Tons sold	348	636	(288)	(45.3%)
Non-GAAP Coal revenues	\$ 21,724	\$ 36,798	\$ (15,074)	(41.0%)
Non-GAAP Coal sales realization per ton	\$ 62.43	\$ 57.86	\$ 4.57	7.9%

Non-GAAP Coal revenues. Met segment operations non-GAAP coal revenues increased \$251.6 million, or 102.4%, for the three months ended September 30, 2021 compared to the prior year period. The increase was primarily due to an increase in tons sold and higher average non-GAAP coal sales realization of 53.8% per ton resulting from an improved pricing environment compared to the prior year period.

All Other category non-GAAP coal revenues decreased \$15.1 million, or 41.0%, for the three months ended September 30, 2021 compared to the prior year period primarily due to a decrease in tons sold, partially offset by an increase in realization per ton.

(In thousands, except for per ton data)	Three Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$	%
Met segment operations:				
Non-GAAP Cost of coal sales	\$ 335,582	\$ 221,415	\$ 114,167	51.6 %
Non-GAAP Cost of coal sales per ton	\$ 76.62	\$ 66.51	\$ 10.11	15.2 %
Non-GAAP Coal margin per ton	\$ 36.90	\$ 7.28	\$ 29.62	406.9 %
All Other category:				
Non-GAAP Cost of coal sales	\$ 16,518	\$ 29,234	\$ (12,716)	(43.5) %
Non-GAAP Cost of coal sales per ton	\$ 47.47	\$ 45.97	\$ 1.50	3.3 %
Non-GAAP Coal margin per ton	\$ 14.96	\$ 11.89	\$ 3.07	25.8 %

Non-GAAP Cost of coal sales. Met segment operations non-GAAP cost of coal sales increased \$114.2 million, or 51.6%, for the three months ended September 30, 2021 compared to the prior year period. The increase was primarily driven by an increase in tons sold and increased supplies and maintenance expense, royalties and taxes, costs of purchased coal, salaries and wages expense, and inventory change during the current period.

All Other category non-GAAP cost of coal sales decreased \$12.7 million, or 43.5%, for the three months ended September 30, 2021 compared to the prior year period. The decrease was primarily driven by a decrease in tons sold and decreased supplies and maintenance expense and royalties and taxes, partially offset by inventory change during the current period.

Our non-GAAP cost of coal sales includes purchased coal costs. In the following tables, we calculate Adjusted cost of produced coal sold as non-GAAP cost of coal sales less purchased coal costs.

(In thousands, except for per ton data)	Three Months Ended September 30, 2021		
	Met	All Other	Consolidated
Non-GAAP Cost of coal sales	\$ 335,582	\$ 16,518	\$ 352,100
Less: cost of purchased coal sold	(32,168)	—	(32,168)
Adjusted cost of produced coal sold	\$ 303,414	\$ 16,518	\$ 319,932
Produced tons sold	4,107	348	4,455
Adjusted cost of produced coal sold per ton ⁽¹⁾	\$ 73.88	\$ 47.47	\$ 71.81

⁽¹⁾ Cost of produced coal sold per ton for our operations is calculated as non-GAAP cost of produced coal sold divided by produced tons sold.

(In thousands, except for per ton data)	Three Months Ended September 30, 2020		
	Met	All Other	Consolidated
Non-GAAP Cost of coal sales	\$ 221,415	\$ 29,234	\$ 250,649
Less: cost of purchased coal sold	(12,511)	70	(12,441)
Adjusted cost of produced coal sold	\$ 208,904	\$ 29,304	\$ 238,208
Produced tons sold	3,142	636	3,778
Adjusted cost of produced coal sold per ton ⁽¹⁾	\$ 66.49	\$ 46.08	\$ 63.05

⁽¹⁾ Cost of produced coal sold per ton for our operations is calculated as non-GAAP cost of produced coal sold divided by produced tons sold.

Adjusted EBITDA

Adjusted EBITDA is a non-GAAP financial measure that is presented as a supplemental measure and is not intended to replace financial performance or liquidity measures determined in accordance with GAAP. Moreover, this measure is not calculated identically by all companies and therefore may not be comparable to similarly titled measures used by other companies. Adjusted EBITDA is presented because management believes it is a useful indicator of the financial performance of our coal operations. The following tables present a reconciliation of net income (loss) to Adjusted EBITDA for the three months ended September 30, 2021 and 2020:

(In thousands)	Three Months Ended September 30, 2021		
	Met	All Other	Consolidated
Net income (loss) from continuing operations	\$ 125,750	\$ (42,057)	\$ 83,693
Interest expense	49	17,289	17,338
Interest income	(1)	(53)	(54)
Income tax expense	—	208	208
Depreciation, depletion and amortization	23,181	1,338	24,519
Non-cash stock compensation expense	6	1,182	1,188
Mark-to-market adjustment - acquisition-related obligations	—	11,676	11,676
Accretion on asset retirement obligations	3,408	3,266	6,674
Amortization of acquired intangibles, net	3,063	(83)	2,980
Adjusted EBITDA	\$ 155,456	\$ (7,234)	\$ 148,222

(In thousands)	Three Months Ended September 30, 2020		
	Met	All Other	Consolidated
Net loss from continuing operations	\$ (29,656)	\$ (38,832)	\$ (68,488)
Interest expense	(188)	18,934	18,746
Interest income	(2)	(374)	(376)
Income tax benefit	—	(45)	(45)
Depreciation, depletion and amortization	41,178	8,058	49,236
Non-cash stock compensation expense	105	973	1,078
Mark-to-market adjustment - acquisition-related obligations	—	3,624	3,624
Accretion on asset retirement obligations	3,800	2,937	6,737
Asset impairment and restructuring ⁽¹⁾	—	(226)	(226)
Amortization of acquired intangibles, net	2,535	(461)	2,074
Adjusted EBITDA	\$ 17,772	\$ (5,412)	\$ 12,360

⁽¹⁾ Refer to Note 7 for additional information on asset impairment and restructuring during the period.

The following table summarizes Adjusted EBITDA for our Met segment operations and All Other category:

(In thousands)	Three Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$	%
Adjusted EBITDA				
Met segment operations	\$ 155,456	\$ 17,772	\$ 137,684	774.7 %
All Other category	(7,234)	(5,412)	(1,822)	(33.7)%
Total	\$ 148,222	\$ 12,360	\$ 135,862	1,099.2 %

Met segment operations. Adjusted EBITDA increased \$137.7 million, or 774.7%, for the three months ended September 30, 2021 compared to the prior year period. The increase in Adjusted EBITDA was primarily driven by increased coal margin and coal sales volumes.

All Other category. Adjusted EBITDA decreased \$1.8 million, or 33.7%, for the three months ended September 30, 2021 compared to the prior year period. The decrease in Adjusted EBITDA was primarily driven by a decrease in tons sold.

Discontinued Operations

The former NAPP operations results of operations and financial position are reported as discontinued operations in the Condensed Consolidated Financial Statements. Refer to Note 2 for further information on discontinued operations. The following tables summarize certain financial information relating to the discontinued operating results which are reported within the All Other category that have been derived from our Condensed Consolidated Financial Statements for the three months ended September 30, 2020:

<i>(In thousands, except for per ton data)</i>		Three Months Ended September 30, 2020 ⁽²⁾
Coal revenues	\$	64,765
Less: Freight and handling fulfillment revenues		(1,947)
Non-GAAP Coal revenues	\$	62,818
Tons sold		1,570
Non-GAAP Coal sales realization per ton	\$	40.01
Cost of coal sales (exclusive of items shown separately below)	\$	57,398
Depreciation, depletion and amortization - production ⁽¹⁾		1,503
Accretion on asset retirement obligations		2,390
Amortization of acquired intangibles, net		145
Total Cost of coal sales	\$	61,436
Less: Freight and handling costs		(1,947)
Less: Depreciation, depletion and amortization - production ⁽¹⁾		(1,503)
Less: Accretion on asset retirement obligations		(2,390)
Less: Amortization of acquired intangibles, net		(145)
Less: Idled and closed mine costs		(713)
Non-GAAP Cost of coal sales	\$	54,738
Tons sold		1,570
Non-GAAP Cost of coal sales per ton	\$	34.86

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

⁽²⁾ Includes minor residual activity related to our former Powder River Basin ("PRB") operations.

<i>(In thousands, except for per ton data)</i>		Three Months Ended September 30, 2020 ⁽²⁾
Coal revenues	\$	64,765
Less: Total Cost of coal sales (per table above)		(61,436)
GAAP Coal margin	\$	3,329
Tons sold		1,570
GAAP Coal margin per ton	\$	2.12
GAAP Coal margin	\$	3,329
Add: Depreciation, depletion and amortization - production ⁽¹⁾		1,503
Add: Accretion on asset retirement obligations		2,390
Add: Amortization of acquired intangibles, net		145
Add: Idled and closed mine costs		713
Non-GAAP Coal margin	\$	8,080
Tons sold		1,570
Non-GAAP Coal margin per ton	\$	5.15

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

⁽²⁾ Includes minor residual activity related to our former PRB operations.

Refer to Note 16 for disclosures on the Cumberland Back-to-Back Coal Supply Agreements.

Nine Months Ended September 30, 2021 Compared to the Nine Months Ended September 30, 2020

Revenues

The following table summarizes information about our revenues during the nine months ended September 30, 2021 and 2020:

(In thousands, except for per ton data)	Nine Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$ or Tons	%
Coal revenues	\$ 1,426,039	\$ 1,089,764	\$ 336,275	30.9 %
Other revenues	4,330	2,572	1,758	68.4 %
Total revenues	\$ 1,430,369	\$ 1,092,336	\$ 338,033	30.9 %
Tons sold	12,815	11,767	1,048	8.9 %

Coal revenues. Coal revenues increased \$336.3 million, or 30.9%, for the nine months ended September 30, 2021 compared to the prior year period. The increase was primarily due to an increase in tons sold and higher coal sales realization within our Met segment operations as a result of an improved pricing environment during the most recent quarter. Increasing coal demand, resulting from improved economic activity, coupled with a limited supply response contributed to a rise in coal prices. Refer to the “Non-GAAP Coal revenues” section below for further detail on coal revenues for the nine months ended September 30, 2021 compared to the prior year period.

Cost and Expenses

The following table summarizes information about our costs and expenses during the nine months ended September 30, 2021 and 2020:

(In thousands)	Nine Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$	%
Cost of coal sales (exclusive of items shown separately below)	\$ 1,182,360	979,180	203,180	20.8%
Depreciation, depletion and amortization	80,261	143,921	(63,660)	(44.2)%
Accretion on asset retirement obligations	19,970	19,945	25	0.1%
Amortization of acquired intangibles, net	9,402	4,466	4,936	110.5%
Asset impairment and restructuring	(561)	53,981	(54,542)	(101.0)%
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	44,891	42,010	2,881	6.9%
Total other operating (income) loss:				
Mark-to-market adjustment for acquisition-related obligations	18,009	(13,425)	31,434	234.1%
Other income	(5,290)	(2,023)	(3,267)	(161.5)%
Total costs and expenses	\$ 1,349,042	1,228,055	120,987	9.9%

Cost of coal sales. Cost of coal sales increased \$203.2 million, or 20.8%, for the nine months ended September 30, 2021 compared to the prior year period. The increase was primarily driven by an increase in tons sold in the current period relative to the prior year period and increased supplies and maintenance expense, royalties and taxes, and salaries and wages expense, partially offset by inventory change during the current period.

Depreciation, depletion and amortization. Depreciation, depletion and amortization decreased \$63.7 million, or 44.2%, for the nine months ended September 30, 2021 compared to the prior year period. The decrease in depreciation, depletion and amortization was primarily a result of asset disposals and asset impairments throughout the prior year.

Amortization of acquired intangibles, net. Amortization of acquired intangibles, net increased \$4.9 million, or 110.5%, for the nine months ended September 30, 2021 compared to the prior year period. The increase was primarily driven by the lower current period amortization related to below-market acquired coal supply agreements.

Asset impairment and restructuring. Asset impairment and restructuring decreased \$54.5 million, or 101.0%, for the nine months ended September 30, 2021 compared to the prior year period. For the nine months ended September 30, 2021, asset impairment and restructuring includes long-lived asset impairment of \$0.1 million and restructuring expense of (\$0.6) million. For the nine months ended September 30, 2020, asset impairment and restructuring includes long-lived asset impairment of \$51.3 million and restructuring expense of \$2.7 million. Refer to Note 7 for further information.

Selling, general and administrative. Selling, general and administrative expenses increased \$2.9 million, or 6.9%, for the nine months ended September 30, 2021 compared to the prior year period. This increase in expense was primarily related to increases of \$2.5 million in incentive pay and \$1.5 million in stock compensation expense, partially offset by decreases of \$1.0 million in professional fees and \$0.7 million in severance expense.

Mark-to-market adjustment for acquisition-related obligations. The mark-to-market adjustment for acquisition-related obligations resulted in a decrease to income of \$31.4 million for the nine months ended September 30, 2021 compared to the prior year period. This decrease was related to the \$18.0 million Contingent Revenue Obligation mark-to-market adjustment recorded during the nine months ended September 30, 2021 due to changes in underlying fair value assumptions during the current period. Refer to Note 12 for Contingent Revenue Obligation fair value input assumptions.

Other income. Other income increased \$3.3 million, or 161.5%, for the nine months ended September 30, 2021 compared to the prior year period, primarily due to an increase in income on sale of assets in the current period.

Other (Expense) Income

The following table summarizes information about our other (expense) income during the nine months ended September 30, 2021 and 2020:

(In thousands)	Nine Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$	%
Other (expense) income:				
Interest expense	\$ (53,290)	(56,238)	2,948	5.2%
Interest income	322	6,874	(6,552)	(95.3)%
Equity loss in affiliates	(1,161)	(3,085)	1,924	62.4%
Miscellaneous income (loss), net	5,425	(452)	5,877	1,300.2%
All other expense, net	\$ (48,704)	(52,908)	4,197	7.9%

Interest income. Interest income decreased \$6.6 million, or 95.3%, for the nine months ended September 30, 2021 compared to the prior year period. The decrease was primarily due to the interest income recorded during the three months ended June 30, 2020 associated with the federal income tax interest receivable related to the net operating loss carryback claim.

Miscellaneous income (loss), net. Miscellaneous income (loss), net increased \$5.9 million, or 1,300.2%, for the nine months ended September 30, 2021 compared to the prior year period. The increase was primarily due to the net periodic benefit for pension obligations. Refer to Note 14 for additional information.

Income Tax (Expense) Benefit

The following table summarizes information about our income tax (expense) benefit during the nine months ended September 30, 2021 and 2020:

(In thousands)	Nine Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$	%
Income tax (expense) benefit	\$ (21)	2,200	(2,411)	(109.6)%

Income taxes. Income tax expense of \$0.2 million was recorded for the nine months ended September 30, 2021 on income from continuing operations before income taxes of \$32.6 million. The effective tax rate differs from the federal statutory rate of 21% primarily due to the decrease in the valuation allowance.

Income tax benefit of \$2.2 million was recorded for the nine months ended September 30, 2020 on a loss from continuing operations before income taxes of \$188.6 million. The effective tax rate differs from the federal statutory rate of 21% primarily

due to the increase in the valuation allowance and the recording of a discrete tax benefit related to the refundability of previously sequestered AMT Credits. Refer to Note 13 for additional information.

Non-GAAP Financial Measures

Included below are reconciliations of non-GAAP financial measures to GAAP financial measures.

The following tables summarize certain financial information relating to our coal operations for the nine months ended September 30, 2021 and 2020:

<i>(In thousands, except for per ton data)</i>	Nine Months Ended September 30, 2021		
	Met	All Other	Consolidated
Coal revenues	\$ 1,362,119	\$ 63,920	\$ 1,426,039
Less: Freight and handling fulfillment revenues	(252,532)	(504)	(253,036)
Non-GAAP Coal revenues	\$ 1,109,587	\$ 63,416	\$ 1,173,003
Tons sold	11,785	1,030	12,815
Non-GAAP Coal sales realization per ton	\$ 94.15	\$ 61.57	\$ 91.53
Cost of coal sales (exclusive of items shown separately below)	\$ 1,125,840	\$ 56,520	\$ 1,182,360
Depreciation, depletion and amortization - production ⁽¹⁾	75,403	4,321	79,724
Accretion on asset retirement obligations	10,170	9,800	19,970
Amortization of acquired intangibles, net	9,749	(347)	9,402
Total Cost of coal sales	\$ 1,221,162	\$ 70,294	\$ 1,291,456
Less: Freight and handling costs	(252,532)	(504)	(253,036)
Less: Depreciation, depletion and amortization - production ⁽¹⁾	(75,403)	(4,321)	(79,724)
Less: Accretion on asset retirement obligations	(10,170)	(9,800)	(19,970)
Less: Amortization of acquired intangibles, net	(9,749)	347	(9,402)
Less: Idled and closed mine costs	(13,325)	(10,215)	(23,540)
Non-GAAP Cost of coal sales	\$ 859,983	\$ 45,801	\$ 905,784
Tons sold	11,785	1,030	12,815
Non-GAAP Cost of coal sales per ton	\$ 72.97	\$ 44.47	\$ 70.68

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

	Nine Months Ended September 30, 2021		
	Met	All Other	Consolidated
<i>(In thousands, except for per ton data)</i>			
Coal revenues	\$ 1,362,119	\$ 63,920	\$ 1,426,039
Less: Total Cost of coal sales (per table above)	(1,221,162)	(70,294)	(1,291,456)
GAAP Coal margin	\$ 140,957	\$ (6,374)	\$ 134,583
Tons sold	11,785	1,030	12,815
GAAP Coal margin per ton	\$ 11.96	\$ (6.19)	\$ 10.50
GAAP Coal margin	\$ 140,957	\$ (6,374)	\$ 134,583
Add: Depreciation, depletion and amortization - production ⁽¹⁾	75,403	4,321	79,724
Add: Accretion on asset retirement obligations	10,170	9,800	19,970
Add: Amortization of acquired intangibles, net	9,749	(347)	9,402
Add: Idled and closed mine costs	13,325	10,215	23,540
Non-GAAP Coal margin	\$ 249,604	\$ 17,615	\$ 267,219
Tons sold	11,785	1,030	12,815
Non-GAAP Coal margin per ton	\$ 21.18	\$ 17.10	\$ 20.85

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

	Nine Months Ended September 30, 2020		
	Met	All Other	Consolidated
<i>(In thousands, except for per ton data)</i>			
Coal revenues	\$ 974,098	\$ 115,666	\$ 1,089,764
Less: Freight and handling fulfillment revenues	(158,258)	(11,392)	(169,650)
Non-GAAP Coal revenues	\$ 815,840	\$ 104,274	\$ 920,114
Tons sold	9,860	1,907	11,767
Non-GAAP Coal sales realization per ton	\$ 82.74	\$ 54.68	\$ 78.19
Cost of coal sales (exclusive of items shown separately below)	\$ 866,572	\$ 112,608	\$ 979,180
Depreciation, depletion and amortization - production ⁽¹⁾	121,679	21,217	142,896
Accretion on asset retirement obligations	10,887	9,058	19,945
Amortization of acquired intangibles, net	7,875	(3,409)	4,466
Total Cost of coal sales	\$ 1,007,013	\$ 139,474	\$ 1,146,487
Less: Freight and handling costs	(158,258)	(11,392)	(169,650)
Less: Depreciation, depletion and amortization - production ⁽¹⁾	(121,679)	(21,217)	(142,896)
Less: Accretion on asset retirement obligations	(10,887)	(9,058)	(19,945)
Less: Amortization of acquired intangibles, net	(7,875)	3,409	(4,466)
Less: Idled and closed mine costs	(13,191)	(9,544)	(22,735)
Non-GAAP Cost of coal sales	\$ 695,123	\$ 91,672	\$ 786,795
Tons sold	9,860	1,907	11,767
Non-GAAP Cost of coal sales per ton	\$ 70.50	\$ 48.07	\$ 66.86

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

	Nine Months Ended September 30, 2020		
	Met	All Other	Consolidated
<i>(In thousands, except for per ton data)</i>			
Coal revenues	\$ 974,098	\$ 115,666	\$ 1,089,764
Less: Total Cost of coal sales (per table above)	(1,007,013)	(139,474)	(1,146,487)
GAAP Coal margin	\$ (32,915)	\$ (23,808)	\$ (56,723)
Tons sold	9,860	1,907	11,767
GAAP Coal margin per ton	\$ (3.34)	\$ (12.48)	\$ (4.82)
GAAP Coal margin	\$ (32,915)	\$ (23,808)	\$ (56,723)
Add: Depreciation, depletion and amortization - production ⁽¹⁾	121,679	21,217	142,896
Add: Accretion on asset retirement obligations	10,887	9,058	19,945
Add: Amortization of acquired intangibles, net	7,875	(3,409)	4,466
Add: Idled and closed mine costs	13,191	9,544	22,735
Non-GAAP Coal margin	\$ 120,717	\$ 12,602	\$ 133,319
Tons sold	9,860	1,907	11,767
Non-GAAP Coal margin per ton	\$ 12.24	\$ 6.61	\$ 11.33

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

	Nine Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$ or Tons	%
<i>(In thousands, except for per ton data)</i>				
Met segment operations:				
Tons sold	11,785	9,860	1,925	19.5%
Non-GAAP Coal revenues	\$ 1,109,587	\$ 815,840	\$ 293,747	36.0%
Non-GAAP Coal sales realization per ton	\$ 94.15	\$ 82.74	\$ 11.41	13.8%
All Other category:				
Tons sold	1,030	1,907	(877)	(46.0%)
Non-GAAP Coal revenues	\$ 63,416	\$ 104,274	\$ (40,858)	(39.2%)
Non-GAAP Coal sales realization per ton	\$ 61.57	\$ 54.68	\$ 6.89	12.6%

Non-GAAP Coal revenues. Met segment operations non-GAAP coal revenues increased \$293.7 million, or 36.0%, for the nine months ended September 30, 2021 compared to the prior year period. The increase was primarily due to an increase in tons sold and higher average non-GAAP coal sales realization of 13.8% per ton resulting from an improved pricing environment compared to the prior year period.

All Other category non-GAAP coal revenues decreased \$40.9 million, or 39.2%, for the nine months ended September 30, 2021 compared to the prior year period primarily due to a decrease in tons sold.

(In thousands, except for per ton data)	Nine Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$	%
Met segment operations:				
Non-GAAP Cost of coal sales	\$ 859,983	\$ 695,123	\$ 164,860	23.7 %
Non-GAAP Cost of coal sales per ton	\$ 72.97	\$ 70.50	\$ 2.47	3.5 %
Non-GAAP Coal margin per ton	\$ 21.18	\$ 12.24	\$ 8.94	73.0 %
All Other category:				
Non-GAAP Cost of coal sales	\$ 45,801	\$ 91,672	\$ (45,871)	(50.0) %
Non-GAAP Cost of coal sales per ton	\$ 44.47	\$ 48.07	\$ (3.60)	(7.5) %
Non-GAAP Coal margin per ton	\$ 17.10	\$ 6.61	\$ 10.49	158.7 %

Non-GAAP Cost of coal sales. Met segment operations non-GAAP cost of coal sales increased \$164.9 million, or 23.7%, for the nine months ended September 30, 2021 compared to the prior year period. The increase was primarily driven by an increase in tons sold in the current period relative to the prior year period and increased supplies and maintenance expense, royalties and taxes, and salaries and wages expense, partially offset by inventory change during the current period.

All Other category non-GAAP cost of coal sales decreased \$45.9 million, or 50.0%, for the nine months ended September 30, 2021 compared to the prior year period. The decrease was primarily driven by a decrease in tons sold and decreased supplies and maintenance expense, royalties and taxes, and salaries and wages expense, partially offset by inventory change during the current period.

Our non-GAAP cost of coal sales includes purchased coal costs. In the following tables, we calculate Adjusted cost of produced coal sold as non-GAAP cost of coal sales less purchased coal costs.

(In thousands, except for per ton data)	Nine Months Ended September 30, 2021		
	Met	All Other	Consolidated
Non-GAAP Cost of coal sales	\$ 859,983	\$ 45,801	\$ 905,784
Less: cost of purchased coal sold	(75,074)	—	(75,074)
Adjusted cost of produced coal sold	\$ 784,909	\$ 45,801	\$ 830,710
Produced tons sold	11,028	1,030	12,058
Adjusted cost of produced coal sold per ton ⁽¹⁾	\$ 71.17	\$ 44.47	\$ 68.89

⁽¹⁾ Cost of produced coal sold per ton for our operations is calculated as non-GAAP cost of produced coal sold divided by produced tons sold.

(In thousands, except for per ton data)	Nine Months Ended September 30, 2020		
	Met	All Other	Consolidated
Non-GAAP Cost of coal sales	\$ 695,123	\$ 91,672	\$ 786,795
Less: cost of purchased coal sold	(65,777)	(832)	(66,609)
Adjusted cost of produced coal sold	\$ 629,346	\$ 90,840	\$ 720,186
Produced tons sold	9,001	1,894	10,895
Adjusted cost of produced coal sold per ton ⁽¹⁾	\$ 69.92	\$ 47.96	\$ 66.10

⁽¹⁾ Cost of produced coal sold per ton for our operations is calculated as non-GAAP cost of produced coal sold divided by produced tons sold.

Adjusted EBITDA

The following tables present a reconciliation of net income (loss) to Adjusted EBITDA for the nine months ended September 30, 2021 and 2020:

(In thousands)	Nine Months Ended September 30, 2021		
	Met	All Other	Consolidated
Net income (loss) from continuing operations	\$ 139,354	\$ (106,942)	\$ 32,412
Interest expense	132	53,158	53,290
Interest income	(6)	(316)	(322)
Income tax expense	—	211	211
Depreciation, depletion and amortization	75,403	4,858	80,261
Non-cash stock compensation expense	22	4,329	4,351
Mark-to-market adjustment - acquisition-related obligations	—	18,009	18,009
Accretion on asset retirement obligations	10,170	9,800	19,970
Asset impairment and restructuring ⁽¹⁾	—	(561)	(561)
Amortization of acquired intangibles, net	9,749	(347)	9,402
Adjusted EBITDA	\$ 234,824	\$ (17,801)	\$ 217,023

⁽¹⁾ Refer to Note 7 for additional information on asset impairment and restructuring during the period.

(In thousands)	Nine Months Ended September 30, 2020		
	Met	All Other	Consolidated
Net loss from continuing operations	\$ (68,338)	\$ (118,082)	\$ (186,420)
Interest expense	(1,494)	57,732	56,238
Interest income	(63)	(6,811)	(6,874)
Income tax benefit	—	(2,200)	(2,200)
Depreciation, depletion and amortization	121,679	22,242	143,921
Non-cash stock compensation expense	410	3,790	4,200
Mark-to-market adjustment - acquisition-related obligations	—	(13,425)	(13,425)
Accretion on asset retirement obligations	10,887	9,058	19,945
Asset impairment and restructuring ⁽¹⁾	32,951	21,030	53,981
Management restructuring costs ⁽²⁾	501	439	940
Loss on partial settlement of benefit obligations	—	1,230	1,230
Amortization of acquired intangibles, net	7,875	(3,409)	4,466
Adjusted EBITDA	\$ 104,408	\$ (28,406)	\$ 76,002

⁽¹⁾ Refer to Note 7 for additional information on asset impairment and restructuring during the period.

⁽²⁾ Management restructuring costs are related to severance expense associated with senior management changes in the three months ended March 31, 2020.

The following table summarizes Adjusted EBITDA for our Met segment operations and All Other category:

(In thousands)	Nine Months Ended September 30,		Increase (Decrease)	
	2021	2020	\$	%
Adjusted EBITDA				
Met operations	\$ 234,824	\$ 104,408	\$ 130,416	124.9 %
All Other	(17,801)	(28,406)	10,605	37.3 %
Total	\$ 217,023	\$ 76,002	\$ 141,021	185.5 %

Met segment operations. Adjusted EBITDA increased \$130.4 million, or 124.9%, for the nine months ended September 30, 2021 compared to the prior year period. The increase in Adjusted EBITDA was primarily driven by increased coal margin and coal sales volumes.

All Other category. Adjusted EBITDA increased \$10.6 million, or 37.3%, for the nine months ended September 30, 2021 compared to the prior year period. The increase in Adjusted EBITDA was primarily driven by decreases in cost of coal sales and increases in sales realization per ton, partially offset by a decrease in tons sold.

Discontinued Operations

The former NAPP operations results of operations and financial position are reported as discontinued operations in the Condensed Consolidated Financial Statements. Refer to Note 2 for further information on discontinued operations. The following tables summarize certain financial information relating to the discontinued operating results which are reported within the All Other category that have been derived from our Condensed Consolidated Financial Statements for the nine months ended September 30, 2020:

<i>(In thousands, except for per ton data)</i>	Nine Months Ended September 30, 2020 ⁽²⁾	
Coal revenues	\$	189,171
Less: Freight and handling fulfillment revenues		(9,785)
Non-GAAP Coal revenues	\$	179,386
Tons sold		4,372
Non-GAAP Coal sales realization per ton	\$	41.03
Cost of coal sales (exclusive of items shown separately below)	\$	167,663
Depreciation, depletion and amortization - production ⁽¹⁾		10,545
Accretion on asset retirement obligations		3,861
Amortization of acquired intangibles, net		714
Total Cost of coal sales	\$	182,783
Less: Freight and handling costs		(9,785)
Less: Depreciation, depletion and amortization - production ⁽¹⁾		(10,545)
Less: Accretion on asset retirement obligations		(3,861)
Less: Amortization of acquired intangibles, net		(714)
Less: Idled and closed mine costs		(2,194)
Non-GAAP Cost of coal sales	\$	155,684
Tons sold		4,372
Non-GAAP Cost of coal sales per ton	\$	35.61

⁽¹⁾ Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.

⁽²⁾ Includes minor residual activity related to our former PRB operations.

<i>(In thousands, except for per ton data)</i>	Nine Months Ended September 30, 2020 ⁽²⁾	
Coal revenues	\$	189,171
Less: Total Cost of coal sales (per table above)		(182,783)
GAAP Coal margin	\$	6,388
Tons sold		4,372
GAAP Coal margin per ton	\$	1.46
GAAP Coal margin	\$	6,388
Add: Depreciation, depletion and amortization - production ⁽¹⁾		10,545
Add: Accretion on asset retirement obligations		3,861
Add: Amortization of acquired intangibles, net		714
Add: Idled and closed mine costs		2,194
Non-GAAP Coal margin	\$	23,702
Tons sold		4,372
Non-GAAP Coal margin per ton	\$	5.42

- (1) Depreciation, depletion and amortization - production excludes the depreciation, depletion and amortization related to selling, general and administrative functions.
(2) Includes minor residual activity related to our former PRB operations.

Refer to Note 16 for disclosures on the Cumberland Back-to-Back Coal Supply Agreements.

Liquidity and Capital Resources

Our primary liquidity and capital resource requirements stem from the cost of our coal production and purchases, our capital expenditures, our debt service, our reclamation obligations, our regulatory costs and settlements and associated costs. Our primary sources of liquidity are derived from sales of coal, our debt financing, and miscellaneous revenues.

We believe that cash on hand and cash generated from our operations will be sufficient to meet our working capital requirements, anticipated capital expenditures, debt service requirements, acquisition-related obligations, and reclamation obligations for the next 12 months. We rely on a number of assumptions in budgeting for our future activities. These include the costs for mine development to sustain capacity of our operating mines, our cash flows from operations, effects of regulation and taxes by governmental agencies, mining technology improvements and reclamation costs. These assumptions are inherently subject to significant business, political, economic, regulatory, environmental and competitive uncertainties, pending and existing climate-related initiatives, contingencies and risks, all of which are difficult to predict and many of which are beyond our control. Increased scrutiny of ESG matters specific to the coal sector could negatively influence our ability to raise capital in the future and result in a reduced number of surety and insurance providers. We may need to raise additional funds if market conditions deteriorate, and we may not be able to do so in a timely fashion, on terms acceptable to us, or at all; or one or more of our assumptions prove to be incorrect or if we choose to expand our acquisition, exploration, appraisal, or development efforts or any other activity more rapidly than we presently anticipate. Additionally, we may elect to raise additional funds before we need them if the conditions for raising capital are favorable. We may seek to sell equity or debt securities or obtain additional bank credit facilities. The sale of equity securities could result in dilution to our stockholders. The incurrence of additional indebtedness could result in increased fixed obligations and additional covenants that could restrict our operations.

Liquidity and Cash Collateral

At September 30, 2021, we had total liquidity of \$183.3 million, including cash and cash equivalents of \$78.3 million and \$105.0 million of unused commitments available under the Amended and Restated Asset-Based Revolving Credit Agreement (the “ABL Facility”), subject to limitations described therein. Under the ABL Facility, we may borrow cash or obtain letters of credit, on a revolving basis with any borrowings having a maturity date of April 3, 2022. We are in the process of refinancing the ABL Facility and expect that process to be complete prior to the maturity date. We anticipate a reduction in the size of the ABL facility with borrowing capacity expected to be approximately \$150 million for the new facility. We expect the new facility to have sufficient availability to support our outstanding letters of credit under the current ABL Facility; however there can be no assurance that we will be able to refinance the ABL Facility in a timely manner, or at all. Availability under the ABL Facility is calculated on a monthly basis and fluctuates based on qualifying amounts of coal inventory and trade accounts receivable (the “Borrowing Base”) and the facility's covenant limitations related to our Fixed Charge Coverage Ratio (refer to Analysis of Material Debt Covenants below). In accordance with terms of the ABL Facility, we may be required to cash collateralize the ABL Facility to the extent outstanding borrowings and letters of credit under the ABL Facility exceed the Borrowing Base after considering covenant limitations.

To secure our obligations under certain worker's compensation, black lung and reclamation-related obligations and financial payments and other performance obligations, we are required to provide cash collateral. At September 30, 2021, we had cash collateral in the amounts of \$84.0 million, \$28.7 million, and \$0.5 million classified as long-term restricted cash, long-term restricted investments, and long-term deposits, respectively, on our Condensed Consolidated Balance Sheets. Future regulatory changes relating to these obligations could result in increased obligations, additional costs, or additional collateral requirements which could require greater use of alternative sources of funding for this purpose, which would reduce our liquidity. Refer to the DCMWC Reauthorization Process section below for information related to the new authorization process for self-insured coal mine operators being implemented by the U.S. Department of Labor (Division of Coal Mine Workers' Compensation). Additionally, as of September 30, 2021, we had \$7.6 million of short-term restricted cash held in escrow related to our contingent revenue obligation. Refer to Note 10 for further information regarding the contingent revenue obligation.

In a continued strategic effort to reduce our outstanding debt and strengthen our balance sheet, we repurchased at a discount certain outstanding principal borrowings of \$18.7 million and made a voluntary prepayment of \$31.0 million of outstanding principal borrowings under the Term Loan Credit Facility during the three months ending September 30, 2021.

Refer to Note 9 for additional disclosures on long-term debt. Subject to continued coal market strength and available liquidity, we are planning to continue our efforts to substantially deleverage the balance sheet in coming quarters.

On July 26, 2021, we repaid in full the West Virginia allocation of the Lexington Coal Company (“LCC”) note payable (“LCC Note Payable”) in the amount of \$21.2 million. The final \$7.7 million payment was originally due in July of 2022, but we negotiated the return of \$14.0 million of surety collateral in exchange for early repayment, which allowed us to eliminate that portion of the debt a year early and at a lower net cash outflow than was previously expected in 2021. As of September 30, 2021, \$2.3 million remained on the Kentucky allocation of the LCC Note Payable, which we originally expected would be paid in July of 2022. In October 2021, we elected to repay in full, during the fourth quarter of 2021, the remaining LCC Note Payable in the amount of \$2.3 million and the remaining obligation to contribute into the LCC’s water treatment restricted accounts (the “LCC Water Treatment Stipulation”) in the amount of \$5.0 million. Refer to Note 9 for additional disclosures on long-term debt.

Business Updates

On September 14, 2021, Moody’s Investors Service (“Moody’s”) upgraded our Corporate Family Rating to B3 from Caa1, Probability of Default Rating to B3-PD from Caa1-PD, Senior Secured First Lien Bank Credit Facility Rating to B3 (LGD4) from Caa2 (LGD4), and Speculative Grade Liquidity Rating to SGL-2 from SGL-3 which were upgraded from Moody’s previous ratings which were released on April 16, 2021. The rating outlook is stable. Should we receive any negative outlook ratings in the future, such negative outlook ratings would bring potential liquidity risks for us, including the risks of declines in our stock value, declines in our cash and cash equivalents, less availability and higher costs of additional credit, and requests for additional collateral by surety providers.

The COVID-19 pandemic has had negative impacts on our business, results of operations, financial condition, and cash flows. The full extent of the impact of the COVID-19 pandemic on our operational and financial performance will depend on various developments, including the duration and spread of the outbreak, its impact on our customers and suppliers and the range of governmental and community reactions to the pandemic, which are still uncertain and still cannot be fully predicted.

We continually strive to enhance our capital structure and financial flexibility and reduce cash outflows from operations. As future opportunities arise, we will consider the possibility of refinancing, repayment or repurchase of outstanding debt and amendment of our credit facilities, and may consider the sale of other assets or businesses, and such other measures as we believe circumstances warrant. We may decide to pursue or not pursue these opportunities at any time. Access to additional funds from liquidity-generating transactions or other sources of external financing is subject to market conditions and certain limitations, including our credit rating and covenant restrictions in our credit facilities.

Income Taxes

In August 2021, we received our expected \$64.2 million of federal income tax refund and \$5.4 million of associated interest payment related to an NOL carryback claim. Refer to Note 13 for further income tax disclosures.

Pension Plans

As a result of the recent funding relief granted under the American Rescue Plan Act, estimated contributions requirements to the pension plans were reduced relative to our previous estimates. We are not required to make additional contributions to the pension plans in the remainder of 2021. Refer to Note 14 for further disclosures related to this obligation.

Discontinued Operations

Refer to Note 2 for disclosure information on discontinued operations.

DCMWC Reauthorization Process

In July 2019, the U.S. Department of Labor (Division of Coal Mine Workers’ Compensation or “DCMWC”) began implementing a new authorization process for all self-insured coal mine operators. As requested by DCMWC, we filed an application and supporting documentation for reauthorization to self-insure certain of our black lung obligations in October 2019. As a result of this application, the DCMWC notified us in a letter dated February 21, 2020 that we were reauthorized to self-insure certain of our black lung obligations for a period of one-year from February 21, 2020. The DCMWC reauthorization is contingent, however, upon us providing collateral of \$65.7 million to secure certain of our black lung obligations. This collateral requirement, which the DCMWC advises represents 70% of our estimated future liability according to the DCMWC’s

estimation methodology, is an increase of approximately 2,400% from the approximately \$2.6 million in collateral which we (previously by Alpha Natural Resources Inc. prior to the Merger) have provided since 2016 to secure these self-insured black lung obligations. Future liability has not previously been estimated by the DCMWC in connection with the reauthorization process but is now being considered as part of its new collateral-setting methodology.

The reauthorization process provided us with the right to appeal the security determination in writing within 30 days of the date of the notification, which appeal period the DCMWC agreed to extend to May 22, 2020, and we exercised this right of appeal. We strongly disagree with the DCMWC's substantially higher collateral determination and the methodology through which the calculation was derived. However, there has been no substantive activity under the appeal since its filing. In February 2021, the U.S. Department of Labor withdrew its Federal Register notice seeking comments on its bulletin describing its new method of calculating collateral requirements. The Department removed the bulletin from its website in May 2021. If our appeal is unsuccessful, we may be required to provide additional letters of credit in order to receive self-insurance reauthorization from the DCMWC or insure these black lung obligations through a third party provider, which would likely also require us to provide additional collateral. Either of these outcomes would significantly reduce our liquidity.

Cash Flows

Cash, cash equivalents, and restricted cash decreased by \$74.6 million and \$55.1 million over the nine months ended September 30, 2021 and 2020, respectively. The net change in cash, cash equivalents, and restricted cash was attributable to the following:

	Nine Months Ended September 30,	
	2021	2020
<i>Cash flows (in thousands):</i>		
Net cash provided by operating activities	\$ 70,573	\$ 73,033
Net cash used in investing activities	(62,302)	(124,833)
Net cash used in financing activities	(82,916)	(3,277)
Net decrease in cash and cash equivalents and restricted cash	\$ (74,645)	\$ (55,077)

Operating Activities

Net cash flows provided by operating activities consist of net income (loss) adjusted for non-cash items. Net cash provided by operating activities for the nine months ended September 30, 2021 was \$70.6 million and was primarily attributable to net income of \$31.3 million adjusted for depreciation, depletion and amortization of \$80.3 million, accretion on asset retirement obligations of \$20.0 million, mark-to-market adjustment for acquisition-related obligations of \$18.0 million, amortization of acquired intangibles, net of \$9.4 million, and amortization of debt issuance costs and accretion of debt discount of \$9.4 million, partially offset by the change in our operating assets and liabilities of \$100.7 million.

Net cash provided by operating activities for the nine months ended September 30, 2020 was \$73.0 million and was primarily attributable to net loss of \$346.7 million adjusted for asset impairment and restructuring of \$221.5 million, depreciation, depletion and amortization of \$154.5 million, deferred income taxes of \$33.0 million, accretion on asset retirement obligations of \$23.8 million, employee benefit plans, net of \$15.1 million, and amortization of debt issuance costs and accretion of debt discount of \$11.1 million, partially offset by a mark-to-market adjustment for acquisition-related obligations of \$13.4 million and the change in our operating assets and liabilities of \$33.6 million.

Investing Activities

Net cash used in investing activities for the nine months ended September 30, 2021 was \$62.3 million, primarily driven by capital expenditures of \$60.4 million and purchases of investment securities of \$15.5 million, partially offset by maturity of investment securities of \$10.5 million and proceeds on disposal of assets of \$7.5 million.

Net cash used in investing activities for the nine months ended September 30, 2020 was \$124.8 million, primarily driven by capital expenditures of \$118.9 million and purchases of investment securities of \$18.6 million, partially offset by maturity of investment securities of \$12.7 million.

Financing Activities

Net cash used in financing activities for the nine months ended September 30, 2021 was \$82.9 million, primarily attributable to principal repayments of long-term debt of \$61.9 million and repurchases of long-term debt of \$18.4 million.

Net cash used in financing activities for the nine months ended September 30, 2020 was \$3.3 million, primarily attributable to principal repayments of long-term debt of \$58.3 million, mostly offset by proceeds from borrowings on debt of \$57.5 million.

Long-Term Debt

Refer to Note 9 for additional disclosures on long-term debt.

Analysis of Material Debt Covenants

We are in compliance with all covenants under the Credit Agreement's Term Loan Credit Facility and the Amended and Restated Asset-Based Revolving Credit Agreement, as of September 30, 2021. A breach of the covenants in the Credit Agreement's Term Loan Credit Facility or the Amended and Restated Asset-Based Revolving Credit Agreement could result in a default under the terms of such agreement, and the respective lenders could then elect to declare all amounts borrowed due and payable.

Pursuant to the Amended and Restated Asset-Based Revolving Credit Agreement, during any Liquidity Period (capitalized terms as defined in the Amended and Restated Asset-Based Revolving Credit Agreement), our Fixed Charge Coverage Ratio cannot be less than 1.0 as of the last day of any Test Period, commencing with the Test Period ended immediately preceding the commencement of such Liquidity Period. The Fixed Charge Coverage Ratio is calculated as (a) Consolidated EBITDA of the Company and its Restricted Subsidiaries for such period, minus non-financed Capital Expenditures (including Capital Expenditures financed with the proceeds of any Loans) paid or payable currently in cash by the Company or any of its Subsidiaries for such period to (b) the Fixed Charges of the Company and its Restricted Subsidiaries during such period. As of September 30, 2021, we were not in a Liquidity Period.

Acquisition-Related Obligations

Refer to Note 10 for additional disclosures on acquisition-related obligations.

Off-Balance Sheet Arrangements

Refer to Note 16, part (c) for disclosures on off-balance sheet arrangements.

Other

As a regular part of our business, we review opportunities for, and engage in discussions and negotiations concerning, the acquisition or disposition of coal mining and related infrastructure assets and interests in coal mining companies, and acquisitions or dispositions of, or combinations or other strategic transactions involving companies with coal mining or other energy assets. When we believe that these opportunities are consistent with our strategic plans and our acquisition or disposition criteria, we will make bids or proposals and/or enter into letters of intent and other similar agreements. These bids or proposals, which may be binding or non-binding, are customarily subject to a variety of conditions and usually permit us to terminate the discussions and any related agreement if, among other things, we are not satisfied with the results of due diligence. Any acquisition opportunities we pursue could materially affect our liquidity and capital resources and may require us to incur indebtedness, seek equity capital or both. There can be no assurance that additional financing will be available on terms acceptable to us, or at all.

Contractual Obligations

Our contractual obligations are discussed in "Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations" in our Annual Report on Form 10-K for the year ended December 31, 2020.

Our contractual obligations relating to transportation commitments increased during the nine months ended September 30, 2021 primarily as a result of new agreements during the period. Additionally, our contractual obligations relating to coal purchase commitments decreased during the nine months ended September 30, 2021 primarily as a result of fewer coal purchase agreements in the current period compared to the prior year period. The table below reflects these obligations as of September 30, 2021:

<i>(in thousands)</i>	Remainder of 2021	2022	2023	2024	2025	After 2025	Total
Transportation commitments	\$ —	\$ 14,905	\$ —	\$ —	\$ —	\$ —	\$ 14,905
Coal purchase commitments ⁽¹⁾	\$ 22,647	\$ —	\$ —	\$ —	\$ —	\$ —	\$ 22,647

⁽¹⁾ Includes an estimated \$3.0 million related to contractually committed fixed priced tons from vendors with historical performance resulting in less than 20% of the committed tonnage being delivered.

We expect to spend between \$88.0 million and \$98.0 million on capital expenditures during 2021.

Refer to Note 9 and Note 10 for additional disclosures on long-term debt and acquisition-related obligations, respectively.

Critical Accounting Policies and Estimates

The preparation of financial statements in accordance with GAAP requires management to make estimates and assumptions that affect reported amounts of assets, liabilities, revenues and expenses, and related disclosure of contingent assets and liabilities. We base our estimates on historical experience and on various other factors and assumptions, including the current economic environment, that we believe are reasonable under the circumstances, the results of which form the basis for making judgments about the carrying values of assets and liabilities that are not readily apparent from other sources. We evaluate our estimates and assumptions on an ongoing basis and adjust such estimates and assumptions as facts and circumstances require. Foreign currency and energy markets, and fluctuations in demand for steel products have combined to increase the uncertainty inherent in such estimates and assumptions. As future events and their effects cannot be determined with precision, actual results may differ significantly from these estimates. Changes in these estimates resulting from continuing changes in the economic environment will be reflected in the financial statements in future periods.

Our critical accounting policies are discussed in “Item 7. Management’s Discussion and Analysis of Financial Condition and Results of Operations” in our Annual Report on Form 10-K for the year ended December 31, 2020. Our critical accounting policies remain unchanged at September 30, 2021. Refer to Note 1 for disclosures related to new accounting policies adopted.

Item 3. Quantitative and Qualitative Disclosures about Market Risk

Not required.

Item 4. Controls and Procedures

Evaluation of Disclosure Controls and Procedures

We maintain disclosure controls and procedures as that term is defined in Rules 13a-15(e) and 15d-15(e) under the Securities Exchange Act of 1934, as amended (the “Exchange Act”) that are designed to ensure that information required to be disclosed by the Company in reports that it files or submits under the Exchange Act, is recorded, processed, summarized and reported within the time periods specified in the SEC’s rules and forms, and that such information is accumulated and communicated to our management, including our Chief Executive Officer (“CEO”) and our Chief Financial Officer (“CFO”), as appropriate, to allow timely decisions regarding required disclosures. Any controls and procedures, no matter how well designed and operated, can provide only reasonable assurance of achieving the desired control objectives. In accordance with Rule 13a-15(b) of the Exchange Act, we have evaluated, under the supervision of our CEO and our CFO, the effectiveness of disclosure controls and procedures as of September 30, 2021. Based on this evaluation, our CEO and our CFO concluded that our disclosure controls and procedures were effective as of September 30, 2021.

Changes in Internal Control Over Financial Reporting

There were no changes in our internal control over financial reporting (as defined in Rule 13a-15(f) under the Exchange Act) that occurred during the period covered by this Quarterly Report on Form 10-Q that have materially affected, or is reasonably likely to materially affect, our internal control over financial reporting.

Inherent Limitations on Effectiveness of Disclosure Controls and Procedures

Our CEO, our CFO and other members of management do not expect that our disclosure controls and procedures or our internal control over financial reporting will prevent all errors and all fraud. A control system, no matter how well designed and operated, can provide only reasonable, not absolute, assurance that the objectives of the control system are met. Because of its

inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Part II - Other Information

Item 1. Legal Proceedings

For a description of the Company's legal proceedings, refer to Note 16, part (d), to the unaudited Condensed Consolidated Financial Statements included in Part I, Item 1 of this Quarterly Report on Form 10-Q, which is incorporated herein by reference.

Item 1A. Risk Factors

In addition to the other information set forth in this report, you should carefully consider the factors discussed in the "Item 1A. Risk Factors" section in the Company's Annual Report on Form 10-K for the year ended December 31, 2020, together with the cautionary statement under the caption "Cautionary Note Regarding Forward Looking Statements" in this Quarterly Report on Form 10-Q. These described risks are not the only risks we face. Additional risks and uncertainties not currently known to us or that we currently deem to be immaterial also may materially adversely affect our business, financial condition and/or operating results.

We may be unable to generate sufficient taxable income from future operations, or other circumstances could arise, which may significantly further limit our ability to utilize our tax net operating loss carryforwards or maintain our deferred tax assets.

We acquired the core coal assets of Alpha Natural Resources, Inc. as part of Alpha Natural Resources, Inc.'s bankruptcy restructuring in transactions intended to be treated as a tax-free reorganization for U.S. federal income tax purposes. As a result of these transactions, we inherited the tax basis of the core assets and the net operating loss and other carryforwards of Alpha Natural Resources, Inc. These carryforwards and tax basis were subject to reduction on December 31, 2016 due to the cancellation of indebtedness resulting from Alpha Natural Resources, Inc.'s bankruptcy restructuring. Due to the change in ownership, the net operating loss and other carryforwards will be subjected to limitations on their use in future years and additional changes in ownership in future years may significantly further reduce the annual amount of the net operating loss and other carryforwards available to be utilized. In addition, we do not have a long history of operating results, and if we are unable to generate profits in the future, we may be unable to utilize these carryforwards. As of September 30, 2021 and December 31, 2020, a valuation allowance of \$250.7 million and \$263.4 million, respectively, has been provided on federal and state net operating loss carryforwards and other deferred tax assets not expected to provide future tax benefits.

Item 2. Unregistered Sales of Equity Securities and Use of Proceeds

The following table summarizes information about shares of common stock that were repurchased during the third quarter of 2021.

	Total Number of Shares Purchased ⁽¹⁾	Average Price Paid per Share	Total Number of Shares Purchased as Part of Publicly Announced Plans or Programs ⁽²⁾	Approximate Dollar Value of Shares that May Yet Be Purchased Under the Plans or Programs (In thousands) ^{(2),(3)}
July 1, 2021 through July 31, 2021	4,290	\$ 24.64	—	\$ 67,552
August 1, 2021 through August 31, 2021	—	\$ —	—	\$ 67,552
September 1, 2021 through September 30, 2021	—	\$ —	—	\$ 67,552
	<u>4,290</u>		<u>—</u>	<u>\$ 67,522</u>

⁽¹⁾ Represents common shares repurchased from employees to satisfy the employees' statutory tax withholdings upon the vesting of stock grants. Shares that are repurchased to satisfy the employees' statutory tax withholdings are recorded in treasury stock at cost.

⁽²⁾ The Company adopted a capital return program in 2019, including a stock repurchase plan which the Company suspended on October 1, 2019.

⁽³⁾ We cannot estimate the number of shares that will be repurchased because decisions to purchase are subject to market and business conditions, levels of available liquidity, our cash needs, restrictions under agreements or obligations, legal or

regulatory requirements or restrictions, and other relevant factors. This amount does not include \$16 thousand of stock repurchase related fees.

Exercises and repurchases related to the Company's outstanding Series A warrants during the current quarter were immaterial.

Item 4. *Mine Safety Disclosures*

Information concerning mine safety violations or other regulatory matters required by Section 1503(a) of the Dodd-Frank Wall Street Reform and Consumer Protection Act and Item 104 of Regulation S-K is included in Exhibit 95 to this Quarterly Report on Form 10-Q.

Item 6. *Exhibits*

Refer to the Exhibit Index following the signature page to this Quarterly Report on Form 10-Q.

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

Date: November 5, 2021

ALPHA METALLURGICAL RESOURCES, INC.

By: /s/ Charles Andrew Eidson

Name: Charles Andrew Eidson

Title: President and Chief Financial Officer
(Principal Financial Officer and Principal Accounting Officer)

Exhibit Index

Exhibit No.	Description of Exhibit
3.1*	Second Amended and Restated Certificate of Incorporation of Contura Energy, Inc. (Incorporated by reference to Exhibit 3.1 to the Registration Statement on Form S-4 of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018), as amended on January 22, 2021
3.2*	Third Amended and Restated Bylaws of Contura Energy, Inc. (Incorporated by reference to Exhibit 3.2 to the Annual Report on Form 10-K of Contura Energy, Inc. (File No. 001-38735) filed on March 18, 2020), as amended on January 22, 2021
31*	Certifications Pursuant to Rule 13a-14(a) under the Securities Exchange Act of 1934, as adopted pursuant to §302 of the Sarbanes-Oxley Act of 2002
32**	Certifications Pursuant to 18 U.S.C. §1350, As Adopted Pursuant to §906 of the Sarbanes-Oxley Act of 2002
95*	Mine Safety Disclosure Exhibit
101*	The following financial information from Alpha Metallurgical Resources, Inc.'s Quarterly Report on Form 10-Q for the quarter ended September 30, 2021 formatted in Inline XBRL (Extensible Business Reporting Language) includes: (i) Condensed Consolidated Statements of Operations, (ii) Condensed Consolidated Statements of Comprehensive Loss, (iii) Condensed Consolidated Balance Sheets, (iv) Condensed Consolidated Statements of Cash Flows, (v) Condensed Consolidated Statements of Stockholders' Equity, and (vi) Notes to the Condensed Consolidated Financial Statements.
104*	Cover Page Interactive Data File (formatted as Inline XBRL and contained in Exhibit 101)

* Filed herewith

** Furnished herewith

**SECOND AMENDED AND RESTATED
CERTIFICATE OF INCORPORATION**

OF

ALPHA METALLURGICAL RESOURCES, INC.

(Amended as of: January 18, 2021)

Pursuant to the provisions of Sections 242 and 245 of the General Corporation Law of the State of Delaware, as the same exists or may hereafter be amended (“**Delaware Law**”), Alpha Metallurgical Resources, Inc., a corporation organized under the laws of the State of Delaware, does hereby certify that:

FIRST: The present name of the corporation is Alpha Metallurgical Resources, Inc. (the “**Corporation**”). The Corporation was incorporated on June 10, 2016 under the name Contura Energy, Inc., pursuant to Delaware Law.

SECOND: The Certificate of Incorporation of the Corporation is hereby amended and restated in its entirety as hereinafter provided for (the “**Second Amended and Restated Certificate of Incorporation**”). The Second Amended and Restated Certificate of Incorporation herein certified has been duly adopted by the Corporation’s Board of Directors and stockholders in accordance with the provisions of Sections 228, 242 and 245 of Delaware Law. The Second Amended and Restated Certificate of Incorporation shall become effective upon filing with the Secretary of State of the State of Delaware.

THIRD: The Second Amended and Restated Certificate of Incorporation of the Corporation shall, at the effective time, read as follows:

ARTICLE 1.

NAME

The name of the corporation is Alpha Metallurgical Resources, Inc. (the “**Corporation**”).

ARTICLE 2.

REGISTERED OFFICE AND AGENT

The address of its registered office in the State of Delaware is Corporation Trust Center, 1209 Orange Street, City of Wilmington, County of New Castle, Delaware 19801. The name of its registered agent at such address is The Corporation Trust Company.

ARTICLE 3.

PURPOSE AND POWERS

The purpose of the Corporation is to engage in any lawful act or activity for which corporations may be organized under Delaware Law.

ARTICLE 4. CAPITAL STOCK

(A) Authorized Shares

1. **Classes of Stock.** The total number of shares of stock that the Corporation shall have authority to issue is 55,000,000, consisting of 50,000,000 shares of Common Stock, par value \$0.01 per share (the ‘**Common Stock**’), and 5,000,000 shares of Preferred Stock, par value \$0.01 per share (the ‘**Preferred Stock**’).

2. **Preferred Stock.** The Board of Directors is hereby empowered, without any action or vote by the Corporation’s stockholders (except as may otherwise be provided by the terms of any class or series of Preferred Stock then outstanding), to authorize by resolution or resolutions from time to time the issuance of one or more classes or series of Preferred Stock and to fix the designations, powers, preferences and relative, participating, optional or other rights, if any, and the qualifications, limitations or restrictions thereof, if any, with respect to each such class or series of Preferred Stock and the number of shares constituting each such class or series, and to increase or decrease the number of shares of any such class or series to the extent permitted by Delaware Law.

(B) Voting Rights

Each holder of Common Stock, as such, shall be entitled to one vote for each share of Common Stock held of record by such holder on all matters on which stockholders generally are entitled to vote; provided, however, that, except as otherwise required by law, holders of Common Stock, as such, shall not be entitled to vote on any amendment to this Second Amended and Restated Certificate of Incorporation (including any certificate of designations relating to any class or series of Preferred Stock) that relates solely to the terms of one or more outstanding classes or series of Preferred Stock if the holders of such affected class or series are entitled, either separately or together with the holders of one or more other such classes or series, to vote thereon pursuant to this Second Amended and Restated Certificate of Incorporation (including any certificate of designations relating to any class or series of Preferred Stock) or pursuant to Delaware Law.

(C) Dividends

Subject to the rights of any holders of any class or series of Preferred Stock then outstanding, the holders of Common Stock shall be entitled to the payment of dividends when

and as declared by the Board of Directors in accordance with applicable law and to receive other distributions from the Corporation. Any dividends declared by the Board of Directors to the holders of the then-outstanding Common Stock shall be paid to the holders thereof *pro rata* in accordance with the number of shares of Common Stock held by each such holder as of the record date of such dividend.

ARTICLE 5. BYLAWS

The Board of Directors shall have the power to adopt, amend or repeal the bylaws of the Corporation (the “**Bylaws**”).

The stockholders may adopt, amend or repeal the Bylaws only with the affirmative vote of the holders of not less than 66 2/3% of the voting power of all outstanding securities of the Corporation generally entitled to vote in the election of directors, voting together as a single class.

ARTICLE 6. BOARD OF DIRECTORS

(A) Power of the Board of Directors. The business and affairs of the Corporation shall be managed by or under the direction of a Board of Directors.

(B) Number of Directors. The number of directors which shall constitute the Board of Directors shall be fixed exclusively by one or more resolutions adopted from time to time solely by the affirmative vote of a majority of the Board of Directors.

(C) Election of Directors. Each director shall be elected annually at each annual meeting of stockholders to hold office for a term expiring at the next annual meeting of stockholders, with each director to hold office until such director’s successor shall have been duly elected and qualified or until such director’s earlier death, resignation or removal. In no event will a decrease in the number of directors shorten the term of any incumbent director. There shall be no cumulative voting in the election of directors. Election of directors need not be by written ballot unless the Bylaws so provide.

(D) Vacancies. Vacancies on the Board of Directors resulting from death, resignation, removal or otherwise and newly created directorships resulting from any increase in the number of directors shall, unless the Board of Directors calls a special meeting for which the election of directors is included as business or as otherwise required by law, be filled solely by a majority of the directors then in office (although less than a quorum) or by the sole remaining director, and each director so elected shall hold office for a term ending at the next annual meeting of stockholders, and until such director’s successor shall have been duly elected and qualified or until such director’s earlier death, resignation or removal.

(E) Removal. Any director or the entire Board of Directors may be removed, with or without cause, at any time by the affirmative vote of the holders of a majority of the outstanding capital stock of the Corporation then entitled to vote at any election of directors and the vacancies thus created shall be filled in accordance with Article 6(D) herein.

(F) Preferred Stock Directors. Notwithstanding anything else contained herein, whenever the holders of one or more classes or series of Preferred Stock shall have the right, voting separately as a class or series, to elect directors, the election, term of office, filling of vacancies, removal and other features of such directorships shall be governed by the terms of such class or series of Preferred Stock adopted by resolution or resolutions adopted by the Board of Directors pursuant to Article 4(A) hereto, and such directors so elected shall not be subject to the provisions of this Article 6 unless otherwise provided therein.

ARTICLE 7. MEETINGS OF STOCKHOLDERS

(A) Annual Meetings. An annual meeting of stockholders shall be held for the election of directors and to transact such other business as may properly be brought before the meeting at such place, on such date, and at such time as the Board of Directors shall determine.

(B) Special Meetings. Special meetings of the stockholders may be called only by the Board of Directors acting pursuant to a resolution adopted by a majority of the Board of Directors. Notwithstanding the foregoing, whenever holders of one or more classes or series of Preferred Stock shall have the right, voting separately as a class or series, to elect directors, such holders may call, pursuant to the terms of such class or series of Preferred Stock adopted by resolution or resolutions of the Board of Directors pursuant to Article 4(A) hereto, special meetings of holders of such Preferred Stock.

(C) No Action by Written Consent. Subject to the rights of the holders of any class or series of Preferred Stock then outstanding, as may be set forth in the resolution or resolutions adopted by the Board of Directors pursuant to Article 4(A) hereto for such class or series of Preferred Stock, any action required or permitted to be taken at any annual or special meeting of stockholders may be taken only upon the vote of stockholders at an annual or special meeting duly noticed and called in accordance with Delaware Law, as amended from time to time, and this Article 7 and may not be taken by written consent of stockholders without a meeting.

ARTICLE 8. INDEMNIFICATION

(A) Limited Liability. A director of the Corporation shall not be liable to the Corporation or its stockholders for monetary damages for breach of fiduciary duty as a director to the fullest extent permitted by Delaware Law.

(B) Right to Indemnification.

(1) Each person (and the heirs, executors or administrators of such person) who was or is a party or is threatened to be made a party to, or is involved in any threatened, pending or completed action, suit or proceeding, whether civil, criminal, administrative or investigative, by reason of the fact that such person is or was a director or officer of the Corporation or is or was serving at the request of the Corporation as a director or officer of another corporation, limited liability company, partnership, joint venture, trust or other enterprise (an “**Indemnitee**”), shall be indemnified and held harmless by the Corporation to the fullest extent permitted by Delaware Law. The right to indemnification conferred in this Article 8 shall also include the right to be paid by the Corporation the expenses incurred in connection with any such proceeding in advance of its final disposition to the fullest extent authorized by Delaware Law. The right to indemnification conferred in this Article 8 shall be a contract right.

(2) The Corporation may, by action of its Board of Directors, provide indemnification to such of the employees and agents of the Corporation to such extent and to such effect as the Board of Directors shall determine to be appropriate and authorized by Delaware Law.

(C) Insurance. The Corporation shall have power to purchase and maintain insurance on behalf of any person who is or was a director, officer, employee or agent of the Corporation, or is or was serving at the request of the Corporation as a director, officer, employee or agent of another corporation, limited liability company, partnership, joint venture, trust or other enterprise against any expense, liability or loss incurred by such person in any such capacity or arising out of such person’s status as such, whether or not the Corporation would have the power to indemnify such person against such liability under Delaware Law.

(D) Nonexclusivity of Rights. The rights and authority conferred in this Article 8 shall not be exclusive of any other right that any person may otherwise have or hereafter acquire.

(E) Preservation of Rights. Neither the amendment nor repeal of this Article 8, nor the adoption of any provision of this Second Amended and Restated Certificate of Incorporation or the Bylaws, nor, to the fullest extent permitted by Delaware Law, any modification of law, shall adversely affect any right or protection of any person granted pursuant hereto existing at, or arising out of or related to any event, act or omission that occurred prior to, the time of such amendment, repeal, adoption or modification (regardless of when any proceeding (or part thereof) relating to such event, act or omission arises or is first threatened, commenced or completed).

(F) Jointly Indemnifiable Claims. Given that certain Jointly Indemnifiable Claims (as defined below) may arise due to the service of an Indemnitee as a director and/or officer of the Corporation at the request of an Indemnitee-Related Entity (as defined below), the Corporation shall be fully and primarily responsible for the payment to the Indemnitee in respect of indemnification or advancement of expenses in connection with any such Jointly Indemnifiable Claims, pursuant to and in accordance with the terms of this Article 8, irrespective of any right of recovery an Indemnitee may have from any Indemnitee-Related Entity. Under no circumstance shall the Corporation be entitled to any right of subrogation against or contribution by an Indemnitee-Related Entity and no right of advancement, indemnification or recovery an Indemnitee may have from any Indemnitee-Related Entity shall reduce or otherwise alter the rights of an Indemnitee or the obligations of the Corporation under this Article 8. In the event that an Indemnitee-Related Entity shall make any payment to the Indemnitee in respect of indemnification or advancement of expenses with respect to any Jointly Indemnifiable Claim, such Indemnitee-Related Entity making such payment shall be subrogated to the extent of such payment to all of the rights of recovery of the Indemnitee against the Corporation, and the Indemnitee shall execute all documents and instruments reasonably required and shall do all things that may be reasonably necessary to secure such rights, including the execution of such documents and instruments as may be necessary to enable such Indemnitee-Related Entity effectively to bring suit to enforce such rights. Each of the Indemnitee-Related Entities shall be third-party beneficiaries with respect to this Article 8(F) and entitled to enforce this Article 8(F).

The term “**Indemnitee-Related Entity**” means any corporation, limited liability company, partnership, joint venture, trust or other enterprise (other than the Corporation or any other corporation, partnership, joint venture, trust or other enterprise for which the Indemnitee has agreed, on behalf of the Corporation or at the Corporation’s request, to serve as a director, officer, employee or agent and which service is covered by the indemnity described herein) from whom an Indemnitee may be entitled to indemnification or advancement of expenses in respect of a matter with respect to which, in whole or in part, the Corporation may also have an indemnification or advancement obligation.

The term “**Jointly Indemnifiable Claims**” shall be broadly construed and shall include, without limitation, any action, suit or proceeding for which an Indemnitee shall be entitled to indemnification or advancement of expenses from both an Indemnitee-Related Entity and the Corporation pursuant to applicable law or any agreement, certificate of incorporation, bylaws, partnership agreement, operating agreement, certificate of formation, certificate of limited partnership or comparable organizational documents of the Corporation or an Indemnitee-Related Entity, as applicable.

ARTICLE 9.

AMENDMENTS

The Corporation reserves the right to amend this Second Amended and Restated Certificate of Incorporation in any manner permitted by the Delaware Law and all rights and powers conferred upon stockholders, directors and officers herein are granted subject to this reservation. Notwithstanding the foregoing, the provisions set forth in Articles 4(B), 5, 6, 7, 8 and this Article 9 may not be repealed or amended in any respect, and no other provision may be adopted, amended or repealed which would have the effect of modifying or permitting the circumvention of the provisions set forth in any of Articles 4(B), 5, 6, 7, 8 or this Article 9, unless such action is approved by the affirmative vote of the holders of not less than 66 2/3% of the total voting power of all outstanding securities of the Corporation generally entitled to vote in the election of directors, voting together as a single class.

IN WITNESS WHEREOF, said Corporation has caused this Second Amended and Restated Certificate of Incorporation to be signed by its duly authorized officer on this 9th day of November, 2018.

**ALPHA METALLURGICAL
RESOURCES, INC.**

By: /s/ Mark Manno

Name: Mark Manno

Title: EVP – Chief Administrative and
Legal Officer & Secretary

THIRD AMENDED AND RESTATED BYLAWS**OF****ALPHA METALLURGICAL RESOURCES, INC.**

(Amended as of: January 18, 2021)

* * * * *

ARTICLE 1**OFFICES**

Section 1.01. *Registered Office.* The registered office of the Corporation shall be in the City of Wilmington, County of New Castle, State of Delaware.

Section 1.02. *Other Offices.* The Corporation may also have offices at such other places both within and without the State of Delaware as the Board of Directors may from time to time determine or the business of the Corporation may require.

Section 1.03. *Books.* The books of the Corporation may be kept within or without the State of Delaware as the Board of Directors may from time to time determine or the business of the Corporation may require.

Section 1.04: *Name of the Corporation:* The name of the Corporation shall be Alpha Metallurgical Resources, Inc., effective as of February 1, 2021.

ARTICLE 2**MEETINGS OF STOCKHOLDERS**

Section 2.01. *Time and Place of Meetings.* All meetings of stockholders shall be held at such place, either within or without the State of Delaware, on such date and at such time as may be determined from time to time by the Board of Directors (or the Chairman in the absence of a designation by the Board of Directors).

Section 2.02. *Annual Meetings.* An annual meeting of stockholders shall be held for the election of directors and to transact such other business as may properly be brought before the meeting at such place, on such date, and at such time as the Board of Directors shall determine.

Section 2.03. *Special Meetings.* Special meetings of the stockholders may be called only by the Board of Directors acting pursuant to a resolution adopted by a majority of the Board of Directors. Notwithstanding the foregoing, whenever holders of one or more classes or series of Preferred Stock shall have the right, voting separately as a class or series, to elect directors, such holders may call, pursuant to the terms of such class or series of Preferred Stock adopted by

resolution or resolutions of the Board of Directors as provided in the Amended and Restated Certificate of Incorporation, special meetings of holders of such Preferred Stock.

Section 2.04. *Notice of Meetings and Adjourned Meetings; Waivers of Notice.* (a) Whenever stockholders are required or permitted to take any action at a meeting, a written notice of the meeting shall be given which shall state the place, if any, date and hour of the meeting, the means of remote communications, if any, by which stockholders and proxy holders may be deemed to be present in person and vote at such meeting, and, in the case of a special meeting, the purpose or purposes for which the meeting is called. Unless otherwise provided by the General Corporation Law of the State of Delaware as the same exists or may hereafter be amended (“**Delaware Law**”), such notice shall be given not less than 10 nor more than 60 days before the date of the meeting to each stockholder of record entitled to vote at such meeting. The Board of Directors or the chairman of the meeting may adjourn the meeting to another time or place (whether or not a quorum is present), and notice need not be given of the adjourned meeting if the time, place, if any, and the means of remote communications, if any, by which stockholders and proxy holders may be deemed to be present in person and vote at such meeting, are announced at the meeting at which the adjournment is taken. At the adjourned meeting, the Corporation may transact any business which might have been transacted at the original meeting. If the adjournment is for more than 30 days, or after the adjournment a new record date is fixed for the adjourned meeting, a notice of the adjourned meeting shall be given to each stockholder of record entitled to vote at the meeting.

(b) A written waiver of any such notice signed by the person entitled thereto, or a waiver by electronic transmission by the person entitled to notice, whether before or after the time stated therein, shall be deemed equivalent to notice. Attendance of a person at a meeting shall constitute a waiver of notice of such meeting, except when the person attends the meeting for the express purpose of objecting, at the beginning of the meeting, to the transaction of any business because the meeting is not lawfully called or convened. Business transacted at any special meeting of stockholders shall be limited to the purposes stated in the notice.

Section 2.05. *Quorum.* Unless otherwise provided under the Amended and Restated Certificate of Incorporation or these Second Amended and Restated Bylaws (“**Bylaws**”) and subject to Delaware Law, the presence, in person or by proxy, of the holders of a majority of the total voting power of all outstanding securities of the Corporation generally entitled to vote at a meeting of stockholders shall constitute a quorum for the transaction of business. If, however, such quorum shall not be present or represented at any meeting of the stockholders, the chairman of the meeting or a majority in voting interest of the stockholders present in person or represented by proxy may adjourn the meeting, without notice other than announcement at the meeting, until a quorum shall be present or represented. At such adjourned meeting at which a quorum shall be present or represented any business may be transacted that might have been transacted at the meeting as originally notified.

Section 2.06. *Voting.* (a) Unless otherwise provided in the Amended and Restated Certificate of Incorporation and subject to Delaware Law, each stockholder shall be entitled to one vote for each outstanding share of capital stock of the Corporation held by such stockholder. Any share of capital stock of the Corporation held by the Corporation shall have no voting rights. Except as otherwise provided by law, the Amended and Restated Certificate of Incorporation or these Bylaws, in all matters other than the election of directors, the affirmative vote of the holders of a majority of the votes cast at the meeting on the subject matter shall be the act of the stockholders. Abstentions and broker non-votes shall not be counted as votes cast. Subject to the rights of the holders of any class or series of preferred stock to elect additional directors under specific circumstances, as may be set forth in the certificate of designations for such class or series of preferred stock, directors shall be elected by a plurality of the votes of the shares of capital stock of the Corporation present in person or represented by proxy at the meeting and entitled to vote on the election of directors.

(b) Each stockholder entitled to vote at a meeting of stockholders or to express consent or dissent to a corporate action in writing without a meeting may authorize another person or persons to act for such stockholder by proxy, appointed by an instrument in writing, subscribed by such stockholder or by his attorney thereunto authorized, or by proxy sent by cable, telegram or by any means of electronic communication permitted by law, which results in a writing from such stockholder or by his attorney, and delivered to the secretary of the meeting. No proxy shall be voted after three (3) years from its date, unless said proxy provides for a longer period.

Section 2.07. *Action by Consent.* Subject to the rights of the holders of any class or series of preferred stock then outstanding, as may be set forth in the certificate of designations for such class or series of preferred stock, any action required or permitted to be taken at any annual or special meeting of stockholders may be taken only upon the vote of stockholders at an annual or special meeting duly noticed and called in accordance with Delaware Law and may not be taken by written consent of stockholders without a meeting.

Section 2.08. *Organization.* At each meeting of stockholders, the Chairman of the Board of Directors, if one shall have been elected, or in the Chairman's absence or if one shall not have been elected, the director designated by the vote of the majority of the directors present at such meeting, shall act as chairman of the meeting. The Secretary (or in the Secretary's absence or inability to act, the person whom the chairman of the meeting shall appoint secretary of the meeting) shall act as secretary of the meeting and keep the minutes thereof.

Section 2.09. *Order of Business.* The order of business at all meetings of stockholders shall be as determined by the chairman of the meeting.

Section 2.10. *Nomination of Directors and Proposal of Other Business.*

(a) *Annual Meetings of Stockholders.* (i) Nominations of persons for election to the Board of Directors or the proposal of other business to be transacted by the stockholders at an annual meeting of stockholders may be made only (A) pursuant to the Corporation's notice of meeting (or any supplement thereto), (B) by or at the direction of the Board of Directors or any

committee thereof, (C) as may be provided in the certificate of designations for any class or series of preferred stock or (D) by any stockholder of the Corporation who is a stockholder of record at the time of giving of notice provided for in paragraph (ii) of this Section 2.10(a) and at the time of the annual meeting, who shall be entitled to vote at the meeting and who complies with the procedures set forth in this Section 2.10(a), and, except as otherwise required by law, any failure to comply with these procedures shall result in the nullification of such nomination or proposal.

(ii) For nominations or other business to be properly brought before an annual meeting of stockholders by a stockholder pursuant to clause (D) of paragraph (i) of this Section 2.10(a), the stockholder must have given timely notice thereof in writing to the Secretary of the Corporation and any such proposed business (other than the nominations of persons for election to the Board of Directors) must constitute a proper matter for stockholder action. To be timely, a stockholder's notice shall be delivered to, or mailed and received by, the Secretary of the Corporation at the principal executive offices of the Corporation not less than 120 days nor more than 150 days prior to the first anniversary of the preceding year's annual meeting of stockholders; *provided, however*, that in the event that the date of the annual meeting is advanced more than 30 days prior to such anniversary date or delayed more than 70 days after such anniversary date then to be timely such notice must be received by the Corporation no earlier than 120 days prior to such annual meeting and no later than the later of 70 days prior to the date of the meeting or the 10th day following the day on which public announcement of the date of the meeting was first made by the Corporation; *provided, further*, that, solely for the purposes of the notice requirements under this Section 2.10(a), with respect to the annual meeting of stockholders of the Company for 2019, the anniversary of the preceding year's annual meeting of stockholders shall be deemed to be May 15, 2018. In no event shall the adjournment or postponement of any meeting, or any announcement thereof, commence a new time period (or extend any time period) for the giving of a stockholder's notice as described above.

(iii) A stockholder's notice to the Secretary shall set forth (A) as to each person whom the stockholder proposes to nominate for election or reelection as a director: (1) all information relating to such person that is required to be disclosed in solicitations of proxies for election of directors, or is otherwise required, in each case pursuant to Regulation 14A under the Securities Exchange Act of 1934 (as amended (together with the rules and regulations promulgated thereunder), the "**Exchange Act**") including such person's written consent to being named in the proxy statement as a nominee and to serving as a director if elected; and (2) a reasonably detailed description of any compensatory, payment or other financial agreement, arrangement or understanding that such person has with any other person or entity other than the Corporation including the

amount of any payment or payments received or receivable thereunder, in each case in connection with candidacy or service as a director of the Corporation (a “**Third-Party Compensation Arrangement**”), (B) as to any other business that the stockholder proposes to bring before the meeting, a brief description of the business desired to be brought before the meeting, the text of the proposal or business (including the text of any resolutions proposed for consideration and in the event that such business includes a proposal to amend these Bylaws, the text of the proposed amendment), the reasons for conducting such business and any material interest in such business of such stockholder and the beneficial owner, if any, on whose behalf the proposal is made and (C) as to the stockholder giving the notice and the beneficial owner, if any, on whose behalf the proposal is made:

(1) the name and address of such stockholder (as they appear on the Corporation’s books) and any such beneficial owner;

(2) for each class or series, the number of shares of capital stock of the Corporation that are held of record or are beneficially owned by such stockholder and by any such beneficial owner;

(3) a description of any agreement, arrangement, understanding between or among such stockholder and any such beneficial owner, any of their respective affiliates or associates, and any other person or persons (including their names) in connection with the proposal of such nomination or other business;

(4) a description of any agreement, arrangement or understanding (including, regardless of the form of settlement, any derivative, long or short positions, profit interests, forwards, futures, swaps, options, warrants, convertible securities, stock appreciation or similar rights, hedging transactions and borrowed or loaned shares) that has been entered into by or on behalf of, or any other agreement, arrangement or understanding that has been made, the effect or intent of which is to create or mitigate loss to, manage risk or benefit of share price changes for, or increase or decrease the voting power of, such stockholder or any such beneficial owner or any such nominee with respect to the Corporation’s securities;

(5) a representation that the stockholder is a holder of record of stock of the Corporation entitled to vote at such meeting and intends to appear in person or by proxy at the meeting to bring such nomination or other business before the meeting;

(6) a representation as to whether such stockholder or any such beneficial owner intends or is part of a group that intends to (i) deliver a proxy statement and/or form of proxy to holders of at least the percentage of the voting power of the Corporation’s outstanding capital stock required to approve or adopt the

proposal or to elect each such nominee and/or (ii) otherwise to solicit proxies from stockholders in support of such proposal or nomination;

(7) any other information relating to such stockholder, beneficial owner, if any, or director nominee or proposed business that would be required to be disclosed in a proxy statement or other filing required to be made in connection with the solicitation of proxies in support of such nominee or proposal pursuant to Section 14 of the Exchange Act; and

(8) such other information relating to any proposed item of business as the Corporation may reasonably require to determine whether such proposed item of business is a proper matter for stockholder action.

If requested by the Corporation, the information required under clauses 2.10(a)(iii)(C)(2), (3) and (4) of the preceding sentence of this Section 2.10 shall be supplemented by such stockholder and any such beneficial owner not later than 10 days after the record date for the meeting to disclose such information as of the record date.

(b) *Special Meetings of Stockholders.* If the election of directors is included as business to be brought before a special meeting in the Corporation's notice of meeting, then nominations of persons for election to the Board of Directors at a special meeting of stockholders may be made by any stockholder who is a stockholder of record at the time of giving of notice provided for in this Section 2.10(b) and at the time of the special meeting, who shall be entitled to vote at the meeting and who complies with the procedures set forth in this Section 2.10(b). For nominations to be properly brought by a stockholder before a special meeting of stockholders pursuant to this Section 2.10(b), the stockholder must have given timely notice thereof in writing to the Secretary of the Corporation. To be timely, a stockholder's notice shall be delivered to or mailed and received at the principal executive offices of the Corporation (A) not earlier than 150 days prior to the date of the special meeting nor (B) later than the later of 120 days prior to the date of the special meeting or the 10th day following the day on which public announcement of the date of the special meeting was first made. A stockholder's notice to the Secretary shall comply with the notice requirements of Section 2.10(a)(iii).

(c) *General.* (i) To be eligible to be a nominee for election as a director, the proposed nominee must provide to the Secretary of the Corporation in accordance with the applicable time periods prescribed for delivery of notice under Section 2.10(a)(ii) or Section 2.10(b): (1) a completed D&O questionnaire (in the form provided by the secretary of the Corporation at the request of the nominating stockholder) containing information regarding the nominee's background and qualifications and such other information as may reasonably be required by the Corporation to determine the eligibility of such proposed nominee to serve as a director of the Corporation or to serve as an independent director of the Corporation, (2) a written representation that, unless previously disclosed to the Corporation, the nominee is not and will not become a party to any voting agreement, arrangement or understanding with any person or

entity as to how such nominee, if elected as a director, will vote on any issue or that could interfere with such person's ability to comply, if elected as a director, with his/her fiduciary duties under applicable law, (3) a written representation and agreement that the nominee is not and will not become a party to any Third-Party Compensation Arrangement pursuant to Section 2.10(a)(iii)(A)(2), unless disclosed to the Corporation prior to entering into any such Arrangement and (4) a written representation that, if elected as a director, such nominee would be in compliance and will continue to comply with the Corporation's corporate governance guidelines as disclosed on the Corporation's website, as amended from time to time. At the request of the Board of Directors, any person nominated by the Board of Directors for election as a director shall furnish to the Secretary of the Corporation the information that is required to be set forth in a stockholder's notice of nomination that pertains to the nominee.

(ii) No person shall be eligible to be nominated by a stockholder to serve as a director of the Corporation unless nominated in accordance with the procedures set forth in this Section 2.10. No business proposed by a stockholder shall be conducted at a stockholder meeting except in accordance with this Section 2.10.

(iii) The chairman of the meeting shall, if the facts warrant, determine and declare to the meeting that a nomination was not made in accordance with the procedures prescribed by these Bylaws or that business was not properly brought before the meeting, and if he/she should so determine, he/she shall so declare to the meeting and the defective nomination shall be disregarded or such business shall not be transacted, as the case may be. Notwithstanding the foregoing provisions of this Section 2.10, unless otherwise required by law, if the stockholder (or a qualified representative of the stockholder) does not appear at the annual or special meeting of stockholders of the Corporation to present a nomination or other proposed business, such nomination shall be disregarded or such proposed business shall not be transacted, as the case may be, notwithstanding that proxies in respect of such vote may have been received by the Corporation and counted for purposes of determining a quorum. For purposes of this Section 2.10, to be considered a qualified representative of the stockholder, a person must be a duly authorized officer, manager or partner of such stockholder or must be authorized by a writing executed by such stockholder or an electronic transmission delivered by such stockholder to act for such stockholder as proxy at the meeting of stockholders and such person must produce such writing or electronic transmission, or a reliable reproduction of the writing or electronic transmission, at the meeting of stockholders.

(iv) Without limiting the foregoing provisions of this Section 2.10, a stockholder shall also comply with all applicable requirements of the Exchange Act with respect to the matters set forth in this Section 2.10; *provided, however*, that any references in these Bylaws to the Exchange Act are not intended to and shall not limit any requirements applicable to nominations or proposals as to any other business to be considered pursuant

to this Section 2.10, and compliance with paragraphs (a)(i)(C) and (b) of this Section 2.10 shall be the exclusive means for a stockholder to make nominations or submit other business (other than as provided in this Section 2.10(c)(iv)).

(v) Notwithstanding anything to the contrary, the notice requirements set forth herein with respect to the proposal of any business pursuant to this Section 2.10 shall be deemed satisfied by a stockholder if such stockholder has submitted a proposal to the Corporation in compliance with Rule 14a-8 under the Exchange Act, and such stockholder's proposal has been included in a proxy statement that has been prepared by the Corporation to solicit proxies for the meeting of stockholders.

ARTICLE 3 DIRECTORS

Section 3.01. *General Powers.* Except as otherwise provided in Delaware Law or the Amended and Restated Certificate of Incorporation, the business and affairs of the Corporation shall be managed by or under the direction of the Board of Directors. No director shall be deemed an "agent" of the Corporation as that term is used in the federal Surface Mining Control and Reclamation Act or its state analogues.

Section 3.02. *Number, Election and Term Of Office.* The number of directors which shall constitute the Board of Directors shall be fixed exclusively by one or more resolutions adopted from time to time solely by the affirmative vote of a majority of the Board of Directors. Each director shall be elected annually at each annual meeting of stockholders to hold office for a term expiring at the next annual meeting of stockholders, with each director to hold office until such director's successor shall have been duly elected and qualified or until such director's earlier death, resignation or removal. In no event will a decrease in the number of directors shorten the term of any incumbent director. There shall be no cumulative voting in the election of directors.

Section 3.03. *Quorum and Manner of Acting.* Unless the Amended and Restated Certificate of Incorporation or these Bylaws require a greater number, a majority of the Board of Directors shall constitute a quorum for the transaction of business at any meeting of the Board of Directors and, except as otherwise expressly required by law or by the Amended and Restated Certificate of Incorporation, the act of a majority of the directors present at a meeting at which a quorum is present shall be the act of the Board of Directors. When a meeting is adjourned to another time or place (whether or not a quorum is present), notice need not be given of the adjourned meeting if the time and place thereof are announced at the meeting at which the adjournment is taken. At the adjourned meeting, the Board of Directors may transact any business which might have been transacted at the original meeting. If a quorum shall not be present at any meeting of the Board of Directors, the directors present thereat shall adjourn the

meeting, from time to time, without notice other than announcement at the meeting, until a quorum shall be present.

Section 3.04. *Time and Place of Meetings.* The Board of Directors shall hold its meetings at such place, either within or without the State of Delaware, and at such time as may be determined from time to time by the Board of Directors (or the Chairman in the absence of a determination by the Board of Directors).

Section 3.05. *Annual Meeting.* The Board of Directors shall meet for the purpose of organization, the election of officers and the transaction of other business, as soon as practicable after each annual meeting of stockholders, on the same day and at the same place where such annual meeting shall be held. Notice of such meeting need not be given. In the event such annual meeting is not so held, the annual meeting of the Board of Directors may be held at such place either within or without the State of Delaware, on such date and at such time as shall be specified in a notice thereof given as hereinafter provided in Section 3.07 herein or in a waiver of notice thereof signed by any director who chooses to waive the requirement of notice, subject to the written consent provision in Section 3.09 herein.

Section 3.06. *Regular Meetings.* After the place and time of regular meetings of the Board of Directors shall have been determined and notice thereof shall have been once given to each member of the Board of Directors, regular meetings may be held without further notice being given.

Section 3.07. *Special Meetings.* Special meetings of the Board of Directors may be called by the Chairman of the Board or the President and shall be called by the Chairman of the Board, President or Secretary on the written request of two directors. Notice of special meetings of the Board of Directors shall be given to each director at least 48 hours before the date of the meeting in such manner as is determined by the Board of Directors.

Section 3.08. *Committees.* The Board of Directors may designate one or more committees, each committee to consist of one or more of the directors of the Corporation. The Board of Directors may designate one or more directors as alternate members of any committee, who may replace any absent or disqualified member at any meeting of the committee. In the absence or disqualification of a member of a committee, the member or members present at any meeting and not disqualified from voting, whether or not such member or members constitute a quorum, may unanimously appoint another member of the Board of Directors to act at the meeting in the place of any such absent or disqualified member. Any such committee, to the extent provided in the resolution of the Board of Directors, shall have and may exercise all the powers and authority of the Board of Directors in the management of the business and affairs of the Corporation, and may authorize the seal of the Corporation to be affixed to all papers which may require it; but no such committee shall have the power or authority in reference to any of the following matters: (a) approving or adopting, or recommending to the stockholders, any action or matter expressly required by Delaware Law to be submitted to the stockholders for approval or

(b) adopting, amending or repealing any bylaw of the Corporation. Each committee shall keep regular minutes of its meetings and report the same to the Board of Directors when required.

Section 3.09. *Action by Consent.* Unless otherwise restricted by the Amended and Restated Certificate of Incorporation or these Bylaws, any action required or permitted to be taken at any meeting of the Board of Directors or of any committee thereof may be taken without a meeting, if all members of the Board of Directors or committee, as the case may be, consent thereto in writing or by electronic transmission, and the writing or writings or electronic transmission or transmissions, are filed with the minutes of proceedings of the Board of Directors or committee. Such filing shall be in paper form if the minutes are maintained in paper form and shall be in electronic form if the minutes are maintained in electronic form.

Section 3.10. *Telephonic Meetings.* Unless otherwise restricted by the Amended and Restated Certificate of Incorporation or these Bylaws, members of the Board of Directors, or any committee designated by the Board of Directors, may participate in a meeting of the Board of Directors, or such committee, as the case may be, by means of conference telephone or other communications equipment by means of which all persons participating in the meeting can hear each other, and such participation in a meeting shall constitute presence in person at the meeting.

Section 3.11. *Resignation.* Any director may resign at any time by giving notice in writing or by electronic transmission to the Board of Directors or to the Secretary of the Corporation. The resignation of any director shall take effect upon receipt of notice thereof or at such later time as shall be specified in such notice; and unless otherwise specified therein, the acceptance of such resignation shall not be necessary to make it effective.

Section 3.12. *Vacancies.* Vacancies on the Board of Directors resulting from death, resignation, removal or otherwise and newly created directorships resulting from any increase in the number of directors shall, unless the Board of Directors calls a special meeting for which the election of directors is included as business or as otherwise required by law, be filled solely by a majority of the directors then in office (although less than a quorum) or by the sole remaining director, and each director so elected shall hold office for a term ending at the next annual meeting of stockholders, and until such director's successor shall have been duly elected and qualified or until such director's earlier death, resignation or removal.

Section 3.13. *Removal.* Any director or the entire Board of Directors may be removed, with or without cause, at any time by the affirmative vote of the holders of a majority of the outstanding capital stock of the Corporation then entitled to vote at any election of directors and the vacancies thus created shall be filled in accordance with Section 3.12 herein.

Section 3.14. *Compensation.* Unless otherwise restricted by the Amended and Restated Certificate of Incorporation or these Bylaws, the Board of Directors shall have authority to fix the compensation of directors, including fees and reimbursement of expenses.

Section 3.15. *Preferred Stock Directors.* Notwithstanding anything else contained herein, whenever the holders of one or more classes or series of preferred stock shall have the right, voting separately as a class or series, to elect directors, the election, term of office, filling of vacancies, removal and other features of such directorships shall be governed by the terms of such class or series of preferred stock adopted by resolution or resolutions adopted by the Board of Directors pursuant to the Amended and Restated Certificate of Incorporation, and such directors so elected shall not be subject to the provisions of this Article 3 unless otherwise provided in such terms.

ARTICLE 4 OFFICERS

Section 4.01. *Principal Officers.* The principal officers of the Corporation shall be a Chief Executive Officer, a President, one or more Vice Presidents, a Treasurer and a Secretary who shall have the duty, among other things, to record the proceedings of the meetings of stockholders and directors in a book kept for that purpose. The Corporation may also have such other principal officers, including one or more Controllers, as the Board of Directors may in its discretion appoint. One person may hold the offices and perform the duties of any two or more of said offices, except that no one person shall hold the offices and perform the duties of President and Secretary.

Section 4.02. *Appointment, Term of Office and Remuneration.* The principal officers of the Corporation shall be appointed by the Board of Directors in the manner determined by the Board of Directors. Each such officer shall hold office until his or her successor is appointed, or until his or her earlier death, resignation or removal. The remuneration of all officers of the Corporation shall be fixed by the Board of Directors. Any vacancy in any office shall be filled in such manner as the Board of Directors shall determine.

Section 4.03. *Subordinate Officers.* In addition to the principal officers enumerated in Section 4.01 herein, the Corporation may have one or more Assistant Treasurers, Assistant Secretaries and Assistant Controllers and such other subordinate officers, agents and employees as the Board of Directors may deem necessary, each of whom shall hold office for such period as the Board of Directors may from time to time determine. The Board of Directors may delegate to any principal officer the power to appoint and to remove any such subordinate officers, agents or employees.

Section 4.04. *Removal.* Except as otherwise permitted with respect to subordinate officers, any officer may be removed, with or without cause, at any time, by resolution adopted by the Board of Directors.

Section 4.05. *Resignations.* Any officer may resign at any time by giving written notice to the Board of Directors (or to a principal officer if the Board of Directors has delegated to such principal officer the power to appoint and to remove such officer). The resignation of any officer

shall take effect upon receipt of notice thereof or at such later time as shall be specified in such notice; and unless otherwise specified therein, the acceptance of such resignation shall not be necessary to make it effective.

Section 4.06. *Powers and Duties.* The officers of the Corporation shall have such powers and perform such duties incident to each of their respective offices and such other duties as may from time to time be conferred upon or assigned to them by the Board of Directors.

ARTICLE 5 CAPITAL STOCK

Section 5.01. *Certificates For Stock; Uncertificated Shares.* The shares of the Corporation shall be represented by certificates, provided that the Board of Directors may provide by resolution or resolutions that some or all of any or all classes or series of its stock shall be uncertificated shares or a combination of certificated and uncertificated shares. Any such resolution that shares of a class or series will only be uncertificated shall not apply to shares represented by a certificate until such certificate is surrendered to the Corporation. Except as otherwise required by law, the rights and obligations of the holders of uncertificated shares and the rights and obligations of the holders of shares represented by certificates of the same class and series shall be identical. Every holder of stock represented by certificates shall be entitled to have a certificate representing the number of shares registered in certificate form, signed by, or in the name of, the Corporation by the Chairman or Vice Chairman of the Board of Directors, or the Chief Executive Officer, President or Vice President, and by the Treasurer or an Assistant Treasurer, or the Secretary or an Assistant Secretary of such Corporation. Any or all of the signatures on the certificate may be a facsimile. In case any officer, transfer agent or registrar who has signed or whose facsimile signature has been placed upon a certificate shall have ceased to be such officer, transfer agent or registrar before such certificate is issued, it may be issued by the Corporation with the same effect as if such person were such officer, transfer agent or registrar at the date of issue. The Corporation shall not have power to issue a certificate in bearer form.

Section 5.02. *Transfer Of Shares.* Shares of the stock of the Corporation may be transferred on the record of stockholders of the Corporation by the holder thereof or by such holder's duly authorized attorney upon surrender of a certificate therefor properly endorsed or upon receipt of proper transfer instructions from the registered holder of uncertificated shares or by such holder's duly authorized attorney and upon compliance with appropriate procedures for transferring shares in uncertificated form, unless waived by the Corporation.

Section 5.03. *Authority for Additional Rules Regarding Transfer.* The Board of Directors shall have the power and authority to make all such rules and regulations as they may deem expedient concerning the issue, transfer and registration of certificated or uncertificated shares of the stock of the Corporation, as well as for the issuance of new certificates in lieu of those which

may be lost or destroyed, and may require of any stockholder requesting replacement of lost or destroyed certificates, a bond in such amount and in such form as they may deem expedient to indemnify the Corporation, the transfer agents and/or the registrars of the Corporation's stock against any claims arising in connection therewith.

ARTICLE 6 GENERAL PROVISIONS

Section 6.01. *Fixing the Record Date.* In order that the Corporation may determine the stockholders entitled to notice of any meeting of stockholders or any adjournment thereof, the Board of Directors may fix a record date, which record date shall not precede the date upon which the resolution fixing such record date is adopted by the Board of Directors, and which record date shall not be more than 60 nor less than 10 days before the date of such meeting. If the Board of Directors so fixes a date, such date shall also be the record date for determining the stockholders entitled to vote at such meeting unless the Board of Directors determines, at the time it fixes such record date, that a later date on or before the date of the meeting shall be the date for making such determination. If no record date is fixed by the Board of Directors, the record date for determining stockholders entitled to notice of or to vote at a meeting of stockholders shall be at the close of business on the day preceding the day on which notice is given, or, if notice is waived, at the close of business on the day preceding the day on which the meeting is held. A determination of stockholders of record entitled to notice of or to vote at a meeting of stockholders shall apply to any adjournment of the meeting; *provided* that the Board of Directors may in its discretion or as required by law fix a new record date for determination of stockholders entitled to vote at the adjourned meeting, and in such case shall fix the same date or an earlier date as the record date for stockholders entitled to notice of such adjourned meeting.

In order that the Corporation may determine the stockholders entitled to receive payment of any dividend or other distribution or allotment of any rights or the stockholders entitled to exercise any rights in respect of any change, conversion or exchange of stock, or for the purpose of any other lawful action, the Board of Directors may fix a record date, which record date shall not precede the date upon which the resolution fixing the record date is adopted, and which record date shall be not more than 60 days prior to such action. If no record date is fixed, the record date for determining stockholders for any such purpose shall be at the close of business on the day on which the Board of Directors adopts the resolution relating thereto.

Section 6.02. *Dividends.* Subject to limitations contained in Delaware Law and the Amended and Restated Certificate of Incorporation, the Board of Directors may declare and pay dividends upon the shares of capital stock of the Corporation, which dividends may be paid either in cash, in property or in shares of the capital stock of the Corporation.

Section 6.03. *Year.* The fiscal year of the Corporation shall commence on January 1 and end on December 31 of each year.

Section 6.04. *Corporate Seal.* The corporate seal shall have inscribed thereon the name of the Corporation, the year of its organization and the words “Corporate Seal, Delaware”. The seal may be used by causing it or a facsimile thereof to be impressed, affixed or otherwise reproduced.

Section 6.05. *Voting of Stock Owned by the Corporation.* The Board of Directors may authorize any person, on behalf of the Corporation, to attend, vote at and grant proxies to be used at any meeting of stockholders of any corporation (except this Corporation) in which the Corporation may hold stock.

Section 6.06. *Forum.* Unless the Corporation consents in writing to the selection of an alternative forum, to the fullest extent permitted by law, the sole and exclusive forum for (a) any derivative action or proceeding brought on behalf of the Corporation, (b) any action asserting a claim of breach of a fiduciary duty owed by any director, officer or other employee of the Corporation to the Corporation or the Corporation’s stockholders, (c) any action asserting a claim arising pursuant to any provision of Delaware Law or the Amended and Restated Certificate of Incorporation (including any certificate of designations relating to any class or series of Preferred Stock) or the Bylaws (in each case, as they may be amended from time to time), or (d) any action asserting a claim governed by the internal affairs doctrine shall, in any such case, be the Court of Chancery of the State of Delaware, (or, if the Court of Chancery lacks subject matter jurisdiction, another state or federal court located within the state of Delaware, in all cases subject to the court’s having personal jurisdiction over the indispensable parties named as defendants). Any person or entity purchasing or otherwise acquiring or holding any interest in shares of capital stock of the Corporation shall be deemed to have notice of and consented to the provisions of this Section 6.06.

Section 6.07. *Amendments.* These Bylaws or any of them, may be altered, amended or repealed, or new Bylaws may be made, by the stockholders entitled to vote thereon at any annual or special meeting thereof or by the Board of Directors. Unless a higher percentage is required by the Certificate of Incorporation as to any matter that is the subject of these Bylaws, all such amendments must be approved by the affirmative vote of the holders of not less than a majority of the total voting power of all outstanding securities of the Corporation, generally entitled to vote in the election of directors, voting together as a single class, or by a majority of the Board of Directors.

Adopted by the Board of Directors on March 12, 2020

Amended on January 18, 2021

CERTIFICATIONS

CERTIFICATION OF PRINCIPAL EXECUTIVE OFFICER AND PRINCIPAL FINANCIAL OFFICER

Each of the officers below certifies that:

1. I have reviewed this Quarterly Report on Form 10-Q (this "Report") of Alpha Metallurgical Resources, Inc. (the "Registrant");
2. Based on my knowledge, this Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Report;
3. Based on my knowledge, the financial statements, and other financial information included in this Report, fairly present in all material respects the financial condition, results of operations and cash flows of the Registrant as of, and for, the periods presented in this Report;
4. The Registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined by Exchange Act Rules 13a-15(f) and 15d-15(f)) for the Registrant and have:
 - a. designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the Registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this Report is being prepared;
 - b. designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - c. evaluated the effectiveness of the Registrant's disclosure controls and procedures and presented in this Report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this Report based on such evaluation; and
 - d. disclosed in this Report any change in the Registrant's internal control over financial reporting that occurred during the Registrant's most recent fiscal quarter (the Registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the Registrant's internal control over financial reporting;
5. The Registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the Registrant's auditors and the audit committee of the Registrant's board of directors (or persons performing the equivalent functions):
 - a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the Registrant's ability to record, process, summarize and report financial information; and
 - b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the Registrant's internal control over financial reporting.

Date: November 5, 2021

By: /s/ David J. Stetson

David J. Stetson
Chief Executive Officer
(Principal Executive Officer)

Date: November 5, 2021

By: /s/ Charles Andrew Eidson

Charles Andrew Eidson
President and Chief Financial Officer
(Principal Financial Officer and Principal Accounting Officer)

CERTIFICATION PURSUANT TO 18 U.S.C. SECTION 1350, AS ADOPTED PURSUANT TO SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002

In connection with the Quarterly Report on Form 10-Q of Alpha Metallurgical Resources, Inc. (the “Registrant”) for the period ended September 30, 2021, as filed with the Securities and Exchange Commission on the date hereof (the “Report”), each of the undersigned officers of the Registrant certifies, pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, that to his knowledge:

- 1) The Report fully complies with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
- 2) The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Registrant.

Date: November 5, 2021

By: /s/ David J. Stetson

David J. Stetson
Chief Executive Officer
(Principal Executive Officer)

Date: November 5, 2021

By: /s/ Charles Andrew Eidson

Charles Andrew Eidson
President and Chief Financial Officer
(Principal Financial Officer and Principal Accounting Officer)

Mine Safety and Health Administration Data

Our subsidiaries' mining operations have consistently been recognized with numerous local, state and national awards over the years for outstanding safety performance.

Our behavior-based safety process involves all employees in accident prevention and continuous improvement. Safety leadership and training programs are based upon the concepts of situational awareness and observation, changing behaviors and, most importantly, employee involvement. The core elements of our safety training include identification of critical behaviors, frequency of those behaviors, employee feedback and removal of barriers for continuous improvement.

All employees are empowered to champion the safety process. Every person is challenged to identify hazards and initiate corrective actions, ensuring that hazards are addressed in a timely manner.

All levels of the organization are expected to be proactive and commit to perpetual improvement, implementing new safety processes that promote a safe and healthy work environment.

Our subsidiaries operate multiple mining complexes in two states and are regulated by both the U.S. Mine Safety and Health Administration ("MSHA") and state regulatory agencies. As described in more detail in the "Environmental and Other Regulatory Matters" section of our Annual Report on Form 10-K for the year ended December 31, 2020, the Federal Mine Safety and Health Act of 1977, as amended (the "Mine Act"), among other federal and state laws and regulations, imposes stringent safety and health standards on all aspects of mining operations. Regulatory inspections are mandated by these agencies with thousands of inspection shifts at our properties each year. Citations and compliance metrics at each of our mines and coal preparation facilities vary due to the size and type of the operation. We endeavor to conduct our mining and other operations in compliance with all applicable federal, state and local laws and regulations. However, violations occur from time to time. None of the violations identified or the monetary penalties assessed upon us set forth in the tables below has been material.

For purposes of reporting regulatory matters under Section 1503(a) of the Dodd-Frank Wall Street Reform and Consumer Protection Act (the “Dodd-Frank Act”), we include the following table that sets forth the total number of specific citations and orders and the total dollar value of the proposed civil penalty assessments that were issued by MSHA during the current reporting period for each of our subsidiaries that is a coal mine operator, by individual mine. During the current reporting period, none of the mines operated by our subsidiaries received written notice from MSHA of a pattern of violations under Section 104(e) of the Mine Act.

MSHA Mine ID	Operator	Significant and Substantial Citations Issued (Section 104 of the Mine Act) *Excludes 104(d) citations/orders	Failure to Abate Orders (Section 104(b) of the Mine Act)	Unwarrantable Failure Citations/Orders Issued (Section 104(d) of the Mine Act)	Flagrant Violations (Section 110(b) (2) of the Mine Act)	Imminent Danger Orders Issued (Section 107(a) of the Mine Act)	Dollar Value of Proposed Civil Penalty Assessments (in Thousands) ⁽¹⁾	Mining Related Fatalities
4405270	Paramont Contura, LLC	—	—	—	—	—	\$0.13	—
4405311	Dickenson-Russell Contura, LLC	3	—	—	—	—	\$1.73	—
4407223	Paramont Contura, LLC	6	—	—	—	—	\$9.29	—
4407308	Paramont Contura, LLC	11	—	—	—	—	\$7.36	—
4407381	Paramont Contura, LLC	1	—	—	—	—	\$1.20	—
4604637	Kepler Processing Company LLC	—	—	—	—	—	\$0.13	—
4605086	Bandmill Coal, LLC	—	—	—	—	—	\$1.65	—
4605992	Black Castle Mining Company, LLC	—	—	—	—	—	\$0.13	—
4608159	Mammoth Coal Co.	—	—	—	—	—	\$0.38	—
4608374	Marfork Coal Company, LLC	—	—	2	—	1	\$5.66	—
4608787	Nicholas Contura LLC	—	—	—	—	—	\$10.26	—
4608801	Aracoma Coal Company, LLC	—	—	—	—	—	\$2.04	—
4608837	Marfork Coal Company, LLC	—	—	—	—	—	\$0.74	—
4608932	Kingston Mining, Inc.	7	—	—	—	—	\$17.78	—
4609048	Marfork Coal Company, LLC	3	—	—	—	—	—	—
4609054	Republic Energy LLC	1	1	—	—	—	—	—
4609091	Marfork Coal Company, LLC	6	—	—	—	—	\$47.61	—
4609092	Marfork Coal Company, LLC	—	—	—	—	—	\$0.22	—
4609204	Highland Mining Company	1	—	—	—	—	—	—
4609212	Marfork Coal Company, LLC	5	—	—	—	—	\$42.54	—
4609221	Mammoth Coal Co.	1	—	—	—	—	\$16.48	—

4609361	Aracoma Coal Company, LLC	5	—	—	—	—	\$2.60	—
4609475	Republic Energy LLC	4	—	—	—	—	\$1.17	—
4609522	Spartan Mining Company, LLC	12	—	—	—	—	\$18.96	—
4609550	Marfork Coal Company, LLC	66	1	3	—	—	\$79.36	—
4609574	Aracoma Coal Company, LLC	7	—	—	—	—	\$9.55	—
4609575	Aracoma Coal Company, LLC	6	—	—	—	—	\$3.92	—

For purposes of reporting regulatory matters under Section 1503(a) of the Dodd-Frank Act, we include the following table that sets forth a list of legal actions pending before the Federal Mine Safety and Health Review Commission, including the Administrative Law Judges thereof, pursuant to the Mine Act, and other required information, for each of our subsidiaries that is a coal mine operator, by individual mine including legal actions and other required information.

Mine ID	Operator Name	MSHA Pending Legal Actions (as of last day of reporting period) ⁽¹⁾	New MSHA Dockets commenced during reporting period	MSHA dockets in which final orders were entered (not appealed) during reporting period	Contests of Citations/Orders referenced in Subpart B, 29 CFR Part 2700	Contests of Proposed Penalties referenced in Subpart C, 29 CFR Part 2700	Complaints for compensation referenced in Subpart D, 29 CFR Part 2700	Complaints for discharge, discrimination, or interference referenced in Subpart E, 29 CFR Part 2700	Applications for temporary relief referenced in Subpart F 29 CFR Part 2700	Appeals of judges' decisions or orders to FMSHRC referenced in Subpart H 29 CFR Part 2700
4407223	Paramont Contura, LLC	—	—	1	—	—	—	—	—	—
4407308	Paramont Contura, LLC	—	—	1	—	—	—	—	—	—
4608374	Marfork Coal Company, LLC	—	—	1	—	—	—	—	—	—
4608787	Nicholas Contura, LLC	—	—	1	—	—	—	—	—	—
4608837	Marfork Coal Company, LLC	—	—	1	—	—	—	—	—	—
4608932	Kingston Mining, Inc.	2	1	1	—	2	—	—	—	—
4609091	Marfork Coal Company, LLC	3	2	1	—	3	—	—	—	—
4609550	Marfork Coal Company, LLC	2	2	1	—	2	—	—	—	—
4609221	Mammoth Coal Co.	1	1	1	1	—	—	—	—	—

⁽¹⁾ The MSHA proposed assessments issued during the current reporting period do not necessarily relate to the citations or orders issued by MSHA during the current reporting period or to the pending legal actions reported herein.